

ANNUAL REPORT 2010



Supervision and editorial: **Sigrún Hjartardóttir**, Head of Investor Relations, Íslandsbanki.

Layout Design, Cover and Picture Spreads: **Hvíta húsið**.

Layout: **Magnús Ingvar Torfason**, Graphic Designer, Íslandsbanki.

Printing: **Pixel/Prentmet**.

The paper in this report is fully recyclable. The producer of the paper works according to ISO 14001 and FSC Forest Stewardship Council.

Annual Report 2010

Financial Highlights

COMPREHENSIVE INCOME

ISK m	2010	2009
Net interest income	34,874	31,984
Net valuation changes	14,507	801
Latent impairment	(514)	(477)
Net fee and commission income	7,380	7,061
Other financial income	(910)	285
Net foreign exchange (loss) gain	(963)	2,621
Other net operating income	1,186	2,760
Operating income	55,560	45,036
Administrative expenses	(18,473)	(16,113)
Other expenses	(283)	(263)
Profit before tax	36,804	28,660
Tax	(7,435)	(4,678)
Net Profit for the year	29,369	23,982

FINANCIAL POSITION AND KEY FIGURES

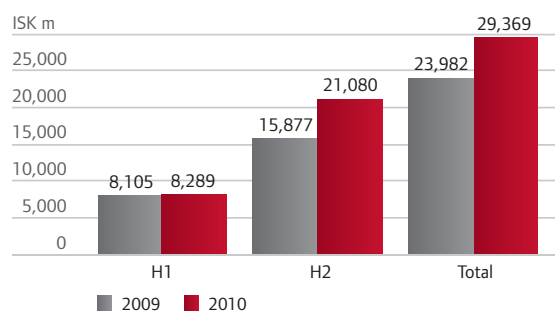
(end of period figures)

ISK m	2010	2009
Total assets	683,222	717,342
Total loans to customers and credit institutions	546,031	577,027
Total deposits	423,396	478,751
Equity	121,463	92,103
Key ratios		
Return on equity	28.5%	30.0%
Core cost/income ratio*	43.7%	41.3%
Net interest margin	5.0%	4.6%
Tier 1 ratio	22.6%	15.6%
Total capital ratio	26.6%	19.8%
Total deposit/loan ratio	77.5%	83.0%
Customer deposit/loan ratio	63.5%	69.4%
Employees (yearly average) – consolidated	1,080	1,039
Employees (yearly average) – parent	933	899

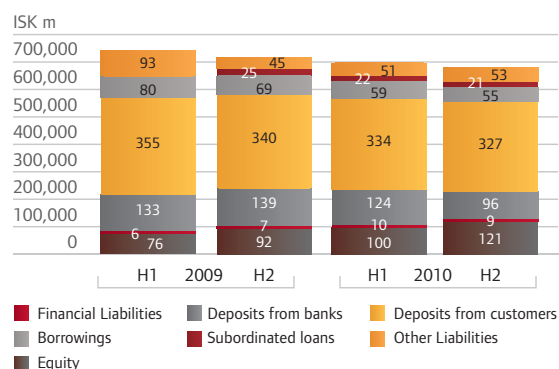
* Core cost / income ratio: Administrative expenses / NII+ NFC

Financial Highlights

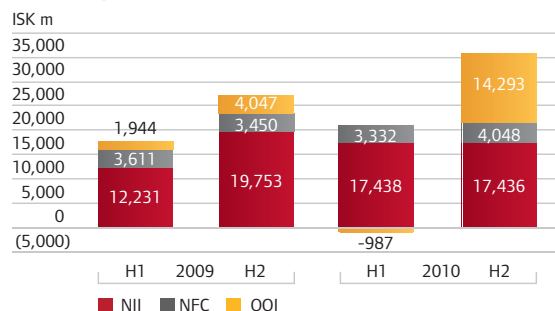
Profit



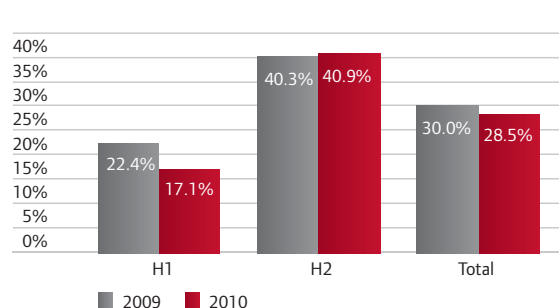
Total liabilities and equity



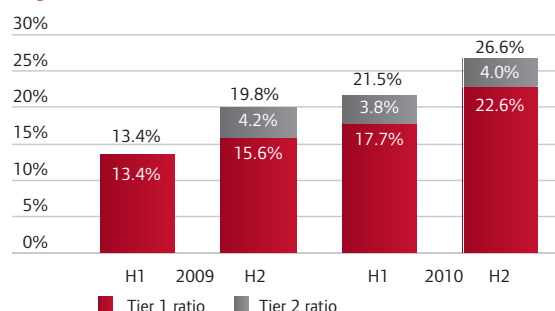
Operating income split



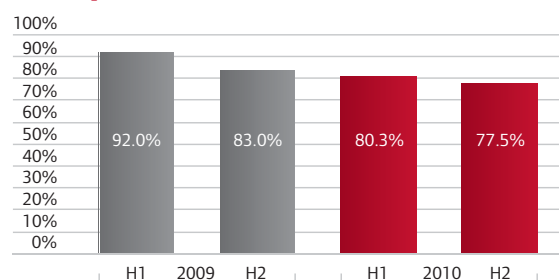
Return on equity



Capital ratios



Total deposit/loan ratio



Contents

Financial Highlights	2
Chairman's and CEO's Statement	5
Board of Directors and CEO	7
Corporate Governance	9
Mapping the Path Forward	14
Economic Review.....	17
Review of Operations.....	18
Managing Directors	22
Retail Banking	24
Corporate Banking.....	26
Markets	28
Wealth Management	30
Human Resources	33
Íslandsbanki in Society	35
Consolidated Financial Statements 2010	39

Chairman's and CEO's Statement

The year 2010 saw the first signs of consolidation for Iceland's economy and its people after the turbulence of previous periods. A greater understanding of Iceland's standing in the world, and of the magnitude of the collective task ahead, crystallised in the national consciousness at the same time as Iceland, as a whole, became more generally reconciled to its situation. It was also a year that saw the first signs emerge in the economy suggesting that the worst might be over - inflation abated, the rate of GDP contraction slowed progressively and interest rates were repeatedly eased.



Fridrik Sophusson



Birna Einarsdóttir

Consolidation was also the prevailing theme at Íslandsbanki in 2010. The Bank spent the year in large part building on the foundations that were laid in the previous year. Successful restructuring of both the retail and corporate portfolios remain Íslandsbanki's most urgent priority. The Bank has not lost sight of the fact that many of its customers are in difficult circumstances, and the Bank will provide timely and appropriate solutions to these difficulties. Continued progress was made with the restructuring of the loan portfolios during the year and the Bank aspires to have largely completed these negotiations by the end of 2011.

DEBT RESTRUCTURING WELL UNDER WAY

In December 2010, a wide-ranging agreement was reached regarding the debt restructuring, between the Ministry of Economic Affairs, the Ministry of Finance, the Confederation of Icelandic Employers, the Icelandic Federation of Trade, the Iceland Chamber of Commerce and the Icelandic Financial Services Association. The agreement involved the speeding up of the debt restructuring process for small- and medium-sized enterprises, featuring common guidelines. Financial institutions aim to conclude a review of the companies concerned before June 2011.

The completion of these efforts will mark a significant milestone in returning the Bank to normal operations and will leave it in a strong position to build new busi-

ness relationships.

SUPREME COURT RULING

Although 2010 brought a clearer picture of the future for the banking and financial industry, the whole sector experienced a temporary setback in June, when the Supreme Court ruled that certain types of ISK-denominated mortgages and car loans, whose repayments are linked to foreign currencies, were illegal.

Íslandsbanki immediately sought to determine the maximum damage that a worst-case scenario might inflict on the Bank's capital base. The findings were that, although the impact would have been heavy, the Bank's strong capitalisation would nonetheless have adequately cushioned the blow. Further rulings and a subsequent Parliament Act have substantially clarified the issue. Although the precise impact of these developments is still to be determined, legal precedence and the enactment of the new legislation mean that any future capital write-downs associated with these loans are likely to be modest.

STRATEGIC ROADMAP

In January, Íslandsbanki's second "Strategy Summit" was held in Reykjavík in which over 600 employees participated and took on an active role in addressing key strategic issues for the Bank. The broad employee participation was a good reflection of the high level of

Chairman's and CEO's Statement

engagement and commitment that the staff has to the business as a whole.

During 2010, an effort was put into crafting an extensive strategy and a five year business plan for Íslandsbanki. Given the uncertainties that characterise the Bank's business environment the management and board decided to employ the methodology of scenario planning. The work was intertwined with a thorough assessment of internal capital adequacy ratio required by the FME. The result of the planning process provided the Bank with different scenarios on the combined effect of many factors and has given the management a tool to understand and predict how different decisions or events may affect the Bank and its business.

#1 IN SERVICE

Following the planning process in October 2010, the Bank launched a major strategic project around its vision of being Number 1 in Service. In a competitive banking landscape such as Iceland, to retain existing customers and acquire new ones, service levels need to be of the highest quality. Íslandsbanki's vision is to lead the field in Iceland across all product offerings in terms of quality, attention to detail and professional, positive service provision. This goal has now been integrated into all planning processes in every business and support unit.

Íslandsbanki is in a good position to realise this vision. Surveys show that the Bank has a stronghold in both retail and corporate markets. In a survey conducted in November 2010 amongst large companies in Iceland, half of the respondents said Íslandsbanki was the leading bank as well as the most professional bank in Iceland. About 46% of the respondents said that Íslandsbanki would be their first choice if they were to start their business today. The results were similar for small- and medium-sized companies where Íslandsbanki excelled compared to its competitors.

STRONG BALANCE SHEET AND LIQUIDITY POSITION

A key priority for the management of the Bank, and its owners, is that Íslandsbanki will remain a strong institution, built to endure the elusiveness of a unique operating environment. The Bank has strong liquidity and capital ratio of 26.6%, both of which are fundamental to the solidity of a bank. The return on equity ratio remains high. A large component of the profit however, is in the form of write-ups on the assets that were acquired from Glitnir. These results demonstrate that a corner has been turned with the Bank's core business.

REGULATORY REFORMS – A BALANCING ACT

The viability of Iceland's financial system is also contingent on a regulatory regime that successfully provides firm guidance and oversight of banking activities, which also acknowledges the commercial imperatives of an enterprise as complicated as a commercial bank. The Bank remains closely engaged with the FME in the matter of regulatory reform and is determined to do everything in its power to ensure that transparency and fairness are instilled in the framework. At the same time, it must not so over-regulate the industry as to stifle business and the recovery of the Icelandic economy.

PRO-BUSINESS CONSENSUS

An important priority for the financial industry as a whole, is for it to be able to encourage and nurture the stock market and investment opportunities in Iceland. The industry's desire to make Iceland an attractive investment prospect, both for Icelandic residents and overseas investors, will require a more effective alignment of the wishes of the financial industry, the government and most importantly the Icelandic people, so as to prevent capital flight once capital controls have been lifted. It is crucial that a "pro-business" consensus is reached in good time, although public debate on this issue has not yet reached sufficient maturity.

Íslandsbanki is building itself a strong platform to help deliver the kind of services that Iceland and its people require, to return the country to stable prosperity. We are committed to the ideals of responsible and enterprise driven banking, and stand ready to participate with the business community and the civil society, in bringing Iceland into the next phase of its recovery.

Board of Directors and CEO



Neil Graeme Brown
Member of the Board
(b. 1959)

Neil Graeme Brown, a British national, has extensive experience of finance and restructuring of international businesses. Mr Brown's previous positions include Head of Buyouts and Financial Services at Apax Partners and Partner at Coopers & Lybrand (now PwC). Mr Brown has 20 years of experience in international private equity and is an expert in US and European M&A markets. Furthermore, he has listed companies on the London, AIM and Nasdaq markets. Mr Brown has served, and continues to serve, as a board member for a number of international companies.

Mr Brown holds an MA degree in Business from Emmanuel College Cambridge and is an associate of the Institute of Chartered Accountants (ACA).



Kolbrún Jónsdóttir
Member of the Board
(b. 1962)

Kolbrún Jónsdóttir, an Icelandic national, was the Managing Director of Finance for VÍS Insurance from 2008–2010. She worked at Íslandsbanki from 1996–2008, both as Branch Manager in the Reykjavík area and as the Head of Back Office. Prior to that she was Managing Director of Finance for the home improvement and construction retailer Húsasmidjan. Ms Jónsdóttir represents Icelandic State Financial Investments on Íslandsbanki's Board and was appointed in 2010.

Ms Jónsdóttir has completed an Executive Education Programme from Kenan-Flagler Business School at the University of North Carolina at Chapel Hill and holds a Cand. Oecon. degree in Business Administration from the University of Iceland.



John E. Mack
Vice Chairman of the Board
(b. 1947)

John E. Mack, a US national, has many years' experience in international banking and M&A and has extensive knowledge of the development of best-practice corporate governance. He was Corporate Executive Officer and CFO of Shinsei Bank in Tokyo from 2002–2005 where he managed the bank's Global IPO. Prior to that, he spent 27 years working for Bank of America (BoA) and its affiliates, most recently as a funding executive for the parent company. Mr Mack has specific experience in corporate work-outs and problem loans through his former role as Director of Strategic Solutions, Inc., a majority-owned subsidiary of BoA.

Mr Mack holds an MBA from the University of Virginia, Darden School of Business and an undergraduate degree in Economics from Davidson College.



Baldur Pétursson
Member of the Board¹⁾
(b. 1958)

Baldur Pétursson, an Icelandic national, has had a wide-ranging experience in international finance, businesses and working with organisations, e.g. OECD, EFTA, EU, WTO and ECS. He has been an Executive Alternate Director for the European Bank for Reconstruction and Development (EBRD) in London and, member of the board of directors and governors. He has held various positions including, Head of Unit of Competitiveness at the Ministry of Industry and Commerce, and Counsellor at the Icelandic Mission to the EU in Brussels.

Mr Pétursson holds an MSA degree in Multinational Commerce from Boston University, was a member of the Executive Programme in Business Strategy at Columbia University and holds a Cand. Oecon. in Business Administration from the University of Iceland.

¹⁾ Alternate, assumed role of Member of the Board on 26 January 2011

Board of Directors and CEO



Fridrik Sophusson
Chairman of the Board
(b. 1943)

Fridrik Sophusson, an Icelandic national, has nearly 40 years' wide-ranging experience in fiscal policy-making, management and public service in Iceland. He served as a Member of Parliament for 20 years from 1978 to 1998. He held the position of Minister of Industry and Energy from 1987–1988 and Minister of Finance from 1991–1998. Mr Sophusson was appointed CEO of Landsvirkjun, the National Power Company, in 1999 and held that position for almost 11 years.

Mr Sophusson holds a Cand. Jur. degree in Law from the University of Iceland.



Árni Tómasson
Member of the Board
(b. 1955)

Árni Tómasson, an Icelandic national, has worked in bank and financial institution auditing since 1985. He was Partner and later Chairman of Deloitte in Iceland until 2001. Mr Tómasson was CEO of Búnaðarbankinn (later merged with Kaupthing) from 2001 to 2003 and has since worked as an independent consultant. Mr Tómasson was appointed Chairman of Glitnir's Resolution Committee in October 2008.

Árni Tómasson has a Cand. Oecon. degree in Business Administration from the University of Iceland and is a State Authorised Public Accountant.



Marianne Økland
Member of the Board
(b. 1962)

Marianne Økland, a Norwegian national, currently holds the position of Managing Director of Avista Partners, a London-based consulting firm specialising in advisory and capital raising. Ms Økland has spent most of her career in banking, dealing with debt financing in various positions at JP Morgan and Union Bank of Switzerland (UBS) focusing on Nordic debt origination and structuring. Ms Økland is also familiar with the consulting business from her work at Marsoft Limited, a Boston-, Oslo- and London-based consulting firm specialising in shipping investments.

Ms Økland holds an MSc degree in Finance and Economics from the Norwegian School of Economics and Business Administration, where she worked as a researcher and taught mathematics.



Birna Einarsdóttir
CEO
(b. 1961)

Birna Einarsdóttir, an Icelandic national, first joined Íslandsbanki (then Iðnadarbankinn) in 1987. After six years with Royal Bank of Scotland, she rejoined Íslandsbanki in the fall of 2004 as the Managing Director of Sales and Marketing. In June 2007, she was appointed Executive Vice President of Retail Banking and in October 2008 she was appointed CEO of Íslandsbanki. Ms Einarsdóttir's professional experience also includes work as the Marketing Manager for the Icelandic Broadcasting Company (Channel 2) and the Icelandic Lottery.

Ms Einarsdóttir holds an MBA degree from the University of Edinburgh and a Cand. Oecon. degree in Business Administration from the University of Iceland.

During the year, two changes were made to the Board of Directors when Martha Eiríksdóttir and Raymond J. Quinlan resigned their positions as Board Members. They were replaced by Kolbrún Jónsdóttir, a representative of the Icelandic State Financial Investments and Baldur Pétursson, an alternate Board Member.

Corporate Governance

Good corporate governance is of great importance to Íslandsbanki. The Bank works on the premise that a solid corporate governance framework enhances accountability, serving as a means to ensure confidence and trust between shareholders, directors, management, employees and other stakeholders in the Bank.

In 2009, the Iceland Chamber of Commerce, Nasdaq OMX Iceland and the Confederation of Icelandic Employers issued Guidelines of Corporate Governance. Íslandsbanki strives to comply with these guidelines, the purpose of which is to provide companies with guidance concerning relations among their shareholders, boards of directors and management. The Guidelines reflect international efforts to improve corporate governance standards in the new globalised business environment.

SHAREHOLDERS' MEETINGS

Under statutory law and the Bank's Articles of Association, shareholders have supreme authority in all matters relating to the affairs of the Bank at shareholders' meetings. The Annual General Meeting (AGM) must be held every year, no later than by the end of April each year. At the AGM, shareholders shall make decisions on the Bank's activities and the conduct of its business in the upcoming year. This includes the election of directors and an auditing firm, approval of the accounts for the preceding fiscal year, as well as any amendments to the Articles of Association, when necessary, and declaration of dividends. Shareholders' meetings may be attended by shareholders, or their proxies, and advisors. Each share carries one vote at shareholders' meetings. Decisions at shareholders' meetings are made by a majority vote, except as otherwise provided in the Bank's Articles of Association or statutory law.

ARTICLES OF ASSOCIATION

Íslandsbanki's Articles of Association regulate the Bank's internal affairs and management. The Articles contain provisions on the name of the Bank, its share capital, shareholders' meetings, elections to the Board of Directors and the responsibilities and duties of the Board and the CEO.

Board of Directors

The Board of Directors of the Bank comprises seven members and an equal number of alternates, elected at the Annual General Meeting for a term of one year. Íslandsbanki's Board of Directors constitutes the supreme authority of the Bank between shareholders' meetings, except as otherwise provided in the Bank's Articles of Association. The duties of the Board of Directors include:

- Monitoring the activities of the Bank and monitoring its operations according to law and the Articles of Association;
- Approving the main aspects of the Bank's organisational structure;

- Appointing one or more Bank managers (Chief Executive Officers);
- Appointing the Chief Audit Executive;
- Deciding which employees should be authorised to bind the Bank, and establishing the rules governing such empowerment;
- Establishing general rules on the Bank's lending, guarantees and borrowing, in consultation with the Chief Executive Officer;
- Deciding on write-offs of the Bank's assets and loans;
- Laying out and monitoring the Bank's risk management framework;
- Submitting proposals to the Annual General Meeting on the disposal of earnings;
- Addressing any other business provided for, at any time, in the Financial Undertakings Act or the Companies Act.

The Chairman of the Board of Directors is elected at a shareholders' meeting. The Board of Directors elects the Vice Chairman among its members. The Chairman convenes board meetings. A meeting must also be held if requested by a member of the Board or the CEO. Any resolution submitted to a Board meeting requires the majority of votes to pass. Such resolutions are binding for the Bank.

Chief Executive Officer

The Chief Executive Officer appointed by the Bank's Board of Directors is responsible for the day-to-day operation of the Bank pursuant to the policy and resolutions of the Board of Directors. It is also the task of the CEO to ensure that the Bank's operations are at all times consistent with the Bank's Articles of Association and applicable legislation.

Committees of the Board of Directors

In accordance with the Rules of Procedure issued by the Board of Directors, the Board has appointed an Audit Committee, a Corporate Governance, Remuneration and HR Committee, a Risk Management Committee and a Special Credit Committee.

Audit Committee

The Audit Committee is composed of three people. The tasks of the Audit Committee include:

- Monitoring the accounting process and reviewing significant accounting and financial reporting issues;
- Evaluating the effectiveness of the Bank's internal control systems;
- Monitoring execution of risk management and compliance;
- Evaluation of management reporting on financial matters;
- Proposing to the Board of Directors on selection of external auditors, assessing their independence and other tasks auditors may undertake;
- Monitoring auditing of the annual financial statements and consolidated financial statements;
- Reviewing the audit plan, activities, staffing and organisation of Group Internal Audit;

Corporate Governance

- Reviewing audit reports and significant audit findings and recommendations;
- Reviewing the effectiveness of the system to monitor compliance with laws and regulations and any findings related to non-compliance;
- Assessing if the financial statements are in accordance with information known to committee members and reflect appropriate accounting standards;
- Other matters delegated by the Board of Directors to the Committee.

Corporate Governance, Remuneration and HR Committee

The Corporate Governance, Remuneration and HR Committee is composed of four people. The tasks of the Committee include:

- Assisting the Board in setting corporate objectives;
- Assisting the Board in providing oversight of the relationships between the Bank's management and the Board, the shareholders and other stakeholders, with the aim of ensuring accountability;
- Preparing clear lines of responsibility and accountability;
- Preparing guidelines to ensure proper oversight by senior management;
- Assisting the Board in strategic objectives and corporate values;
- Providing the Board with an assessment of the effectiveness of the Board of Directors;
- Providing general guidance and policy on the salary and other remuneration and benefits and terms and conditions of employment of employees, the appointment or dismissal of the Chief Executive Officer and any employee share-based remuneration schemes;
- Advising the Board on the most effective deployment of the Bank's human resources.

The Risk Management Committee

The Risk Management Committee is composed of three people. The tasks of the Committee include:

- Reviewing the risk management methods used by management in the conduct of the Bank's operations;
- Proposing to the Board a description of material risks facing the Bank in its operations;
- Making proposals to the Board of Directors on inter alia risk appetite; Internal Capital Adequacy Assessment Process (ICAAP); financial targets relevant for risk management; authorisation limits by risk grade for credit decisions; limits on holding and lending against own shares; limits on large exposures; limits on FX, liquidity and interest rate risks; the use of risk measurements in the pricing of credit; guidelines on limits on maximum credit exposure to a single borrower by risk class; and, required interest rate margin by borrower's risk class;
- Reviewing policies set by the Board on risk management.

The Special Credit Committee

The Special Credit Committee is composed of three people. The tasks of the Committee include:

- Handling and making proposals to the Board on credit cases that entail customer credit limits or write-offs that exceed the authorisation limits of the Bank's Risk Committee;
- Making proposals to the Board of Directors on the general orientation of the Bank's lending;
- Reviewing the Bank's credit policy and credit decisions;
- Providing oversight of the Bank's debt restructuring framework and management's implementation of it;
- Determining and monitoring the aggregate sum of large exposures.

GROUP AUDIT

Internal Audit

Group Internal Audit is responsible for Íslandsbanki's internal auditing in accordance with Act no. 161/2002 on financial undertakings. The role of Group Internal Audit is to provide the Bank with independent, objective assurance and consulting services designed to add value and improve the Bank's operations. Group Internal Audit helps the Bank to evaluate and improve the effectiveness of its risk management, controls and governance processes. The Chief Audit Executive is appointed by the Board of Directors and has an independent position within the Bank's organisational chart.

External audit

Deloitte hf. (Deloitte) acts as an independent external auditor for Íslandsbanki. Deloitte is an independent state authorised public accountancy firm and a separate legal entity forming a part of the network of member firms of Deloitte Touche Tohmatsu.

COMPLIANCE DIVISION

Íslandsbanki's Compliance division has an independent position in the Bank's organisational chart. The Compliance division's function is to assist in managing compliance risk on a consolidated basis. The Compliance division is headed by the Compliance Officer, who is appointed, together with his or her alternate, by the Chief Executive Officer. The appointment must be confirmed by the Board of Directors. The Compliance division has a letter of mandate from the Board of Íslandsbanki. The Compliance Officer files reports annually to the CEO and the Board of Íslandsbanki.

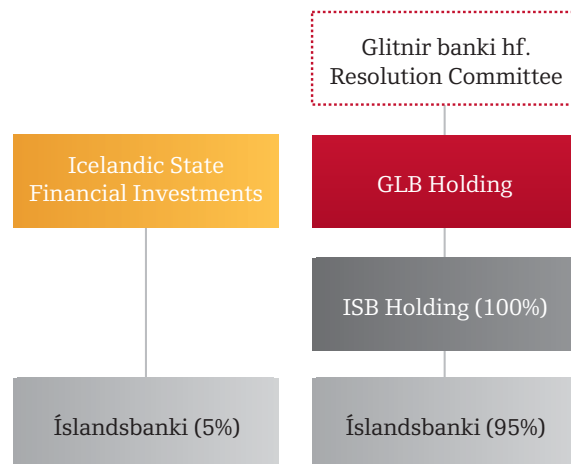
Compliance risk can be defined as the risk of legal or regulatory sanctions, financial loss, or damage to the Bank's reputation in the event of failure to comply with applicable laws, regulations, and codes of conduct and standards of good practice. Compliance, in co-operation with Group Internal Audit, performs a special fit and proper test by virtue of infor-

mation gathered via questionnaires and exams to Executive Board members and key employees. Among other things, Compliance focuses on:

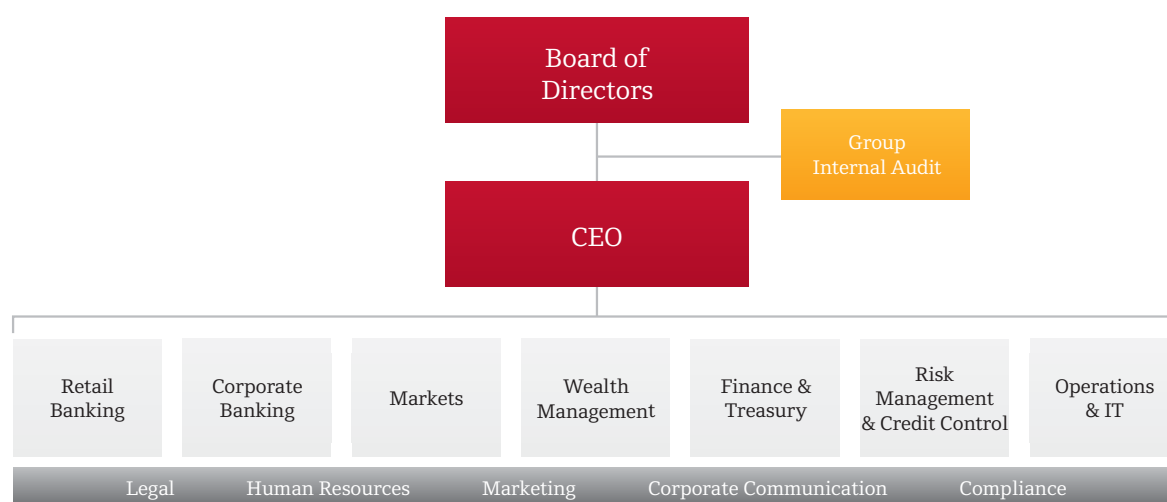
- Availability of information and appropriate content of training sessions for employees and the Bank's management;
- Market abuse;
- Trading by owners of qualifying holdings, management and employees;
- Trading by the Bank for its own account;
- Separation of operating divisions and maintenance of chinese walls;
- Records of related and connected parties according to the Rules of Procedure of Íslandsbanki's Board of Directors;
- Lists of primary insiders and temporary insiders;
- Transactions by primary insiders involving the Bank's financial instruments;
- Handling and use of insider information regarding Íslandsbanki;
- Complaints from clients concerning alleged infringements and maintenance of personal records;
- Employee fraud (in co-operation with the Internal Audit Department);
- Anti-money laundering procedures and compliance;
- Financial crimes;
- Best execution practices;
- Client classification;
- Compliance with the Bank's Code of Ethics;
- Conduct of business;
- Employee participation in management and business operations.

OWNERSHIP STRUCTURE

Íslandsbanki is in the majority ownership of Glitnir's Resolution Committee which, on behalf of its creditors, holds 95% of the Bank's shares through its subsidiaries. The remaining 5% is held by the Icelandic government which is managed by Icelandic State Financial Investments.



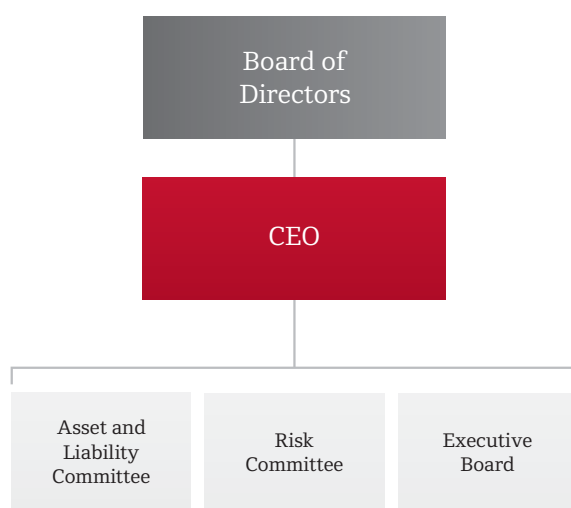
Corporate Governance



Íslandsbanki offers comprehensive financial services to individuals, households, corporations and professional investors in Iceland. The Bank has a strong market share across the client and product spectrum. Building on a heritage of lending to industry in Iceland, the Bank has developed specific expertise in two industry sectors – seafood and geothermal energy – that together form the basis for its overseas strategy. With its focused approach in these fields, Íslandsbanki offers valuable services to industry players and investors.

Risk Management Committee structure

The organisational structure for the committees governing the Bank's risks is as follows:



The implementation of the risk management framework, limit-setting and monitoring is delegated to the Risk Committee, the Asset and Liability Committee and the Executive Board. The Board of Directors has granted authority to these committees to issue specific guidelines and targets regarding accept-

able risk limits and decide on individual positions, depending on size and risk level. The members of these committees are appointed by the CEO.

The Risk Committee

The Risk Committee is responsible for supervising and monitoring the Bank's credit and credit concentration risks on consolidated level. The Risk Committee governs the Bank's Credit Risk Policy and other credit rules and procedures. The Risk Committee can delegate authorisation power to subcommittees and decides on credit authorisation limits to individuals.

The Risk Committee is also responsible for approving products and services according to a formal approval process within the Bank.

The Risk Committee and each subcommittee have the authority to decide on credit proposals, credit risk and counterparty credit risk within defined limits. Decisions on exposures that exceed committee limits shall be reverted to a senior committee. In particular, credit decisions exceeding the limits of the Risk Committee need to be referred to the Board for confirmation.

Asset and Liability Committee

The Asset and Liability Committee (ALCO) supervises other financial risks including market risk, liquidity risk and interest rate risk in the non-trading portfolio. ALCO decides on and sets limits for these risks and governs the Bank's Market Risk Policy and Liquidity Risk Policy. ALCO also oversees the Bank's capital allocation framework and transfer pricing mechanism.

The Executive Management Board

The Executive Management Board is responsible for the operational risk framework on consolidated level. The operational risk framework covers how operational risk is identified, assessed, measured, monitored, controlled and mitigated at the Bank. In addition the Executive Management Board su-

pervises reputational risk, business risk and strategic risk. The Executive Management Board governs the Bank's Operational Risk Policy.

In 2011 Íslandsbanki published a comprehensive Risk Book together with the Annual report. The Risk Book provides ad-

ditional information about the Bank's risk management framework, capital structure & adequacy, material risk exposures and risk assessment processes. The Risk Book is available on the Bank's website www.islandsbanki.is/riskbook.

Mapping the Path Forward

Íslandsbanki's management has placed great emphasis on employee and customer participation in defining the strategy on which to rebuild the Bank. Pursuant to this policy, the second annual Strategy Summit, a forum open to participation by all employees, was held on 16 January 2010. Over 600 employees, or almost 75% of all employees, signed up to deliberate on four main themes: vision, business opportunities, open and responsible banking, and efficient and reliable operations.

THE STRATEGY SUMMIT

The primary objectives of the 2010 Summit were to define a future vision for the Bank and lay out a strategy that supported the goals necessary to fulfil that vision. The themes that were discussed were identified on the basis that these were the areas the Bank would need to focus on to support the vision that was eventually agreed upon. Feedback from customers was sought directly, with participating employees each calling three customers for their perspective on what the Bank was doing well, and what might be improved. The Summit's findings were then used as a basis for formulating the

Bank's main strategic initiatives of 2010 and allocating resources to appropriate areas of the Bank's operations to achieve them.

THE FIVE-YEAR BUSINESS PLAN

A company's strategy is always contingent on developments in its external environment. In the current economic climate, Iceland's economic picture is subject to a good deal of uncertainty. To better equip the Bank for a future that is filled with uncertainties, the Bank used scenario planning to evaluate future strategy options in the wake of the Strategy Summit.

This work resulted in four scenarios, or "seasons," that took into account a range of plausible social and external trends. Each scenario was then "stretched" to its logical, possible and plausible limits.

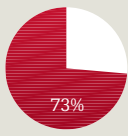
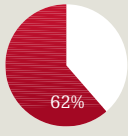
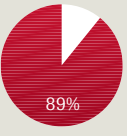
Extensive internal analysis, discussions, interviews, surveys and staff and management workshops provided the Bank with a finalised version that was translated into a five-year business plan, firmly laying out appropriate and necessary goals. The strategy employed in the business plan was carefully evaluated against what employees believed to be the most likely scenario to develop in Iceland's business sector and economy over the next five years.

The business plan, and the strategy it is built on, was formulated with the same bottom-up approach as had been used at the Summit meetings. In all, around 250 of the Bank's 900

The stepping-stones in the Bank's strategic process

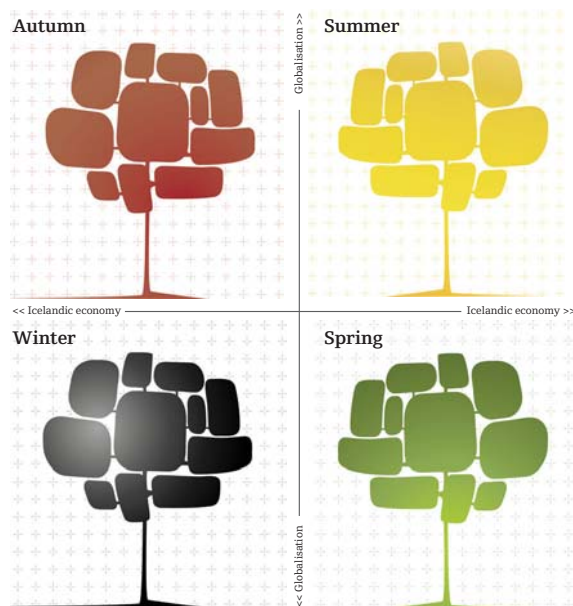


The Bank's Strategy Summits have been a success with employees

	No. of employees attending the meeting	Satisfied with the meeting and its outcome	Should be a yearly event	Believe it will affect the Bank's strategy
2010				
2009				N/A



Mapping the Path Forward



Each scenario was named for a season depending on dominant trends in the external environment

employees participated in the scenario planning work. Each of the Bank's business units prepared their individual business plan with support units aligning their work accordingly. These plans then fed into the Bank's overall plan.

THE VISION

Íslandsbanki's vision is to be **number one in service**. The Bank wishes to be known for the best personal service, being proactive and bringing added value to its customers.

**#1
in service**

Market surveys suggest that Íslandsbanki is the frontrunner in building a strong bank that understands the current situation customers are facing. The service oriented and proactive company culture is an important asset in Íslandsbanki's bid to realise this vision. This is underpinned by the Bank's values, which were chosen by the employees themselves: professional, positive and progressive.

Íslandsbanki believes that focusing on becoming number one in service will bring broad benefits. The Bank will be the one with the most satisfied customers, it will be the most attractive company to work for and it will be the most profitable bank in Iceland.

MAIN GOALS IN THE NEXT FIVE YEARS

The Bank's vision sets it an ambitious goal, which will require bank-wide participation and co-operation. The goals set in support of the vision are divided into these six main categories, with all business units setting their own individual goals in each of them:

- Growth
- Restructuring
- Operational efficiency
- Business model
- Service
- People

Some of the goals are recurring themes in the Bank's objectives of the past two years, as can be expected given their scale and nature.

In order to achieve these goals, Íslandsbanki has established ten key projects that will be closely monitored by the Executive Board and the Board of Directors:

#1 in service

This will be Íslandsbanki's main undertaking in the medium term. One of the most important tasks in this respect is to communicate the Bank's vision throughout the organisation, not only in the units providing the service to the customer but also through the support units, so that all employees have it as a priority in their daily activities.

Funding

Íslandsbanki will work to increase the diversity of the Bank's funding base by strengthening the Bank's relations with international banks, financial institutions and investors, both domestic and overseas.

Strengthening and optimising the infrastructure

To sustain profits, capture market opportunities and realise its vision, Íslandsbanki will continue to emphasise the strengthening of its infrastructure to ensure efficient and secure IT systems operation based on reliable data.



Growth related projects

Íslandsbanki will be vigilant in its monitoring of growth opportunities in the domestic market. The Bank will continue to put its expertise in seafood and geothermal energy to good use in growing its international activities.

Mapping the Path Forward

Development of the business model

Íslandsbanki will continue to develop its business model to make sure that it reflects changes in its external operating environment and thus secure the Bank a leading competitive position. The Bank aims to be instrumental in the rebuilding of the Icelandic business sector and economy.

Finalise restructuring

Íslandsbanki will work relentlessly towards its ambitious goal of finalising the financial restructuring of household and corporate debt.

Future ownership

Íslandsbanki will work closely with its current owners on developing a strategy for the long-term future ownership of the Bank.

Attract and retain the best people

High achievement can only be attained with good people. Íslandsbanki aims to attract and retain the best people by offering a challenging working environment and competitive compensation.

Cost efficiency

Íslandsbanki will continue to emphasise efficient operations. Continued high infrastructure costs, and costs associated with tighter regulatory control, along with limited lending opportunities in Iceland in the short term, will continue to make this an important factor at all levels of the organisation.



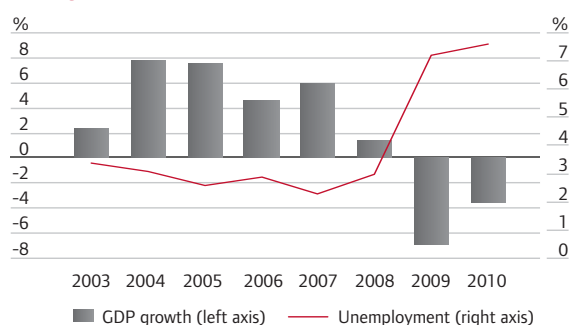
Trust building initiatives

The rebuilding of trust will only happen gradually. In this endeavour, Íslandsbanki will continue to let actions speak louder than words by making sure that appropriate information is readily disclosed to all relevant stakeholders. This includes the Bank's continued dedication to the development of appropriate measures for debt relief and other service needs of its customers, and the strengthening of the Bank's infrastructure and of its regulatory framework.

Economic Review

Following the rapid upswing in the Icelandic economy that started in the middle of the last decade, the economy has been enduring a severe banking and currency crisis over the past three years. Gross domestic product (GDP) contracted considerably during this period, the value of assets deteriorated, real wages declined and unemployment rose. Despite the steep downturn, the Icelandic economy is still bearing up quite well by international standards, since the GDP per capita, for example, is still among the highest in the world and the general standard of living is good.

GDP growth and unemployment

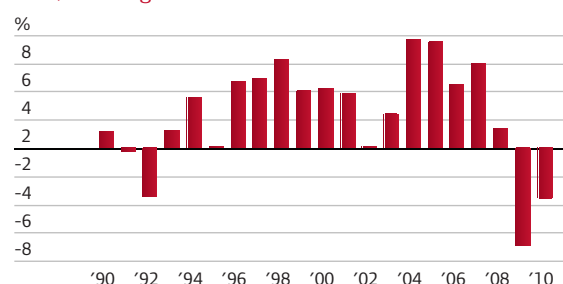


The Icelandic economy has a history of considerable volatility. Its source was in most cases to be found in the main exports sector, the fisheries industry, and was therefore linked to fish catch volumes and fluctuations in the prices of marine products on foreign markets. The development of heavy industry, which plays a predominant role in export activities, has also been the cause of some volatility during the investment period. The business cycle of the last decade was partly fuelled by investments of this kind. However, these fluctuations can, to a greater extent, be attributed to systemic changes in the domestic financial market. In a short period of time the domestic market evolved from being a capital controlled environment with fixed exchange rates to being an open financial market with a floating exchange. The currency and banking crisis was therefore preceded by the classical antecedents to a crisis of this kind.

Reactions to the financial crisis led to rather classical clashes in the political arena in which a leftist coalition ousted the centrist-right government. The International Monetary Fund (IMF) came on board at the end of 2008 with the promise of a credit facility in exchange for a letter of intent from the Icelandic government vowing changes in the Icelandic economy in three main areas: i.e. fiscal policy, the activities of financial institutions and the stability of the foreign exchange market. Progress has been made on this front, with some delays, and the Stand-by Arrangement with the IMF is expected to draw to an end in 2011.

Considering the scale of the economic crash in 2008 and taking into account the enormity of the banking sector when it collapsed in relation to the size of the economy, the restoration has been progressing quite well. The emphasis has been placed on protecting Icelandic households from the fallout of the financial collapse which have been adversely affected by soaring inflation, rising unemployment following a sharp weakening of the ISK.

GDP, % change YoY



Economic indicators are now showing signs that the bottom of the downturn has been reached. Consumption seems to have reached bottom and there is an underlying turnaround in the development of real wages, which have started to rise after a substantial decline since 2008. Moreover, the ISK has appreciated and inflation has reached the Central Bank of Iceland's target. The rate of increase in unemployment seems to have stabilised and growth is being observed in specific areas of the export sector, thanks to a rise in global economic growth and the low exchange rate. Moreover, foreign investment in energy-intensive industry is expected to start picking up again and all official economic forecasts expect to see economic growth this year after a two year period of contraction.

Review of Operations

THE YEAR 2010

During the year 2010, Iceland experienced a continuous period of uncertainty and instability in its economic environment with historically high unemployment, stagnant real estate market and a relatively low public consumption.

Inflation gradually subsided throughout the year and interest rates lowered considerably. The Bank is largely funded by deposits, whilst a part of the interest income is currently fixed. This resulted in a significantly lower funding cost which positively affected the net interest margin.

The Bank's reduced its vulnerability to foreign exchange rate changes by engaging in a foreign exchange swap contract at year end 2010. Loans to borrowers with ISK income have been treated as ISK loans by impairment of foreign exchange differences. The net foreign exchange gap was therefore eliminated.

Taxation increased considerably during the year with a corporation income tax rate increase of three percentage points, an increase in National Insurance and an introduction of a new bank tax, calculated as a percentage of total liabilities.

Households and companies have been de-leveraging and the Bank did therefore experience a slowdown in new lending activities. One of the main focuses in 2010 was the restructuring of the acquired loan assets in order to facilitate the individuals' and corporations' ability to service their debt and to maximise recovery. This work will continue in 2011.

The revaluation of the loan portfolios at year end returned a positive net valuation change of ISK 14.5bn. This further supports the management's view that the estimates and assumptions on which the initial valuation was based, were sufficiently conservative. This said, it should be stated that there are still persistent uncertainties surrounding the valuation which will only be resolved in time.

The Bank continued analysing and improving its operations and processes with a view of enhancing objectivity, transparency and disciplined processes.

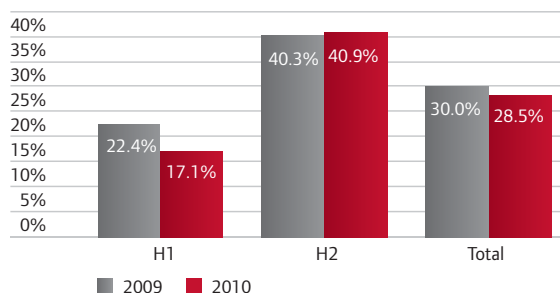
PERFORMANCE

The following presentation of the performance and financials of Íslandsbanki hf. (the Bank) is based on the Bank's consolidated financial statements 2010.

The Bank's pre-tax profit amounted to ISK 36,804m in 2010, compared to ISK 28,660m in 2009. Profit after tax was ISK 29,369m in 2010, compared to ISK 23,982m in 2009. Pre-tax profit and profit after tax have increased by 28% and 22% respectively between the years 2009 and 2010.

Earnings per share were ISK 2.94 in 2010 which is 23% higher than the ISK 2.39 earnings of 2009.

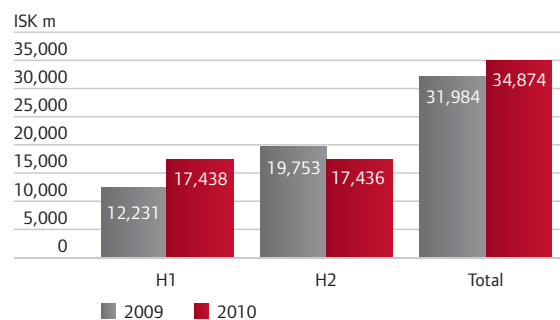
Return on equity



Net interest income

Net interest income amounted to ISK 34,874m in 2010, compared to ISK 31,984m in 2009. The net interest margin, as the ratio of net interest income to the average carrying amount of total assets, was 5% in 2010, compared to 4.6% in 2009.

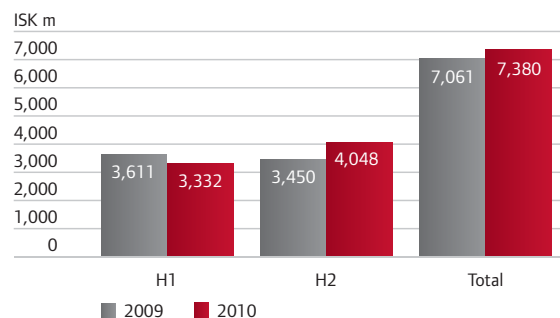
Net interest income



Net fee and commission income

Net fee and commission income amounted to ISK 7,380m in 2010, compared to ISK 7,061m for the previous year, which is an increase of 5%. The fees are mostly attributable to payment processing and loans and guarantees. The financial markets have experienced a slower than expected recovery and restructuring of companies has taken longer than anticipated. Advisory and trading fees were therefore somewhat lower than expected.

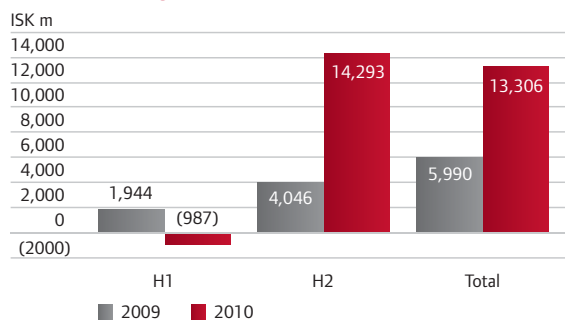
Net fee and commission income



Other operating income

Other operating income amounted to ISK 13,306m in 2010, compared to ISK 5,990m in 2009. The increase is mainly attributable to an income due to a revaluation of the loan portfolio which amounted to ISK 14,507m in 2010, thereof ISK 12,715m derived from large corporations, compared with ISK 801m in 2009. Net valuation changes include income due to revised estimated future cash flows and impairment other than latent impairment. Provision for latent impairment losses reflects impairment losses that have been incurred but not identified in the current period. This provision was ISK 514m in 2010, compared with ISK 477m in 2009. There was a ISK 963m foreign exchange loss in 2010, compared with a gain of ISK 2,621m in 2009.

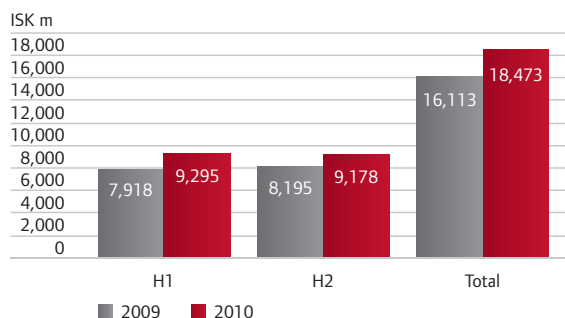
Other operating income



Other operating expenses

Administrative expenses were ISK 18,473m in 2010 compared to ISK 16,113m in 2009. The core cost/income ratio, defined as the administrative expenses divided by net interest income and net fee and commission income, was 43.7% in 2010 compared to 41.3% in 2009.

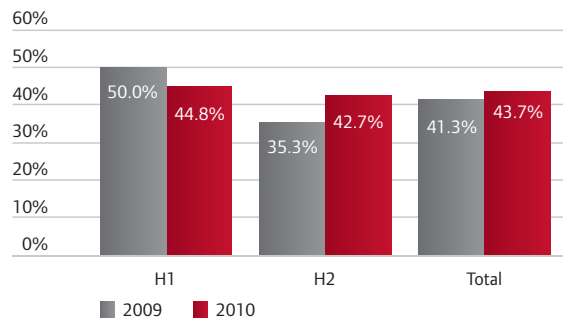
Administrative expenses



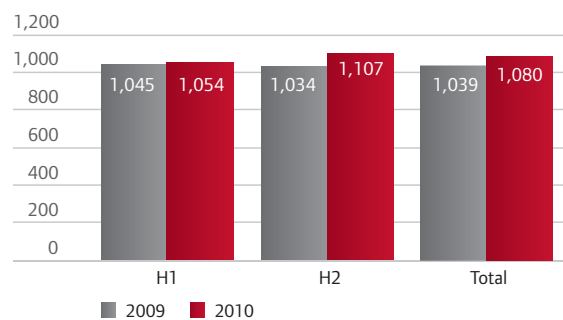
Salaries and related expenses amounted to ISK 9,207m in 2010, compared to ISK 8,036m in 2009. The average number of full time employees was 1,080 in 2010, compared to 1,039 in the previous year.

Other administrative expenses were amounted to ISK 8,643m in 2010, compared to ISK 7,569m in 2009. The increase is mainly due to increase in regulatory, legal and consultancy fees, some of which are related to the restructuring process.

Core cost/income ratio



Number of employees (average consolidated)



The Bank's cost income ratio is expected to remain relatively high during the restructuring period, after which it is expected to subside.

Depreciation and amortisation increased from ISK 508m in 2009 to ISK 623m in 2010, following increased investment to improve the Bank's infrastructure.

Net loss on non-current assets and disposal groups held for sale amounted to ISK 283m in 2010 compared to ISK 263m in 2009 and derives mainly from loss from sale of foreclosed mortgages.

Taxes

The income tax for the year 2010 was calculated as ISK 7,214m for 2010, compared to ISK 4,678m for the previous year. The corporation tax rate increased from 15% for 2009 to 18% for 2010.

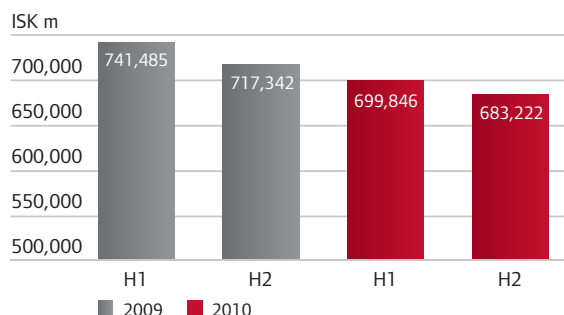
In the year 2010, the government introduced a new non-deductible tax charge for credit institutions calculated as 0.041% of total liabilities. The tax became effective for the tax year ended 31 December 2010 and was calculated as ISK 221m for 2010.

Balance sheet

The Bank's total assets amounted to ISK 683,222m at year-end 2010, compared to ISK 717,342m at year-end 2009. The decrease is mainly explained by a 5% decrease of the loan portfolio.

Review of Operations

Total assets

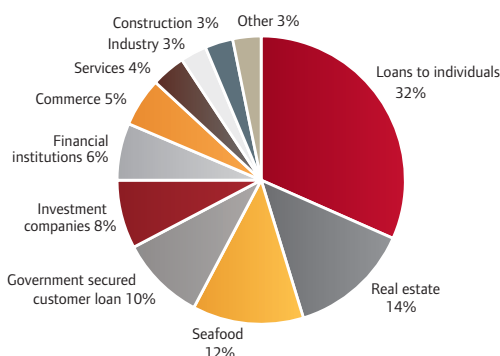


Loans

Loans to customers and credit institutions amounted to ISK 546,031m at year-end 2010, compared to ISK 577,027m at the beginning of the year, which is a decrease of 5%.

The sector breakdown of loans at year-end 2010 was as follows:

Loan portfolio sector split (consolidated)



The performance of the Bank's loan portfolio is difficult to measure in conventional terms as the largest part of the portfolio was acquired at a deep discount, with a large gap between the claim value and the book value. Many customers are undergoing financial restructuring and have accepted standardised options made available to borrowers, e.g. principal adjustment. Events, such as new legislation and court rulings, outside the scope of either the Bank or its' customers, have affected the portfolio and make it difficult to express its performance.

Íslandsbanki has regularly performed impairment tests to ensure that the book value accurately reflects the expected recovery of the portfolio. The Bank believes that the loan portfolio can be restructured into a performing portfolio without a further reduction in the overall carrying amount, even though there may be fluctuations in individual loan valuations. These fluctuations reflect the level of uncertainty in the loan book. This said, it should be stated that there are still persistent uncertainties surrounding the valuation which will

only be resolved in time. A more detailed discussion of the credit risk associated with the Bank's acquired portfolio can be obtained from the Bank's Risk Book.

It is the Bank's stated goal to have completed the restructuring of the acquired portfolio by year end 2011 for the largest corporate clients and by year end 2013 for retail clients.

The Bank has been actively working and co-operating with the government and other external stakeholders, to develop and co-ordinate debt relief programmes and restructuring frameworks for Icelandic borrowers. Such co-operation is necessary due to the sheer scale and magnitude of the effects of the economic crisis in Iceland on Icelandic households and businesses.

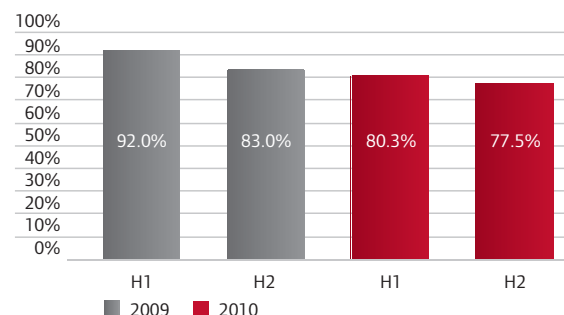
While progress has certainly been made in 2010 the Bank as well as other Icelandic banks suffered setbacks during the year. Most adverse was the Supreme Court ruling on specific types of foreign denominated loan agreements and the subsequent legislation. Based on these rulings the Icelandic government introduced new legislation which took effect on 28 December 2010 (Act 151/2010) that formulates the way foreign denominated loans are to be recalculated. Associated with these recalculations the Bank does not expect to incur losses in excess of what has already been recognised through the impairment process and is fully reflected in the financial statements. Additionally, all repayments to customers have already been provisioned for.

Liabilities

Total liabilities amounted to ISK 561,759m at year-end 2010, compared to ISK 625,239m at the beginning of the year. The decrease is mainly due to a 12% decrease in deposits between the years.

The deposit to loan ratio was 77.5% at year-end 2010 compared to 83.0% at year-end 2009.

Total deposit/loan ratio

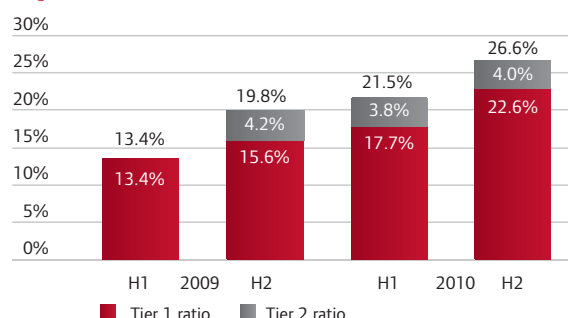


Equity

At year-end 2010 the Bank's total equity was ISK 121,463m, compared to ISK 92,103m at year-end 2009, which is an increase of 32%. Thereof, ISK 791m is attributable to minority interests compared to ISK 840m in 2009. At year-end, the nominal value of authorised share capital of the Bank was ISK 10,000m.

The FME requires the Bank to maintain a minimum Core Tier 1 ratio of 12% of risk weighted assets and a total capital ratio, allowing for a subordinated Tier 2 debt, of 16%. Since its incorporation, the Bank has focused on maintaining strong capital and liquidity ratios. At year-end 2010 the Bank's Tier 1 ratio was 22.6%, compared to 15.6% at year-end 2009. The Bank's total capital ratio was 26.6% at year-end 2010, compared to 19.8% at year-end 2009.

Capital ratios

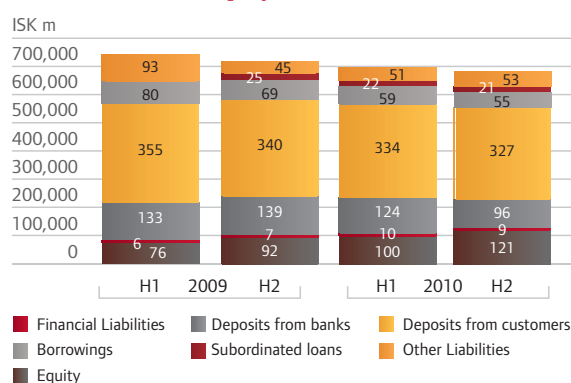


Funding and liquidity

The Bank has been largely funded with deposits since its incorporation in 2008. The ratio of total deposits against total loans was 77.5% at the end of 2010, while customer deposits to customer loans was 63.5%. In the medium term, investors are expected to diversify into other investment products, leaving deposit-to-loan ratios at similar levels as in 2004, or in the 50–60% range. The reduction in those ratios will result from both an increase in the size of the loan book and expected increased debt issuance by the Bank.

The Bank is not reliant on foreign currency funding and does not have any need to raise such funds in the short to medium term. The Bank has however started to explore its options and will take advantage of opportunities to fund a potential loan book growth should they arise.

Total liabilities and equity



The Bank has readily available liquid funds amounting to some 38% of total deposits. The Bank meets its own liquidity measures, as well as those of the FME and the Central Bank by a very healthy margin. The Bank of International Settlements (BIS) has proposed new liquidity requirements which are focused on implementing common liquidity measures for all banks, i.e. the Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR).

OUTLOOK FOR 2011

The Icelandic economy is currently restricted by the existing temporary capital controls, which were put in place in October 2008. The controls have adversely affected the domestic financial markets where the market for derivatives has been more or less non-existent.

There is a general distrust towards financial institutions among the public which will only be resolved with a continuous effort by the banks to improve openness and transparency. With the publication of a detailed Risk Book based on Pillar 3 requirements, the Bank has taken an important step towards detailed and transparent disclosure of its operations.

In recent months, the ISK has strengthened, inflation has subsided, interest rates have come down and the purchasing power of wages has started growing again. The sovereign CDS trading level has declined and the position of the Icelandic government and companies has become more favourable in the global market.

The recovery of the financial markets has been slower than expected, due to the time consuming process of the restructuring of corporations. Many of these restructuring deals are complex, particularly where there are several creditors sitting at the same table. The restructuring of the corporate loan portfolio will continue in 2011.

Uncertainties relating to loans denominated in Icelandic currency to the value of foreign currencies have somewhat lessened following a landmark Supreme Court ruling and a subsequent Parliament Act passed during the year. 70% of loans in Assets Based Financing have been converted to ISK loans in line with these rulings and around 4,000 mortgages in foreign currencies are expected to be recalculated and converted to ISK in 2011. Approximately 2,500 properties are potentially eligible for 110% mortgage adjustment which is expected to complete in 2011. The Bank awaits further court rulings in relation to other types of foreign currency loan contracts which will be forthcoming in 2011.

The Bank has continued growing on the back of strong earnings. The current capital base is solid with capital ratios well above minimum requirements.

The Bank will endeavour to continue building trust in its operations and to continue its focus on providing customers with the best available service.

Managing Directors



Jóhannes Baldursson
Markets
(b. 1971)

Jóhannes Baldursson joined Íslandsbanki (then VÍB Securities, a subsidiary of Íslandsbanki) in 1996. He started as a securities broker, then moved to Treasury and later joined Capital Markets. Mr Baldursson headed the FX sales unit for several years and became Managing Director of Capital Markets in Iceland in 2007. He was appointed Executive Vice President of Capital Markets in May 2008 and has served as Managing Director of Treasury and Capital Markets, later Markets, since October of the same year.

Mr Baldursson holds an MSc in Economics from UPF (Universitat Pompeu Fabra) in Barcelona, Spain, a BSc in Economics from the University of Iceland, an ACI Diploma and is a licensed securities broker.



Sigrún Ragna Ólafsdóttir
CFO
(b. 1963)

Sigrún Ragna Ólafsdóttir joined Íslandsbanki at the end of 2007 as Managing Director of Finance and was appointed Managing Director of Finance and Operations in October 2008. Ms Ólafsdóttir assumed her current role of Chief Financial Officer on 1 July 2010. Prior to joining Íslandsbanki, she worked for Deloitte where she served as Chairman and Partner. Ms Ólafsdóttir has extensive experience in accounting, having worked with various companies in a variety of industries.

Ms Ólafsdóttir holds an MBA degree from Reykjavík University and a Cand. Oecon. degree in Business Administration from the University of Iceland and is a State Authorised Public Accountant.



Sigríður Olgeirsdóttir
COO
(b. 1960)

Sigríður Olgeirsdóttir was appointed Chief Operating Officer in September 2010.

Ms Olgeirsdóttir has worked in the IT industry since 1984 and prior to joining Íslandsbanki was Executive Director of the IT Division of TækniVal hf., Managing Director of Ax Business Intelligence A/S in Denmark and Managing Director of Ax Business Intelligence in Iceland.

Ms Olgeirsdóttir holds an MBA degree in International Management from Reykjavík University. She further holds a diploma in Business Operations from the Institute of Continuing Education at the University of Iceland and is a systems analyst educated at EDB School in Odense, Denmark.



Stefán Sigurdsson
Wealth Management
(b. 1972)

Stefán Sigurdsson joined Íslandsbanki's Corporate Finance unit in Copenhagen in 2006. He became Managing Director of the Bank's Business Development division in May 2008 and was appointed Managing Director of Asset Management in October 2008. He has worked in the financial sector since 1997 and has extensive experience of capital markets, treasury, corporate finance and business development.

Mr Sigurdsson holds an MSc in Economics from the University of Copenhagen and a BSc in Economics from the University of Iceland.

Managing Directors



Una Steinsdóttir
Retail Banking
(b. 1966)

Una Steinsdóttir joined Íslandsbanki in 1991 as a specialist in the International Banking division. She has comprehensive experience and has worked within loan supervision and service management. She was a Branch Manager in Keflavík from 1999 to 2007, when she became Managing Director of the Bank's branch network. In October 2008 she was appointed Managing Director of Retail Banking.

Ms Steinsdóttir holds a Cand. Oecon. degree in Business Administration from the University of Iceland.



Vilhelm Már Thorsteinsson
Corporate Banking
(b. 1971)

Vilhelm Már Thorsteinsson joined Íslandsbanki in 1999. He has held various positions in Capital Markets, Leverage Finance and within the CEO's office, working on different types of transactions and strategic projects in Iceland and internationally. In May 2008 he was appointed Executive Vice President of Treasury and Corporate Centre and in October 2008 he was appointed Managing Director of Corporate and Investment Banking, which following organisational changes in July 2010 became Corporate Banking.

Mr Thorsteinsson holds a BSc in Business Administration from Reykjavík University, an MBA from Pace University New York and is a licensed securities broker.



Sverrir Örn Thorvaldsson
CRO
(b. 1969)

Sverrir Örn Thorvaldsson joined Íslandsbanki in 2006 as Executive Director of Risk Management. Prior to joining the Bank he worked in research and software development for deCODE Genetics where he served as Executive Director of Data Management and Data Analysis. Mr Thorvaldsson was appointed Chief Risk Officer in November 2010.

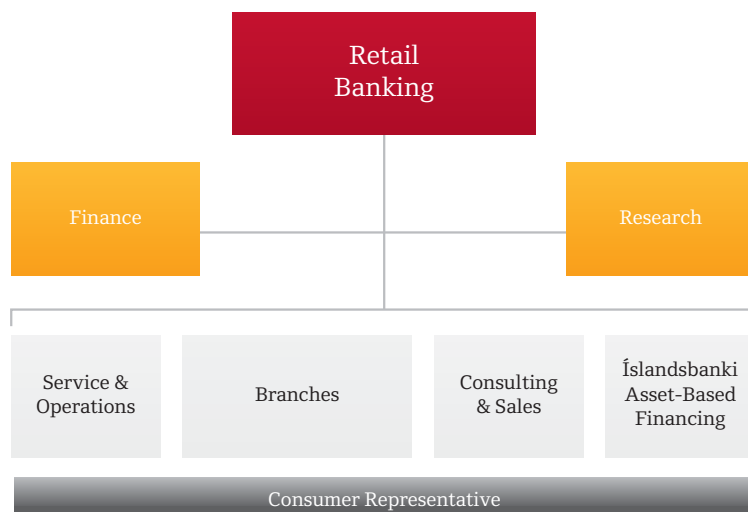
Mr Thorvaldsson holds a BSc degree in Mathematics from the University of Iceland and an MSc degree in Financial Mathematics from Stanford University. He is a licensed securities broker and a Financial Risk Manager certified by the Global Association of Risk Professionals.

Retail Banking

Retail Banking provides banking services to individuals, households and small to medium-sized companies. The business unit comprises Íslandsbanki's branch network, Asset-Based Financing and the credit card and payment services subsidiaries Kreditkort and Borgun.

In 2010, the call centre received more than 52,000 phone calls; 90% of those were satisfactorily concluded in the call centre. The call centre will play an increasingly important role in 2011 in the processing of the thousands of household restructuring cases.

Íslandsbanki offers a comprehensive online banking service which has more than 67,000 active users. In addition to being able to conduct all traditional banking transactions customers are granted access to a sophisticated personal finance software, Meniga, free of charge. A little less than 10,000 of Íslandsbanki customers are currently making use of this service to better monitor their expenses and personal finances.



Retail Banking organisational chart

The branch network provides financial services to individuals, households and small- to medium-sized companies (SMEs) in Iceland through its call centre, online banking and 21 branches located around the country. In a bid to increase efficiency, Íslandsbanki has significantly reduced the number of branches in recent years, while at the same time increased focus on both the call centre and the online distribution channel. In 2011, two branches in Reykjavík will be merged into one, thus further reducing the number of branches in the network. This is a part of an initiative to improve the service levels within Retail Banking by giving more focus to larger branches, which can better fulfil their roles as advisory centres.

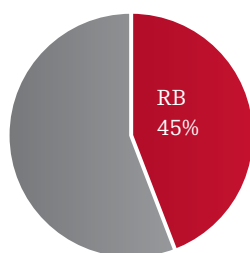
CONTINUED FOCUS ON DEBT RELIEF AND RE-STRUCTURING

2010 was a year marked by turmoil in the Icelandic economy, with a strong focus on corporate and household debt restructuring. Íslandsbanki was the first bank in Iceland to offer debt adjustment for mortgages, both CPI-linked and FX-linked, an initiative which was a considerable success. A significant portion of customers with mortgages thus opted to convert their loans to non-index linked mortgages in lieu of a decrease in principal.

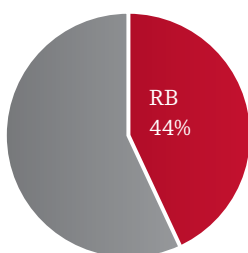
Other initiatives, such as systematic debt restructuring for both households and corporations, were developed further in 2010. Small and medium-sized companies which are unable to meet with their obligations, but which are nonetheless deemed viable in the long run, undergo a comprehensive debt restructuring in order to adjust their debt levels to either their asset value or enterprise value, a so-called "Beina brautin" (Fast track). A similar approach applies to households, where debt levels are adjusted to debt service capacity.

2010 RESULTS

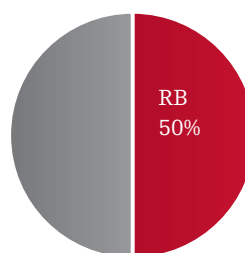
Total income
ISK 55.6bn



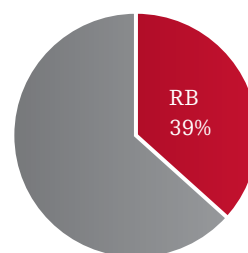
Total assets
ISK 683.2bn



Net interest income
ISK 34.9bn



Profit before tax
ISK 36.8bn



Other products in 2010 included construction loans through the “Allir vinna” (Everyone at Work) initiative, through which customers could get favourable loans for renovation of their homes as a part of a scheme in which the government offered various tax breaks.



Íslandsbanki also offered a new deposit product in 2010, a fixed rate term deposit account which is new in the market, as well as a new form of mortgage, non-index linked mortgage with floating or fixed rates.

Retail Banking embarked on two major initiatives in 2010; systematic overdraft reduction and the sale of non-index linked pension account in co-operation with Wealth Management.

At the end of 2010, the Icelandic Parliament passed legislation that required all FX mortgage lenders to re-calculate their loans based on a Supreme Court ruling from September 2010, and subsequently convert them to ISK. This will require a massive effort through 2011, in which around 4,500 loans will have to be recalculated and customers contacted to explain the process and their options.

Also at the end of 2010, various agreements were signed by the banks, the government and various stakeholders in the economy to solve systematically the over-leverage of households and corporations. Agreements concerning systematic debt restructuring, which standardise the process across the various lenders, will hopefully result in a swifter and more efficient process for both households and corporations. An agreement to adjust mortgages to 110% of the market value of

the property was also finalised by the end of 2010, whereby households that are significantly over-leveraged can, in most cases, relatively easily decrease their debt to a more manageable level.

CUSTOMER PERCEPTION

Despite turbulent times and strong focus on restructuring, the Bank can nevertheless feel a strong support, in the market, among both individuals and SMEs. According to a survey conducted by Capacent among SMEs in November 2010, Íslandsbanki has a considerable lead when asked which bank offers the best service level for SMEs, innovation and professionalism. Individuals rank Íslandsbanki the highest of the three major banks when it comes to customer satisfaction and leadership in restructuring. Both groups perceive Íslandsbanki to be the leader in the market and most in tune with the current environment. These results give the Bank confidence in servicing its customers and bringing the Bank forward.

ASSET-BASED FINANCING

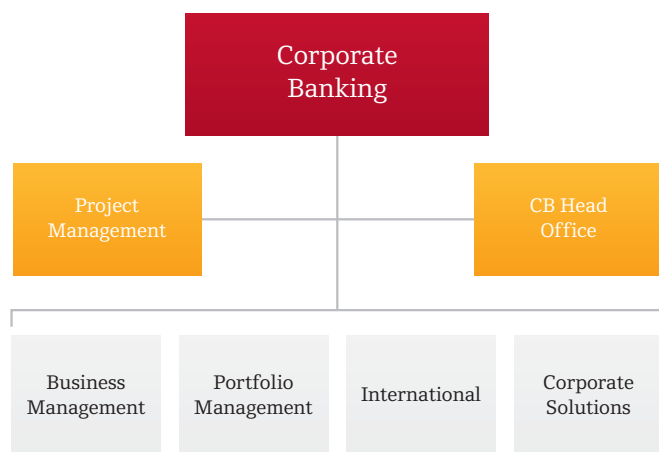
Íslandsbanki's Asset-Based Financing (ABF) division provides services designed to assist customers wishing to lease or buy various goods. Clients include individuals seeking to buy or lease cars or recreational vehicles and corporate customers looking to finance vehicles, equipment and real estate.

2010 saw a marked increase in new borrowings, especially to corporations. There are indications that this market is slowly turning around.

2010 also saw a series of court rulings that declared FX-linked car loans illegal. The consequences were that all loans, whether currently in existence or already paid up, must be re-calculated from the date of issue and the balance outstanding, if any, adjusted accordingly. In most cases, the principal of the loan therefore decreased significantly and many customers were also eligible for a refund of excess payments made in the past due to the depreciation of the ISK. By the end of 2010, around 70% of the 12,000 contracts had been satisfactorily settled, with the remainder due to be settled in early 2011.

Corporate Banking

Corporate Banking (CB) offers a broad range of credit services and advisory to medium- and large-sized corporations and investors. Íslandsbanki's industry expertise and business approach towards Iceland's seafood, geothermal energy and municipal sectors is also driven and overseen by CB, as well as the international activities in the Bank's two niche sectors, seafood and geothermal energy.



Corporate Banking organisational chart

CORPORATE BANKING

The division's primary activities include credit services and other related services to medium- to large-sized companies and professional investors. This entails providing services and additional offerings to current customers, as well as business development with potential new customers.

Business managers within Business Management are responsible for the customer relationship, while credit management is supported by credit specialists. Credit specialists, who are part of Portfolio Management, also have credit management roles

and support the business managers in servicing the customers as well as monitoring and managing their credit exposure.

Portfolio Management is responsible for all portfolio analysis and all CB's monitoring and reporting requirements, including risk assessment, financial reporting and analysis and the provision process.

CORPORATE SOLUTIONS

Following the economic collapse in Iceland, a part of the Bank's corporate loan portfolio was categorised as distressed debt. To deal with the situation, the Bank strengthened its teams responsible for workouts and management of distressed debt. Corporate Solutions is responsible for large corporate restructuring projects and is independent from general corporate banking activities.

The primary goal of Corporate Solutions is to maximise the Bank's recovery from the distressed loan portfolio while at the same time remaining mindful of issues such as competitive position, and the role and importance of the target company in its market and local environment.

For a more detailed view of the status of the Bank's loan portfolio, please refer to page 22.

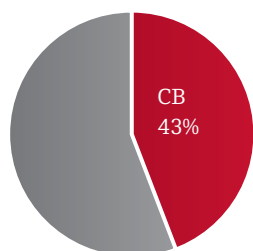
RESTRUCTURING IN FOCUS

In June 2010, the Corporate & Investment Banking division was re-named Corporate Banking as part of organisational changes within Íslandsbanki. Corporate Finance became part of Capital Markets and the Distressed Credit Management unit became part of the Corporate Banking division and was re-named Corporate Solutions.

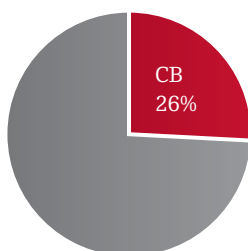
Among its peers in Iceland, Íslandsbanki ranked as the leading bank based on a survey by Capacent Gallup in November 2010. Capacent conducted the survey among the 300 largest companies in Iceland. The result of the survey is that the general perception of companies in the sample is that Íslandsbanki Corporate Banking represents the most professional bank and provides the best services to large corporations. The

2010 RESULTS

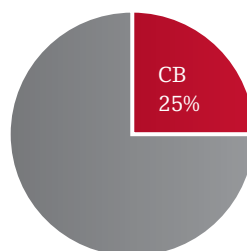
Total income
ISK 55.6bn



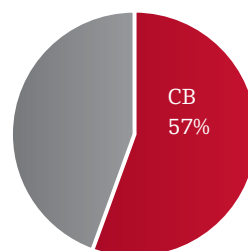
Total assets
ISK 683.2bn



Net interest income
ISK 34.9bn



Profit before tax
ISK 36.8bn



survey also shows that Íslandsbanki is perceived to have provided the best support to its customers in recent months.

In 2010, Corporate Banking continued to support its customers in finding long-term solutions and restructuring debt as necessary. Solutions offered to customers include payment holidays, extension of maturities, principal adjustment in relation to debt in foreign currency being converted to ISK, and write-offs when new equity was issued. The division plans to finish restructuring work in 2011.

Corporate Banking continued to improve its working guidelines and processes during the year. A significant amount of time and effort was invested in preparing documentation and reports for various regulatory bodies as well as other institutions and agencies, such as the Icelandic Competition Authority.

In 2011, Corporate Banking expects its portfolio to strengthen based on the restructuring efforts of the last two years. Corporate Banking will continue to work closely with its customers to improve interaction and services to its customers, making Íslandsbanki number one in service.

INDUSTRY FOCUS AND INTERNATIONAL ACTIVITIES

Íslandsbanki focuses on the niche market industries of seafood and geothermal energy. The Bank puts a strong emphasis on research and business development activities in these markets, both in Iceland and internationally. Building on the experience and success of its niche market activities, the Bank also provides special services to the municipality sector.

Throughout the year, the Bank has been represented in seafood and geothermal events in Iceland and internationally. In addition to these specific industry events, the Bank also attended other events that relate to its business and customer groups, as well as events for municipalities.

The core market for the international activities of the Bank in seafood and geothermal energy is North America. To support the international strategy of the Bank and its activities in North America, in May 2010, Íslandsbanki founded a fully owned subsidiary in New York, Glacier Geothermal and Seafood Co. It will be opened in the first half of 2011.

Seafood

Íslandsbanki and its predecessors have a strong tradition of serving the Icelandic seafood sector. The Seafood team has been very active and has served customers in Iceland and internationally for many years.

In 2010, the team focused primarily on the Icelandic seafood market, in particular working with clients throughout the challenges of the current economic climate.

The seafood team predicts that despite the high leverage in the industry in Iceland, seafood companies are in a stronger position to deal with the current difficulties than most other industries in the country. The seafood industry is the main



provider of foreign currency for Iceland and therefore represents a very important client group for any Icelandic bank. The Bank strongly believes in the opportunities represented in activities in this sector in 2011. Nevertheless, concerns remain about uncertainties faced by the industry through potential changes to the country's Individual Transfer Quota (ITQ) system in 2011.

The Seafood team published two reports in 2010: the Iceland Seafood Market Report and the U.S. Seafood Market Report.

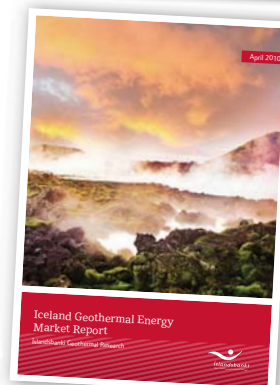
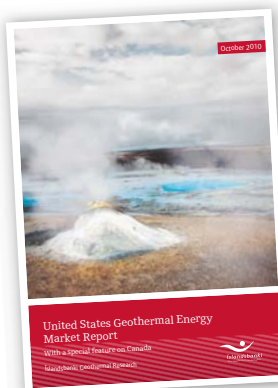
Geothermal energy

The Bank has put a strong emphasis on geothermal energy, which plays an important role for Iceland, providing nearly two-thirds of the country's primary energy supply. The activity of the Bank in Iceland and internationally has been well received and created a strong brand name in the global geothermal energy sector.

The Bank maintains a global network with the industry's players and investors in the sector. Iceland has been at the forefront of geothermal development and the Bank builds its value proposition on the experience and know-how of the Icelandic geothermal energy sector.

According to a survey conducted internationally by Capacent Gallup on behalf of the Íslandsbanki Geothermal Energy team, the Bank is very well perceived in the geothermal sector, both in Iceland and internationally. The survey examined the perception towards the Icelandic geothermal energy sector.

In 2010, the team published three reports: Iceland Geothermal Market Report, Canada Geothermal Market Report and United States Geothermal Market Report.



Markets

Íslandsbanki's Markets division is a leading player in all fields of investment banking in Iceland. Markets provides clients with financial advice and solutions as well as execution and access to capital markets. The division is built on long-term industry experience and services clients who require investment banking advisory, securities brokerage, money market or foreign exchange products.

with trade execution as well as advice on equities, fixed income, currencies and derivatives.

CORPORATE FINANCE

The Corporate Finance unit offers a full range of M&A services, including sales, acquisitions, mergers, rights issues, listings and de-listings, as well as restructuring advice. The Corporate Finance unit targets medium- to large-size Icelandic enterprises.

RESEARCH

The Research unit carries out macroeconomic research for the Bank and its clients. It carries out in-depth market analysis, provides forecasts on main economic indicators and publishes a widely read daily newsletter, both in Icelandic and English.

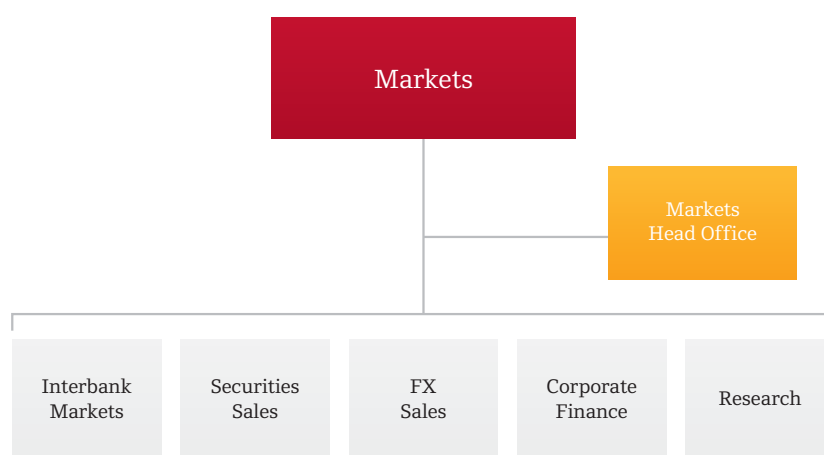
MARKET CONDITIONS

In 2010, the turnover in the fixed income market was slightly higher than in 2009. Investment banking activities

collapsed in 2008 and the only fully active market has been the fixed income market with government and housing bonds. Volumes in the equities market are still very low and the number of listed companies few. The currency market is restricted, prohibiting certain types of foreign exchange transactions.

The Icelandic securities market is very competitive and Íslandsbanki has managed to position itself as a leading player with a 23% market share on the Nasdaq OMX market in 2010.

Few large deals contributed most of the turnover on the equities market which still remained insubstantial. Capital controls have caused an understandable drop in turnover in the FX market that has affected both the client base for FX Sales as well as the variety of products that are actively traded.



Markets organisational chart

Following organisational changes, effective 1 July 2010 the investment bank units were joined under one umbrella.

INTERBANK MARKETS

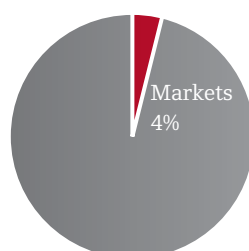
Interbank Markets is responsible for trading and market making on behalf of Íslandsbanki. In addition, Interbank Markets handles cash management and is responsible for managing the Bank's short-term liquidity position and reserve requirements.

SECURITIES SALES AND FX SALES

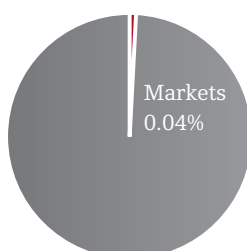
The Sales units service institutional investors, larger corporations and financial institutions. They provide those customers

2010 RESULTS

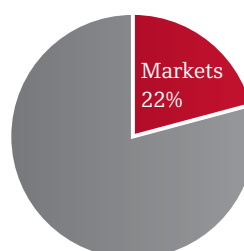
Total income
ISK 55.6bn



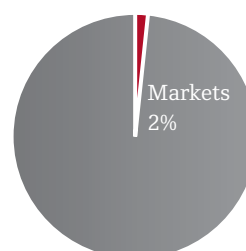
Total assets
ISK 683.2bn



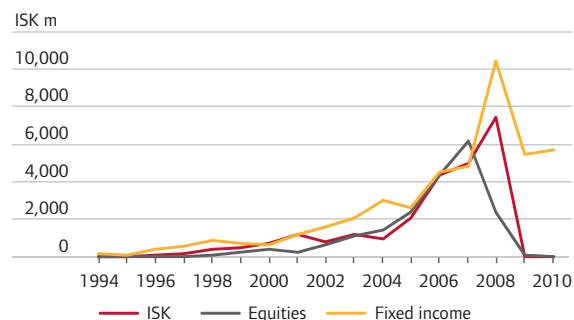
Net fees and commissions
ISK 7.4bn



Profit before tax
ISK 36.8bn



Turnover



Turnover on Nasdaq OMX Fixed Income and Equities markets as well as the currency market for the ISK

The corporate finance market has remained challenging in 2010. The landscape of the corporate advisory market

changed substantially following the collapse of the banking sector in 2008. Large players left the market or reduced their activities and new players emerged. In 2010, competition increased throughout the year when numerous new M&A boutiques started their operations. The Corporate Finance team completed several successful transactions in 2010.

OUTLOOK

Íslandsbanki has a strong position in the Icelandic investment banking sector. The main focus for the division in the 2011 will be continued work on restoring the capital markets. The Bank intends to leverage its strong position to take the lead in rebuilding liquidity in the the equities market which is expected to grow rapidly as the number of listed companies increases. Capital controls are expected to ease to some extent in 2011, returning the FX market to a more normal state.

Wealth Management

Íslandsbanki Wealth Management (ÍWM) offers comprehensive solutions in asset management and private banking for private investors and institutional clients. In addition, Wealth Management provides advisory, investment and pension services for retail investors as well as portfolio management services for affluent private investors.

Mutual funds and discretionary portfolios for institutional clients are managed through an independent subsidiary, IS Funds, a market leader in fixed income fund management in Iceland.

ISK 108bn at year-end 2010. The growth came from inflow into funds from ÍWM distribution efforts and favourable returns. There was also considerable inflow during 2010 into ÍWM's discretionary management, both in the institutional sector and private banking. Despite the inflow, assets under management measured in ISK were stable during 2010 due to an 11.3% appreciation of the ISK, deleveraging of clients and liquidation of funds related to the 2008 collapse. In spite of the turbulence in the financial market, the client base was growing. During the year, ÍWM continued its emphasis on strengthening internal processes and compliance procedures, together with implementation of a new IT system.

COMPETITION AND MARKET CONDITION

Traditionally, the market share of companies in wealth management and fund management reflects to a large degree the market share in retail banking. Over the last three years, there

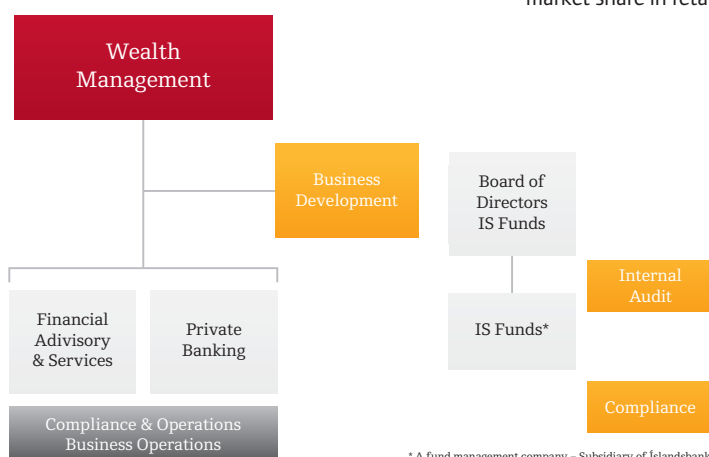
has been an increase in the number of small competitors with fund management companies and private banking boutiques growing, albeit from a very small base. In total, ten banks and financial institutions offer mutual and investment funds and wealth management services in Iceland.

According to a 2010 market research survey carried out by Capacent for ÍWM, individuals perceive ÍWM as the number one wealth management service provider in Iceland.

ÍWM's strength in fixed income product offerings has been a vital factor in the success of the division,

particularly in the light of the collapse of the Icelandic equity market in 2008.

One of the division's most important strengths is ÍWM's relative size in Iceland. The division is one of the largest investment managers providing universal investment management services.



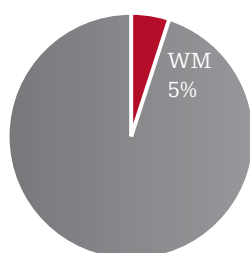
Wealth Management and IS Funds organisational charts

SIGNIFICANT GROWTH IN FUNDS UNDER MANAGEMENT

ÍWM is the largest distributor of IS Funds, a fully owned subsidiary of the bank, which is consolidated under the Wealth Management division. IS Funds under management went up by 53% between years, from ISK 70bn at the end of 2009 to

2010 RESULTS

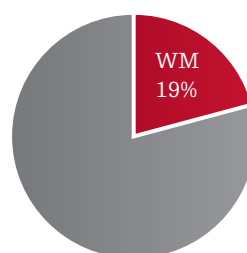
Total income
ISK 55.6bn



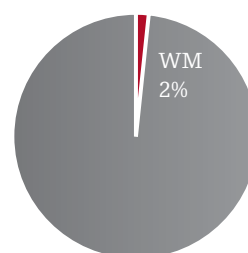
Total assets
ISK 683.2bn



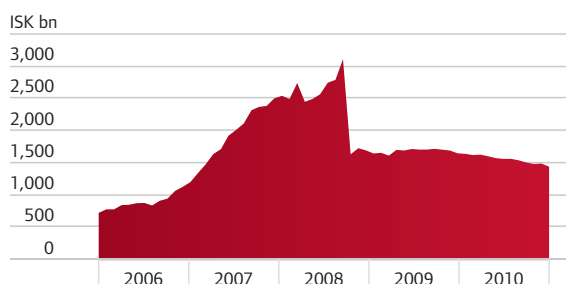
Net fees and commissions
ISK 7.4bn



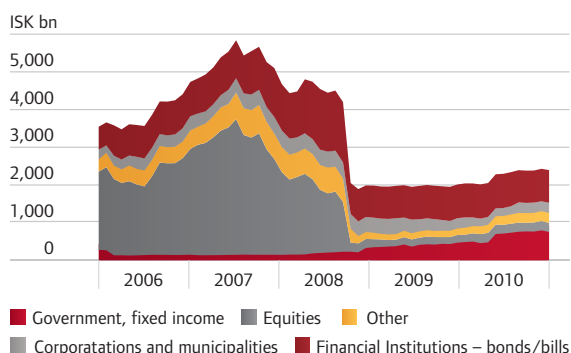
Profit before tax
ISK 36.8bn



Deposits in Iceland 2006–2010



ISK asset classes, development 2006–2010



ÍWM'S BUSINESS UNITS

Private Banking

Private Banking services are offered to affluent individuals, investment companies, funds and charities in the form of either discretionary asset management or investment advisory services. The services include portfolio management, banking facilities and financial planning tailored to the needs and preferences of each client. A dedicated personal relationship manager monitors the asset portfolio and suggests investment opportunities as they arise. ÍWM's Private Banking unit serves individuals with monetary assets of ISK 15m or more.

Each new client is profiled in order to determine the appropriate investment strategy given experience and risk profile. The client undertakes a MiFID test required by law and answers a discretionary questionnaire in addition to the personal interview on investment objectives. The client can sign up for either discretionary asset management or investment advisory services.

Financial Advisory and Services

Corporate and Institutional Services

The institutional sales team provides customised investment and asset management services for institutional investors, pension funds and municipalities. The services include customised investment strategy, portfolio and risk management, custody services, clearing, and income collection. The client base consists of pension funds, municipalities, and other institutional clients.

Private Investment Services

Private Investment Services provides diverse securities and private pension (401k) services for individuals, including investment advisory, brokerage services, custody services and pension services. The team provides support to clients through Íslandsbanki's online banking facilities, where clients have real-time access to their portfolio holdings and cash accounts, in addition to online trading in domestic funds.

Third-Party Funds

ÍWM offers global portfolio advisory and access to third-party funds such as Vanguard, Gartmore, Wegelin, Sparinvest and Skagen. Over 550 clients have assets in ÍWM's third-party funds. Clients cannot currently invest in foreign funds due to the capital controls, but ÍWM continues to offer global portfolio analysis and funds selection advisory to clients who are able to re-invest abroad.

ÍWM has had a successful partnership with the Vanguard Group for 12 years, with an exclusivity agreement to distribute the funds of Vanguard in Iceland. Vanguard is one of the world's largest investment management companies, founded in 1975. This partnership gives ÍWM's clients the opportunity to invest in a wealth of low cost global equity and mutual funds.

On 1 December 2010 Íslandsbanki Wealth Management signed a partnership agreement with DnB NOR Asset Management (DnBAM), the asset management arm of DnB NOR. The agreement covers distribution of DnBAM's products and services in the Icelandic market and will eventually cover distribution to all client segments, i.e. institutional investors, individuals and corporations.

IS Funds (a subsidiary of Íslandsbanki)

IS Funds (Íslandssjóðir hf.) is an independent subsidiary of Íslandsbanki and operates the Bank's mutual and investment funds in Iceland under the supervision of the FME. IS Funds manages several UCITS as well as other collective investment funds and is the market leader in fixed income funds.

The company offers four different domestic government bond funds, two domestic equity funds, one domestic asset allocation fund, in addition to a global portfolio fund of funds, which is closed for new investments due to capital controls. Furthermore, IS Funds provides discretionary portfolio management to corporate and institutional clients.

During 2010, there was a trend of inflow of capital into IS Funds' government bond funds, particularly towards the IS Liquidity Fund, which was launched in September 2009. The four government bond funds managed by IS Funds performed well, with average annual return for the four funds of 10.75% in 2010.

OUTLOOK

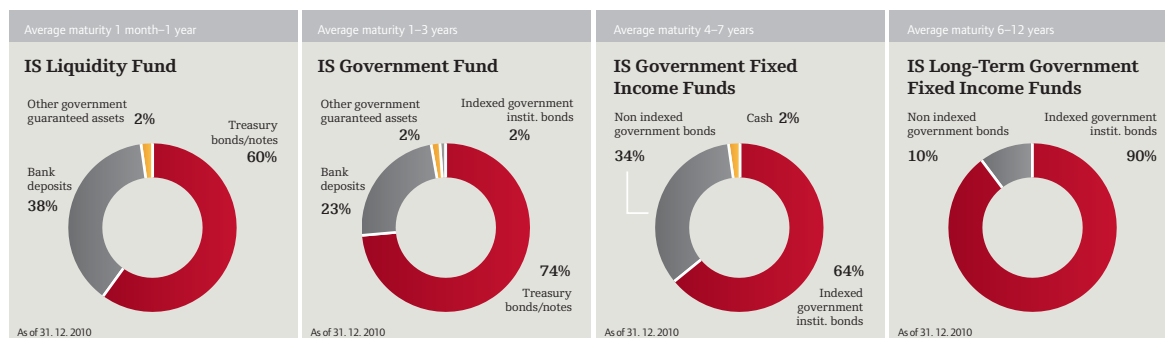
The planned rebranding of ÍWM's profit units in 2011 was one of the division's main projects during the latter part of 2010.

Wealth Management

Íslandsbanki's Wealth Management division was a separate legal entity from the Bank from its foundation in 1986 until 2001, and operated under the name VíB. This has been the new name for ÍWM since 1 February 2011.

The main reason for the rebranding of ÍWM is to demonstrate a certain arm's length separation from the Bank and to increase the visibility of ÍWM in the market, giving the division the ability to have a more independent voice in the public arena.

Government funds product portfolio



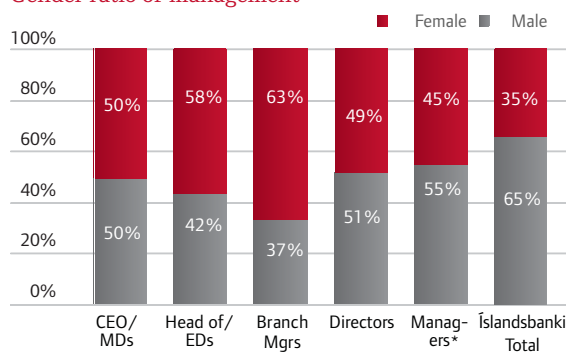
Human Resources

Íslandsbanki knows that banking is essentially a people business. The Bank's overall human resources emphasis is on managerial support, training and development, information flow, employee participation, social activities and the general wellbeing of employees.

HUMAN CAPITAL

Íslandsbanki supports a performance-driven culture that celebrates achievement. Employees participate in the strategic development of the Bank, which supports the development of initiative and teamwork. The Bank strives to achieve results and to acknowledge them when realised. Job satisfaction has an impact on performance and it is therefore important to acknowledge achievements as a motivation to do more. The Bank aims to recruit ambitious staff with diverse backgrounds, as a varied team will achieve better results than a homogeneous one.

Gender ratio of management



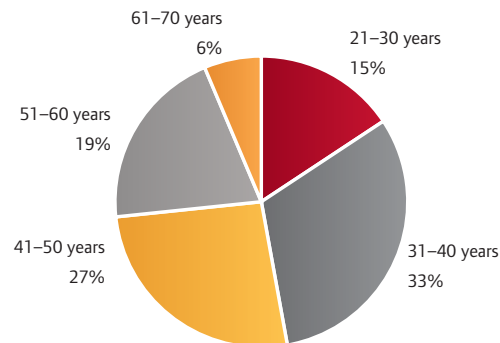
TRAINING AND DEVELOPMENT

Íslandsbanki emphasises quality training programmes and knowledge sharing. By focusing on employee development, the Bank ensures that employees have the opportunity to reach their full potential, thereby securing Íslandsbanki's competitive edge.

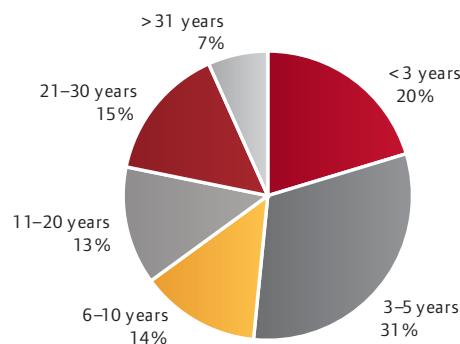
In 2010, Íslandsbanki invested in the development of employees' know-how through a broad range of training activities, based on systematic analysis of requirements and yearly employee performance evaluations. Íslandsbanki offered over 250 courses, with each employee attending an average of nearly five courses. Special effort was put on selected topics where employees were obliged to go through online training followed by exams. Several tailor-made courses were held in collaboration with Reykjavík University.

Íslandsbanki believes it is important to properly welcome new employees in order for them to integrate with their team and the Bank successfully. All new employees are required to at-

Employee age



Employee tenure



tend the orientation course "Íslandsbanki: My Company". The systematic training of new recruits plays a key role in reducing the time it takes for new employees to reach their full capacity.

Íslandsbanki supports the Bank's management team with a structured leadership programme. The Bank has a competency model for managers, which defines the skills a leader needs in order to succeed as a manager. The leadership programme aims to strengthen managers in defined competencies and enable them to fulfil their leadership roles successfully and create results.

EMPLOYEE SATISFACTION

Employee satisfaction and wellbeing are highly emphasised at Íslandsbanki. An engaged workforce is the foundation of good service, customer satisfaction, positive image and, in the end, strong financial results. Íslandsbanki has participated in Capacent's annual workplace audit since 1997. Results from the November 2010 audit showed that, despite continued challenges in the environment, the Bank's morale remained high and that employees recommend Íslandsbanki as a good workplace to their friends.

An important dimension of employee satisfaction and morale are social activities. In the spring of 2010, a variety of health-related events were held to encourage a healthy lifestyle. One

Human Resources

hundred and fifty employees took part in the national initiative “cycle to work” and volunteers assisted in cleaning ash during and in the aftermath of the Eyjafjallajökull volcanic eruption. Over 400 employees took part in the Reykjavík Marathon and contributed to raising funds for charity. Employees’ children came for a one-day workplace visit, bowling and golf tournaments were held and the hiking, golf, cooking, photography and sewing clubs were active. In December, Íslandsbanki’s second cookbook was issued, where winning recipes from an employees’ recipe contest were published. Recipes from the book were also published on the Bank’s desk calendars.



Employees climbing Snæfellsjökull glacier in spring 2010



Íslandsbanki's employees published a cookbook featuring winning recipes from an internal contest

Íslandsbanki in Society

Íslandsbanki is one of Iceland's leading companies. As a large workplace with a very broad client base, the Bank has made it a priority to maintain a good relationship with its immediate environment and customers.

OPEN, RESPECTFUL AND RESPONSIBLE BANKING

Íslandsbanki endeavours to bring a progressive, professional and positive approach to all its activities and believes that if it can be guided by those values, it can build a responsible, open and reliable bank that plays a proactive role in the enhancement of the community and environment in which it operates.



Íslandsbanki wants to invest in the future and to work towards ensuring that the world is preserved as best as possible for the generations to come. This is why Íslandsbanki has chosen to adhere to the United Nations' principles for corporate social responsibility. Íslandsbanki is proud to be a member of the UN Global Compact strategic policy initiative, an agreement which sets the parameters within which Íslandsbanki works and encourages it to do better.

Íslandsbanki's Corporate Social Responsibility policy provides the basis for the Bank's initiatives in social issues. It shapes the Bank's relationships with its stakeholders: clients, employees, local communities and the environment, and ensures that the interests of these parties always remain the Bank's top priority. The policy covers four key areas: business, human capital, community and environment.

Business

Íslandsbanki endeavours to serve its customers through the efficient provision of information, increased transparency, and non-discrimination against its customers and clear regulations.

One of Íslandsbanki's principal objectives is to ensure its customers' satisfaction and trust in the Bank. The Bank wants to make sure that all its customers get to sit at the same table and that they benefit from equal access to all the information they might need about the Bank and any of its activities that the Bank is able to disclose.

Debt relief for households and companies

In 2010 Íslandsbanki continued to be in the forefront in providing debt relief programmes to households and companies, assisting them to tackle financial distress in the wake of the financial crisis in 2008. Íslandsbanki seeks to provide precise and accurate information on the options it has to offer. This applies both to individuals with domestic and foreign mortgages and car loans and companies that do business with the Bank.

In order to avoid any potential conflicts of interest, clear working procedures have been established for the administration of companies owned by the Bank, based on the arm's length principle.

Personal finance

Íslandsbanki has set up a special website called Your Finances (www.islandsbanki.is/fjarmalinthin). The goal of the website is to be a financial information provider where the public can search for information relating to personal finance. The aim is to guide people to better understanding so they can make informed decisions regarding their personal finances. On this website customers will find general explanations of financial concepts, articles and an overview of the financial services the Bank provides.

Meniga

Meniga is sophisticated personal finance software that reads and automatically categorises all transactions from users' bank accounts and credit cards. All customers of Íslandsbanki can use the service free of charge. Thousands of customers are currently making use of this service to better monitor their expenses and personal finances.



Íslandsbanki Finance Conferences



Íslandsbanki hosted seven conferences on finances across the country in October and November of 2010. Representatives of companies and individuals doing business with the Bank were invited to lectures on finance and business operations as well as talks on the country's economic prospects.

Transparency policy towards customers

Íslandsbanki has increased transparency in its work toward its customers and other stakeholders by publishing enhanced internal rules and regulations on the Bank's website. Furthermore, the Bank strives to be leading in open and transparent work procedures, i.e. in regards to public display of internal rules and procedures followed and public offerings and sales processes. As part of this effort the Bank has established a special asset management company, Midengi hf., which is a wholly-owned subsidiary of Íslandsbanki. Midengi's primary activity is the ownership and management of companies or shares in companies acquired by the Bank as part of restructuring, with the goal of a profitably disposing of these assets as soon as possible.

Íslandsbanki in Society

Íslandsbanki continued to be in the forefront in transparent sales processes of companies, which is a part of the Bank's strategy to increase trust in the Bank and its operations.

Human Capital

Íslandsbanki offers its employees good working conditions and enticing opportunities in a variety of ways. Íslandsbanki's objective is to recruit, strengthen and retain skilled and reliable staff.

Being a supporter of Global Compact, Íslandsbanki has signed the Women's Empowerment Principles, which offer guidance on how to empower women in the workplace, marketplace and community. They are the result of collaboration between the United Nations Development Fund for Women (UNIFEM, part of UN Women) and the United Nations Global Compact.



Reflecting the emphasis on equality, Íslandsbanki's CEO, Birna Einarsdóttir, has been an active advocate on the topic in various international conferences and meetings.

In 2010, Einarsdóttir participated in the FT Women At The Top Conference in London with women leaders, such as Christine Lagarde and Cherie Blair. The Icelandic Association of Women Entrepreneurs also awarded Íslandsbanki for promoting women's advancement in the Bank in 2010.

Íslandsbanki seeks to create a secure working environment that places an emphasis on non-discrimination, clear vision, transparent working methods and the active participation of its employees in, among other things, the strategy building process of the Bank. Thanks to its clear vision, equal opportunities and good working ethics, Íslandsbanki attracts highly qualified employees who are eager to participate in the development of an outstanding financial services company. The Bank's emphasis on human capital has been rewarded by high levels of job satisfaction. In 2010, job satisfaction among employees was rated 86.4%.

For many years, Íslandsbanki has supported measures to improve the quality of life of its employees and it will continue to do so. The Bank holds the interests and wellbeing of its employees close to its heart and provides, among other things, medical and counselling services, healthy and nourishing food, sports grants, access to many union holiday homes around the country for a modest fee, and continued education. In 2010, 250 courses of various kinds were offered to employees. In all, 4503 places were filled at these courses, meaning that each employee participated in just over four courses.

Íslandsbanki constantly strives to improve the work practices and framework that its employees follow in their daily work. Through clear objectives, work regulations and codes of conduct, the Bank improves the efficiency of its employees and enhances the transparency of its activities. This process is informed by the Bank's human resources policy, code of ethics and non-discrimination policy.



Íslandsbanki's CEO Birna Einarsdóttir (left) and former Icelandic president Vigdís Finnbogadóttir at the Bank's 2010 Strategy Summit

Strategy Summit

Íslandsbanki held its second Strategy Summit in January. Six hundred and thirty employees attended a successful meeting. Vigdís Finnbogadóttir, former president of Iceland, gave a speech and the management team answered questions from employees. At the meeting, employees were encouraged to come up with ideas for Íslandsbanki's vision, future opportunities and how the objective for an open and responsible bank could be reached. Customers were also contacted for their opinions.



Community

Íslandsbanki strives to work in harmony with the communities in which it operates, by supporting various social, artistic, cultural, and sporting projects as well as innovation and entrepreneurship.

Íslandsbanki is committed to having a positive impact on the Icelandic community. It achieves this not only through grants for sporting, artistic, cultural and charitable activities, but also through the active participation of its staff in worthy causes and projects. Íslandsbanki is also keen to stimulate the creation of dynamic economic activity and supports entrepreneurial companies in a variety of ways. Examples of this include the establishment of Kvosin, an innovation centre for entrepreneurs which was established in co-operation with Innovation Centre Iceland; a collaboration with the start-up company Meniga ehf.; and the marketing niche strategies of the Bank, which are focused on servicing companies in renewable energy and sustainable fisheries. Through this strategy, the Bank supports the build up of know-how in Iceland, contributes to the development of this knowledge and reinforces the infrastructure of the Icelandic economy.

Íslandsbanki's Entrepreneur and Innovation Fund

Íslandsbanki's Entrepreneur and Innovation fund supports innovative environmental projects with a particular emphasis on renewable energy, sustainable fisheries and the protection of maritime areas. The fund allocates grants on an annual basis. In 2010 the fund supported PM Recycling, which has built up considerable experience in the production of recycled plastic. PM Recycling has developed a method to clean and recy-

cle plastic. The final products are plastic units that are used by both foreign and domestic manufacturers in all sorts of plastic processing.

Kvosin Innovation Centre for Entrepreneurs

Approximately 30 companies are now using Kvosin, which employs about 50 people. Kvosin opened in January 2009 when Íslandsbanki and Innovation Centre Iceland inaugurated the centre for entrepreneurs at one of the Bank's buildings in Reykjavík. Kvosin was created to provide assistance to individuals and groups to work on business ideas and found companies under the professional supervision of experts from Innovation Centre Iceland. Íslandsbanki provides housing and access to all the assistance services. Kvosin is a collaborative venture between Íslandsbanki, Innovation Centre Iceland and the Confederation of Icelandic Bank and Finance Employees. Entrepreneurs that are now located in Kvosin form a diverse group of people working on projects varying from technology to fashion.



The Women of Achievement Fund

The Women of Achievement Fund is a joint initiative of the Bank and the National Olympic and Sports Association of Iceland. The fund sponsors women of achievement in the field of sport and was founded in 2007 with the objective of encouraging sportswomen to excel in their chosen fields. The fund also evaluates the potential of individuals and groups to excel. The fund advertises and allocates grants twice a year. This year the fund received around 100 applications. The following organisations received grants: the Icelandic Ski Association, the Icelandic Athletics Federation, the Icelandic Gymnastics Federation and the Icelandic Handball Federation. Additionally, three young sportswomen received grants.

Íslandsbanki Reykjavík Marathon

Íslandsbanki has been the principal sponsor of the Reykjavík Marathon since 1997. Íslandsbanki considers the Reykjavík Marathon to be an important public health project in which the entire family can participate and run various distances. An important component of the Íslandsbanki Reykjavík Marathon is the sponsorship raised by the runners themselves. This gives all participants a chance to run for a good cause. In 2010, about ISK 30m was raised for 96 charities.

Special Olympics

Íslandsbanki is the gold sponsor to the Sports Association of the Disabled in consideration of the Special Olympics. Íslands-

banki and the association have had a successful affiliation the past ten years. Thanks to this support, the association has been able to send a group of athletes to the summer and winter Special Olympics. The Special Olympics World Summer Games will be held in Athens in 2011.



Vigdís Finnbogadóttir World Language Centre

Íslandsbanki is a proud key sponsor of World Language Centre which will be an integrated part of the Vigdís Finnbogadóttir Institute of Foreign Languages. The primary purpose of the Centre is to raise awareness of the importance of languages as one of mankind's most precious cultural assets. The World Language Centre will be an information centre for languages and culture with excellent facilities for research, language learning and dissemination. The World Language Centre regards it an honour to develop and continue the pioneering work that Vigdís Finnbogadóttir, former president of Iceland, has carried out as UNESCO.

Various community projects

Several employees volunteered to clear the area around Eyjafjallajökull after and during the volcanic eruption. Thousands of tons of ashes were in the fields surrounding the farms so the farmers were in great need of help.



In 2010, various Íslandsbanki branches supported different organisations and charities in their close communities while the headquarters has emphasised supporting national organisations.

Íslandsbanki also supported the play What if?, which is an educational and preventive performance using poetry, music and acting to educate young people about drug use, bullying and suicide. The goal is to show teenagers that they have choices and that one wrong decision can have serious consequences.

Íslandsbanki in Society



In total, Íslandsbanki donated around ISK 100m to various associations in the fields of humanitarian assistance, culture, athletics and education. Grants to associations that assist families in need were prominent in 2010. Íslandsbanki's branches in Reykjavík, Reykjanesbaer and Akureyri donated ISK 10m to Iceland Family Help, a charity that provides food aid to distressed families, and employees also donated to several support funds and aid organisations of this kind.

Environment

Íslandsbanki makes it a priority to work in harmony with the environment, and this is reflected in Bank's management and investments.

Íslandsbanki favours a protective approach when it comes to environmental issues. The Bank also supports investments that promote sustainability. The Bank's approach to environmental issues reflects the core principles of the UN Global Compact agreement.

Íslandsbanki has stressed the social and environmental benefits of investing in renewable energy sources and sustainable fisheries. In this way, the Bank plays a pro-active role in the promotion of eco-friendly solutions and technologies that reduce pollution and energy consumption and support sustainable fisheries.

In the day-to-day running of its activities, Íslandsbanki has taken many steps to reduce its environmental impact by integrating environmental strategies into its management. For example, in Íslandsbanki's canteen, items are sorted and disposed of so as to minimise waste. The Bank places an emphasis on reducing its electricity consumption by, for example, ensuring that lights are turned off in its offices outside office hours.

Íslandsbanki stopped sending annual bank statements to customers at the end of 2010. This action saved about ISK 30 m, as well as thousands of sheets of paper.

Geothermal energy

Geothermal energy is a clean, renewable resource that can be tapped by many countries around the world located in geologically favourable places. Íslandsbanki's sustainable energy team combines years of experience in this field and is focused on providing the global community with sustainable business solutions and research material available for everyone, including reports on the Icelandic, American and Canadian geothermal markets.

Íslandsbanki was one of the main sponsors of a conference on the Icelandic geothermal cluster in November 2010, where Professor Michael Porter of Harvard University discussed his views and some initial findings of cluster work on the Icelandic geothermal energy industry.

Sustainable fishing and the seafood industry

The seafood industry has been an important element of Íslandsbanki's business activities since 1904. As the world's oceans are being exploited, responsible management of fishing stocks is becoming increasingly important. Responsible fish farming is essential to aquaculture as it determines the sustainability of the business. Providing financial and expert advice on sustainability within the fishing industry is an important element of Íslandsbanki's business opportunities.

Consolidated Financial Statements 2010

Endorsement and Statement by the Board of Directors and the CEO

The consolidated financial statements of Íslandsbanki hf. for the period ended 31 December 2010 comprise the financial statements of Íslandsbanki hf. and its subsidiaries, together referred to as "the Bank".

Foundation and ownership

The Bank was incorporated on 8 October 2008 and commenced trading on 15 October 2008 when it acquired assets and liabilities relating to the domestic operations of Glitnir Banki hf. ("Glitnir") which had been taken into public ownership following the passing of an Emergency Act in October 2008.

On 15 October 2009 the Resolution Committee of Glitnir exercised an option to acquire 95% of the share capital of the Bank with effect from 11 September 2009. The government retains 5% of the share capital of the Bank.

The Bank's parent company is ISB Holding ehf. which is owned by a subsidiary of Glitnir (GLB Holding ehf.).

Six Board members are appointed by ISB Holding ehf. One Board member is appointed by the Icelandic State Banking Agency (Bankasýsla ríkisins).

Operations

The Bank is divided into six business segments: Retail Banking, Corporate Banking, Wealth Management, Treasury, Markets and Midengi (an asset management company).

The Bank offers comprehensive financial services to individuals, households, corporations and professional investors in Iceland. The Bank's expertise in its niche area of seafood and geothermal energy has led to an expansion of advisory services into the USA.

At balance sheet date there were 1093 full-time employees at the Bank.

Risk Management

The Bank is exposed to various risks through its use of financial instruments. Managing these risks is an integral part of the Bank's operations. The ultimate responsibility for ensuring an adequate risk management framework lies with the Board of Directors. The Board defines and communicates the acceptable level of risk through the Bank's risk management policies. The Bank's risk management is discussed under note 63.

The reporting period

The economic environment in Iceland during 2010 was fragile and is likely to continue to be so for some time to come.

Landmark Supreme court rulings were passed during the year in relation to loans denominated in Icelandic currency to the value of foreign currencies. Subsequently, a Parliament Act was passed, amending the Interest Law. This has further clarified the uncertainty relating to the Bank's leasing contracts and home mortgages affected by the rulings. The financial effect of the rulings and the Parliament Act is fully reflected in the consolidated financial statements 2010 and the Bank has already offered the customers of Asset Based Financing to settle their loan contracts based on the Supreme Court rulings.

The effect on other types of foreign currency loan contracts still remains uncertain and several court rulings are expected in 2011 on whether or not certain types of loans are truly foreign currency denominated loans, or are deemed to be illegally linked to foreign currencies. Uncertainties in this regard are further discussed under note 60.

One of the Bank's main focuses in 2010 was the restructuring of the acquired loan assets in order to facilitate the individuals' and corporations' ability to service their debt and to maximise recovery. This work will continue in 2011.

The Bank's operations and processes have been analysed and improved to enhance objectivity, transparency and disciplined processes. By improving the proficiency of its lending and risk management systems, the Bank ensures that it maintains a robust position in serving its customers and sustaining healthy operations.

Outlook

In wake of the economic collapse in 2008, unemployment rose significantly, the ISK lost almost half of its value, housing prices fell and inflation surged. In the period following, public consumption dropped considerably, taxes were increased and large construction projects were scaled back. As a result, households and companies have been de-leveraging alongside a corresponding slowdown in new lending activities.

The temporary capital controls, put in place in October 2008, have restricted the domestic market environment and the market for derivatives has since been more or less non-existent.

Although the economy has been in dire straits since 2008, the financial markets have recently shown their first signs of recovery. During the year 2010, the ISK strengthened, inflation subsided, interest rates came down. The sovereign CDS trading level has declined and the current economic isolation is expected to gradually give way to a more open economy.

The present general distrust towards financial institutions will only be resolved with a continuous effort to improve openness and transparency. The Bank has vowed that it will let its actions speak louder than words in its efforts to encourage greater trust in its operations.

The Bank has a strong capital and liquidity position which gives it an excellent base to continue supporting the recovery of the Icelandic economy.

Accounting convention

The consolidated financial statements for the year ended 31 December 2010 have been prepared on a going concern basis in accordance with the International Financial Reporting Standards (IFRS) as adopted by the European Union.

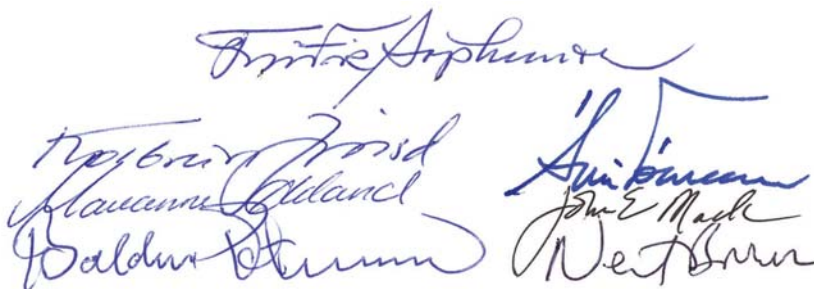
Profit from the Bank's operations for the year ended 31 December 2010 amounted to ISK 29,369 million, which corresponds to a 28.5% return on equity. The Board of Directors proposes to pay no dividend for the year 2010. Bank equity, according to the consolidated balance sheet, amounted to ISK 121,463 million at year end. The Bank's total capital ratio, calculated according to the Act on Financial Undertakings, was 26.6%. Under Icelandic law the minimum requirement is 8.0%. The Bank's total assets amounted to ISK 683,222 million at year end.

To the best of our knowledge, the consolidated financial statements provide a true and fair view of the Bank's operating profits and its financial position at 31 December 2010. It also describes the principal risks and uncertainties currently faced by the Bank. These are discussed further under notes 2.4 and 60.

The Board of Directors and the CEO of Íslandsbanki hf. hereby confirm the Bank's consolidated financial statements for the period 1 January to 31 December 2010 by means of their signatures.

Reykjavík, 1 March 2011

Board of Directors:

The image shows five handwritten signatures in blue ink, arranged in two rows. The top row has two signatures, and the bottom row has three. The signatures are cursive and difficult to read, but they represent the members of the Board of Directors.

Chief Executive Officer:

The image shows a single handwritten signature in blue ink, representing the Chief Executive Officer. The signature is cursive and appears to be "Björn Ólafsson".

Independent Auditors' Report

To the Board of Directors and Shareholders of
Íslandsbanki hf.

We have audited the accompanying consolidated financial statements of Íslandsbanki hf. and its subsidiaries (the "Bank"), which comprise the consolidated statement of financial position as at 31 December 2010, and the consolidated statement of comprehensive income, consolidated statement of changes in equity, and consolidated statement of cash flow for the period then ended, and a summary of significant accounting policies and other explanatory notes.

Management's Responsibility for the Consolidated Financial Statements

The Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards as adopted by the EU. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor's Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements give a true and fair view of the consolidated financial position of Íslandsbanki hf. as at 31 December 2010, and of its consolidated financial performance and its consolidated cash flows for the period then ended in accordance with International Financial Reporting Standards as adopted by the EU.

Emphasis of Matter

Without qualifying our opinion we draw your attention to:

The notes 2.4 and 2.5 in the consolidated financial statements, which discuss the uncertainties in the valuation of acquired assets at deep discount. The note 2.4 also refers to note 60 which discusses further contingencies relating to the acquired loan assets.

Kópavogur, 1 March 2011

Deloitte hf.

Pálína Árnadóttir

State Authorised Public Accountant

Páll Grétar Steingrímsson

State Authorised Public Accountant

Consolidated Statement of Comprehensive Income for the year 2010

	Notes	2010	2009
Interest income		61,776	86,913
Interest expense		(26,902)	(54,929)
Net interest income	10	34,874	31,984
Net valuation changes on loans and receivables	11	14,507	801
Provision for latent impairment losses	35	(514)	(477)
Net interest income after valuation changes on loans and receivables		48,867	32,308
Fee and commission income		11,306	10,130
Fee and commission expense		(3,926)	(3,069)
Net fee and commission income	12	7,380	7,061
Net financial (expenses) income	13-15	(910)	285
Net foreign exchange (loss) gain	16	(963)	2,621
Other net operating income	17	1,186	2,760
Operating income		55,560	45,036
Administrative expenses	18-22	(18,473)	(16,113)
Net loss on non-current assets and disposal groups held for sale	23	(283)	(263)
Profit before tax		36,804	28,660
Income tax	24	(7,214)	(4,678)
Bank tax	3.27	(221)	0
Profit for the year		29,369	23,982
Other comprehensive income			
Foreign currency translation differences for foreign operations		(8)	2
Other comprehensive income for the year		(8)	2
Total comprehensive income for the year		29,361	23,984
Attributable to:			
Equity holders of Íslandsbanki hf.		29,418	23,901
Non-controlling interests		(49)	81
Profit for the year		29,369	23,982
Basic earnings per share	25	2.94	2.39
Diluted earnings per share	25	2.94	2.39

The notes on pages 46 to 95 are an integral part of these consolidated financial statements.

Consolidated Statement of Financial Position as at 31 December 2010

	Notes	31.12.2010	31.12.2009
Assets			
Cash and balances with Central Bank	26	30,799	38,743
Derivatives	28	70	0
Bonds and debt instruments	29	68,024	66,701
Shares and equity instruments	30	3,022	2,250
Loans to credit institutions	31-32	30,870	87,416
Loans to customers	33-34	515,161	489,611
Investments in associates	36-37	354	827
Investment property	40	0	2,056
Property and equipment	41	5,419	1,771
Intangible assets	42	187	107
Deferred tax assets	51-53	283	84
Non-current assets and disposal groups held for sale	43	23,489	19,014
Other assets	44	5,544	8,761
Total Assets		683,222	717,342
Liabilities			
Financial liabilities	45	9,090	7,332
Derivatives	28	429	0
Deposits from Central Bank	46	26	28
Deposits from credit institutions	46	96,212	139,064
Deposits from customers	47-48	327,158	339,659
Debt issued and other borrowed funds	49	55,425	69,190
Subordinated loans	50	21,241	24,843
Current tax liabilities	51-53	9,024	4,807
Deferred tax liabilities	51-53	18	354
Non-current liabilities and disposal groups held for sale	43	16,442	16,905
Other liabilities	54	26,694	23,057
Total Liabilities		561,759	625,239
Equity			
Share capital	55	10,000	10,000
Share premium	55	55,000	55,000
Other reserves	56	2,498	2,059
Retained earnings		53,174	24,204
Total equity attributable to the equity holders of Íslandsbanki hf.		120,672	91,263
Non-controlling interests		791	840
Total Equity		121,463	92,103
Total Liabilities and Equity		683,222	717,342

The notes on pages 46 to 95 are an integral part of these consolidated financial statements.

Consolidated Statement of Changes in Equity for the year 2010

	Attributable to equity holders of Íslandsbanki hf.						Non-controlling interests	Total equity
	Share capital	Share premium	Other reserves	Retained earnings	Total			
Equity as at 31.12.2008	55	10,000	55,000	240	2,120	67,360	670	68,030
Translation differences for foreign operations				2		2		2
Contribution to statutory reserve				1,817	(1,817)	0		0
Net income recognised directly in equity				1,819	(1,817)	2	0	2
Profit for the year					23,901	23,901	81	23,982
Total comprehensive income for the year	0	0	1,819	22,084	23,903		81	23,984
Issued new shares					0		89	89
Equity as of 31.12.2009		10,000	55,000	2,059	24,204	91,262	840	92,103
Translation differences for foreign operations	56			(8)		(8)		(8)
Contribution to statutory reserve	56			447	(447)	0		0
Net income recognised directly in equity				439	(447)	(8)	0	(8)
Profit for the year					29,418	29,418	(49)	29,369
Total comprehensive income for the year	0	0	439	28,971	29,410		(49)	29,361
Equity as of 31.12.2010	55	10,000	55,000	2,498	53,174	120,672	791	121,463

The notes on pages 46 to 95 are an integral part of these consolidated financial statements.

Consolidated Statement of Cash Flows for the year 2010

	Notes	2010	2009
Cash flows from operating activities:			
Profit for the year		29,369	23,982
Adjustments to reconcile profit for the year to cash flows used in operating activities:			
Non-cash items included in profit for the year and other adjustments	61	4,806	6,888
Changes in operating assets and liabilities	62	(45,928)	6,572
Income tax paid		(3,573)	(347)
Net cash (used in) provided by operating activities		(15,326)	37,095
Cash flows from investing activities:			
Investments in associated companies		(46)	9
Investment property		377	0
Purchase of property and equipment		(937)	(585)
Purchase of intangible assets	42	(118)	(127)
Net cash used in investing activities		(724)	(703)
Cash flows from financing activities:			
Issued new shares		0	89
Net cash provided by financing activities		0	89
Net (decrease) increase in cash and cash equivalents		(16,050)	36,481
Effects of exchange rate changes on cash and cash equivalents		(115)	463
Cash and cash equivalents at the beginning of the year		53,317	16,373
Cash and cash equivalents at year-end		37,152	53,317
Reconciliation of cash and cash equivalents:			
Cash on hand	26	1,833	1,842
Cash balances with Central Bank	26	23,217	30,313
Bank accounts	31	12,102	21,162
Total cash and cash equivalents		37,152	53,317

The Bank has prepared its consolidated statement of cash flows using the indirect method. The statement is based on the net profit after tax for the year and shows the cash flows from operating, investing and financing activities and the increase or decrease in cash and cash equivalents during the year. Cash and cash equivalents consist of highly liquid assets that are readily convertible into cash and which are subject to an insignificant risk of change in value. These are cash in hand, unrestricted balances with Central Bank and demand deposits with credit institutions.

Non-cash transactions 2010

During 2010 the Bank entered into the following non-cash investing and financing activities which have been excluded from the consolidated statement of cash flows:

- As part of its restructuring process, the Bank changed debt instruments to equity instruments for the sum of 3.3bn ISK. The transaction had no cash effect on the Bank.
- A government secured customer loan for the amount of 45bn and money market loans for 5bn were reclassified from loans to credit institutions to loans to customers due to a change in entities' operations. The transactions had no cash effect on the Bank.

Non-cash transactions 2009

During 2009 the Bank entered into the following non-cash investing and financing activities which have been excluded from the consolidated statement of cash flows:

- The government sold 95% of its shareholding to ISB Holding which is a holding company owned by GLB Holding, a subsidiary of Glitnir. Consideration for the sale was in the form of an offset of government bonds held by the Bank against the Bank's debt to Glitnir of 66bn. The transaction had no cash effect on the Bank.
- The Bank assumed deposits for 45bn against a government secured bond. The transaction had no cash effect on the Bank.

The notes on pages 46 to 95 are an integral part of these consolidated financial statements.

Contents of the Notes to the Consolidated Financial Statements

Notes	Page	Notes	Page
Accounting Policies		Notes to the Consolidated Statement of Financial Position Cont'd	
1	General information	42	Intangible assets
2	Basis of preparation	43	Non-current assets and disposal groups held for sale ..
3	Significant accounting policies	44	Other assets
		45	Financial liabilities
Business Combinations		46	Deposits from Central Bank and credit institutions
4	Acquisition of group undertakings	47-48	Deposits from customers
		49	Debt issued and other borrowed funds
Business Segments		50	Subordinated loans
5	Business Segments	51-53	Tax assets and tax liabilities
		54	Other liabilities
		55-56	Equity
Notes to the Consolidated Comprehensive Income		Other Notes	
6	Quarterly and half year statements	21	Empl. terms for the Board of Directors and the CEO ..
10	Net interest income	27	Pledged assets
11	Net valuation changes on loans and receivables	38	Investments in subsidiaries
12	Net fee and commission income	39	Related party disclosures
13	Net financial (expenses) income	57	Off balance sheet items
14	Net (loss) gain on financial instruments held for trading	58	Operating lease commitments
15	Net (loss) gain on financial instruments designated at fair value through profit or loss	59	Balance of custody assets
16	Net foreign exchange (loss) gain	60	Contingencies
17	Other net operating income		
18	Administrative expenses	Notes to the Consolidated Statement of Cash Flows	
19-20	Staff and related expenses	61	Non-cash items incl. in net profit and other adjustments
22	Auditors' fees	62	Changes in operating assets and liabilities
23	Net loss on non-current assets and disposal groups held for sale		
24	Effective income tax rate	Risk Management	
25	Earnings per share	63	Risk governance
		64	Credit risk
Notes to the Consolidated Statement of Financial Position		65-69	Credit risk exposure
7	Financial assets and liabilities	70	Liquidity risk
8-9	Fair value	71	Market risk
26	Cash and balances with Central Bank	72-76	Interest rate risk
28	Derivative financial instruments	77-78	Currency risk
29	Bonds and debt instruments	79-80	Shares and equity instruments
30	Shares and equity instruments	81	Derivatives
31-32	Loans to credit institutions	82	Inflation risk
33-34	Loans to customers	84	Operational risk
35	Financial assets – impairments		
36-37	Investments in associates	Capital Management	
40	Investment property	83	Risk exposure and capital base
41	Property and equipment	83	Capital adequacy ratio

Notes to the Consolidated Financial Statements

1. GENERAL INFORMATION

Íslandsbanki hf. is a limited company incorporated and domiciled in Iceland. The address of its registered office is Kirkjúsandur 2, 155 Reykjavík, Iceland.

The consolidated financial statements for the year ended 31 December 2010 were prepared on a going concern basis and comprise Íslandsbanki hf. (the parent) and its subsidiaries (together referred to as "the Bank"). Comparative information refers to the year ended 31 December 2009.

The Bank was incorporated on 8 October 2008 and commenced trading on 15 October 2008 when it acquired assets and liabilities relating to the domestic operations of Glitnir Banki hf. ("Glitnir").

Ownership of the Bank is divided between 95% shareholding of ISB Holding ehf, owned by a subsidiary of Glitnir (GLB Holding ehf.), and 5% shareholding of the Icelandic government.

The Bank provides a wide range of financial services such as retail banking, corporate banking, brokerage services, investment management and asset-based financing. The Bank operates mainly in the Icelandic market, but provides advisory services in relation to seafood and geothermal energy in the USA.

The following comparative amounts have been changed due to adjustments between the years:

Comparative information under note 59 for custody assets has been changed from 1,473,873 to 682,166 due to retrospective revaluation.

Comparable information under note 57 for guarantees and committed undrawn lines of credit has been changed from 9,593 and 5,165 to 8,058 and 5,028, respectively, due to eliminations.

Comparable information for fair value under note 8 for deposits from credit institutions has been changed from 143,752 to 139,229, for deposits to customers from 339,659 to 339,777 and for debt issued and other borrowed funds from 69,190 to 70,188 due to a change in methodology.

The consolidated financial statements are presented in Icelandic krona (ISK), which is the functional currency of the Bank. The amounts are presented in ISK million, unless otherwise mentioned.

The consolidated financial statements were approved and authorised for issue by the Board of Directors of Íslandsbanki hf. on 1 March 2011.

2. BASIS OF PREPARATION

■ 2.1 Statement of compliance

The consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRS) as adopted by the European Union.

Information about new IFRS standards and amendments to IFRS standards applicable for the period ended 31 December 2010 is disclosed under note 3.30 to 3.33.

■ 2.2 Basis of measurement

The consolidated financial statements are prepared on a historical cost basis, except for the following assets and liabilities, which are measured at fair value: bonds and debt instruments, shares and equity instruments, derivative financial instruments, loans to customers designated at fair value through profit or loss, debt issued and designated at fair value through profit or loss and investment property.

Non-current assets and disposal groups held for sale are measured at the lower of carrying amount and fair value less costs to sell.

■ 2.3 Significant accounting judgements and estimates

The preparation of the consolidated financial statements in conformity with IFRS as adopted by the EU, requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses recognised in the consolidated financial statements. The accounting estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances. Actual results may differ from these estimates.

The accounting estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

The most significant accounting areas of estimation uncertainty and critical judgements in applying accounting policies relate to the following:

a) *Going concern*

The full extent of repercussions likely to be experienced in wake of the recession which Iceland is currently undergoing, is difficult to ascertain. The Bank continues to monitor its loan portfolio in the context of developments within the Icelandic economy as well as in markets abroad.

The Bank has strengthened its debt management functions and works closely with customers who are experiencing payment difficulties in order to ensure maximum recovery of its assets.

There are uncertainties present in relation to the valuation and recoverability of the assets acquired from Glitnir. These are discussed under note 2.4.

In September 2010, the Supreme Court of Iceland ruled that a principal in ISK could not be linked to foreign currencies. The Supreme Court subsequently ruled that the lowest offered Central Bank rate for non-indexed loans should be applied to these loans instead of the contractual interest rate. The Bank's leasing contracts fall under this ruling and the Bank has already offered customers of Asset Based Financing to settle their loan contracts accordingly. The financial effect is fully reflected in the consolidated financial statements 2010.

The Supreme Court ruling on which interest rate to use for loan contracts that are deemed to be illegally linked to foreign currency gives precedence and has therefore reduced the Bank's uncertainty as to the financial impact of future rulings. The effect on other types of foreign currency loans remains uncertain.

Since its incorporation the Bank has been subject to a currency risk due to a mismatch in the contractual currencies in the assets and liabilities of the Bank. This imbalance has been offset to some extent by the Bank's treatment of loans with non-ISK contractual currency to borrowers with ISK-based income as ISK assets, whereby the Bank impairs any increase in loan balances due to depreciation of the ISK. Borrowers with ISK income have been offered the option to convert their non-ISK loans into ISK-based loans at a discount.

To address the remaining imbalance, the Bank entered into a foreign exchange swap on 30 December 2010. Currency risk is further discussed under note 77.

Currently, most of the Bank's funding is from on-demand deposits. The Bank is confident that this will change over the coming years as investors' risk aversion reduces and they start seeking higher yielding investment opportunities. In the future, the Bank will focus on extending the maturities of its deposit base and at the same time start to issue short term unsecured notes and, to some extent, longer term secured bonds. Access to funding in foreign currencies will be limited in the short to medium term, although international markets are improving rapidly.

The Bank's management has made an assessment of the Bank's ability to continue as a going concern and is satisfied that the Bank has the resources to continue in business for the foreseeable future. Therefore, the financial statements continue to be prepared on a going concern basis.

b) *Determination of fair value*

The Bank determines the fair value of financial assets and financial liabilities that are not quoted in active markets by using valuation techniques as described in accounting policy note 3.6. To the extent that it is practical, models use only observable data. However, for financial instruments that trade infrequently and have little price transparency, fair value is less objective and requires varying degrees of judgement depending on liquidity, concentration, uncertainty of market factors, pricing assumptions and other risks affecting the specific instrument, such as credit risk (both own and counterparty).

c) *Impairment allowances for loans and receivables*

The Bank recognises allowances for impairment for loans and receivables. For this purpose the Bank's management reviews its loan portfolios on a quarterly basis to assess whether there is any objective evidence of impairment. In determining whether an impairment allowance should be recognised in the statement of comprehensive income, the Bank's management makes judgements as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from loans and receivables. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a group, or national or local economic conditions that correlate with defaults on assets in the group.

When scheduling its future cash flows the Bank's management uses estimates based on loans and receivables with similar credit risk characteristics and objective evidence of impairment similar to those in the portfolio. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

Impairment allowance for loans and receivables is disclosed in more detail under note 3.22.

d) *The application of the effective interest method*

The application of the effective interest method when calculating the amortised cost of financial assets and financial liabilities requires management to estimate future cash payments or receipts through the expected life of the financial instrument, considering all contractual terms of the financial instrument (for example, prepayment, call and similar options). Revisions to estimates of future cash flows, other than those arising from changes in market variables, generally result in the Bank having to adjust the carrying amount of the financial asset or financial liability to reflect actual and revised estimated cash flows. In such cases the adjustment is recognised as income or expense in profit or loss in the period in which the estimate is revised.

e) *Liquidity*

The Bank manages its liquidity by maintaining an adequate portfolio of liquid assets against liabilities. Internal liquidity limits assume that liquid assets cover all liabilities expected to mature within the next 12 month period, even under stressed market conditions.

Since a large part of the Bank's liabilities is in the form of demand deposits, the expected maturity profile is based on analysis of the historical behaviour and other characteristics of the deposit base.

The contractual maturity profile is set out in the liquidity risk disclosure in note 70. The table requires judgement with respect to whether assets can be considered liquid and when deposits will be withdrawn.

■ **2.4 Assumptions and uncertainties in relation to the acquired portfolio**

There are uncertainties in the valuation of the assets acquired at a deep discount (see note 2.5 a). The Bank's management has, however, striven to reach the best appropriate value estimates based on known facts, their knowledge of the customers and the scheduled debt relief programs.

Factors that can affect the recovery value of the loan portfolio include macro-economic parameters such as the unemployment rate, inflation and wage growth, actions taken by the government to facilitate and ease debt service and possible new legislation that lengthens the collection process or increases taxation and the extent of customer participation in flexible maturity and payment equalisation programmes.

The initial valuation was based on expected five-year cumulative cash flows with conservative estimates for collateral values and a prudent risk premium and the Bank's management is confident that the valuation of the acquired portfolio is robust enough to absorb the effects of realistic perturbations in applied assumptions. The initial valuation is discussed in detail in the consolidated financial statements 2009.

Contingencies relating to the acquired loan assets are further discussed under note 60.

■ **2.5 Financial effects of assets acquired at deep discount**

a) *Deep discount*

A loan is defined as having been acquired at a deep discount when the fair value purchase price is considerably lower than the balance according to the terms of the loan. The difference is explained by severe financial difficulties of the debtors which manifests itself in a higher credit spread when estimating the fair value of the loans and not because of changes in business environment since the terms of the loan were agreed i.e. market interest and liquidity.

A large proportion of the Bank's current financial assets were acquired at a deep discount. Credit losses already incurred were reflected in the purchase price and included in the estimated future cash flows when computing the effective interest rate.

b) *Revised estimated future cash flows*

If the Bank revises its estimates of payments or receipts, the Bank adjusts the carrying amount of the financial instrument to reflect actual and revised estimated cash flows. The carrying amount is recalculated by computing the present value of estimated future cash flows at the financial instrument's original effective interest rate. The adjustment is recognised in profit or loss as income or expense. Thus the effective interest rate is kept constant.

Discount arising from the initial recognition of the acquired loans is included in the calculation of the effective interest rate and is amortised over the expected life of the financial instrument based on the difference between the calculated effective interest rate for a given period and the loan's coupon for that period.

Any revisions to estimated future cash flows subsequent to initial recognition, e.g. recovery of previously incurred credit losses, are recognised as part of the carrying amount of the financial asset with a corresponding amount recognised in profit or loss. Revisions to the estimated future cash flows are recognised immediately in profit or loss in the accounting period when the change in estimate was made.

Upwards changes in estimated future cash flows are first recognised as a reversal of incurred impairment losses. The remaining balance is recognised as income from revised estimated future cash flows from loans. Downwards revisions to estimated future cash flows are recognised as impairment (see note 11).

c) *Revaluation of loans and receivables*

Significant part of the loan portfolio that was previously valued in homogeneous pools is now valued on a case-by-case basis following the specific impairment process. The expected recoverable amount of the remaining loans in the homogeneous pools was reassessed after the impairment process.

The revaluation of loans to large corporate borrowers was based on the same assumptions as used in the initial valuation of the acquired portfolio. Subse-

quent changes in estimated future cash flows relate to changes in present value of collaterals.

The Bank has split its portfolio into three main groups:

- 1) The Black Book contains loans with specific impairment and deep discount loans that are individually assessed;
- 2) The Red Book contains loans and receivables acquired at a deep discount assessed on a portfolio basis;
- 3) The White Book contains performing loans with adequate collateral, at acceptable rates e.g. new loans, restructured loans and loans transferred from the Red Book.

The Black Book

At each balance sheet date the Bank assesses its loan portfolios for deterioration in the credit quality, taking into account all available information, including economic and market conditions on the reporting date. The evaluations are based on the creditworthiness on each individual borrower and loan. The assessment made, is based upon the general financial conditions of the borrower and ability to repay the loan, net worth and future prospects of the borrower, the financial conditions of any guarantors as well as the expected market value of the underlying collateral or other risk mitigating factors.

The Red Book (homogeneous pools)

The book value of the homogeneous pools in the red book is affected by two different processes. The first process is a dynamic calculation which is done each month based on changes that have been made to loans in the pool. These changes include write-offs, down payments, and transfers to either the black or the white book.

For example, when a loan in the red book is specifically impaired, it is transferred to the black book and appropriate impairment and discount are taken from the collective buffers available in the red book. If the loan is assigned a higher impairment than the average red book loan, this will lead to an increase in the book value of the remaining loans. A loan that is re-paid, on the other hand, will leave all its impairment behind in the red book which will lead to a decrease in the book value of the remaining loans. This process changes the book value of the red book but does not lead to any profit or loss.

In addition, at year end, the recoverable amount of loans in the Red Book was reassessed. The main reason for why it was important to reassess the remaining loans at this point in time, is that a substantial part of the exposure was transferred to the Black Book following the specific impairment process.

The White Book

Provision for latent impairment losses reflects losses that have been incurred but not identified in the reporting period. The group of loans that make the basis for the collective allowance are all loans that are not specifically impaired.

Loans to banks and financial institutions and loans in repo deals are not contributing to the general allowance, since it is the Bank's opinion that all incurred losses on these types of loans have already been identified as at 31 December 2010. The incurred but not yet identified loss for other types of loans is found using a formula that depends on risk class and loss given default.

d) *Impairment of foreign exchange gains*

Part of the loan book are loans in foreign currencies to borrowers with ISK revenue and cash flow. The foreign exchange gain or loss on these loans is realised as net financial income. The Bank does not expect to recover foreign exchange gain relating to these loans and the foreign exchange gain is therefore fully impaired. If, in a subsequent period, the Bank incurs a foreign exchange loss, previous impairment of foreign exchange gain is reversed.

Critical assumptions used in the initial valuation are discussed in detail in the Bank's consolidated financial statements 2009.

3. SIGNIFICANT ACCOUNTING POLICIES

- 3.1 The accounting policies set out below have been applied consistently by the Bank's entities.

Basis of consolidation

a) *Subsidiaries*

Subsidiaries are entities controlled by the Bank. Control exists when the Bank has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. Control usually exists when the Bank holds more than 50% of the voting power of the subsidiaries. In assessing control, potential voting rights that are currently exercisable or convertible, if any, are taken into account. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases. The financial statements have been prepared using uniform accounting policies for like transactions and other events in similar circumstances.

The purchase method of accounting is used to account for the acquisition of subsidiaries and other businesses by the Bank. The cost of an acquisition is measured as the fair value, at the date of exchange, of the assets given, liabilities incurred or assumed, and equity instruments issued, plus cost directly attributable to the acquisition. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair value at the acquisition date, irrespective of the extent of any minority interest, except for non-current assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations, which are recognised at the lower of its carrying amount and fair value less costs to sell. The excess of the cost of acquisition over the fair value of the Bank's share of the identifiable net assets acquired is recorded as goodwill. If the cost of acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised immediately as income in the statement of comprehensive income.

b) *Non-controlling interests*

Non-controlling interests represent the portion of profit or loss and net assets not owned, directly or indirectly, by the Bank and are presented separately in the statement of comprehensive income and within equity in the consolidated balance sheet, separately from the equity attributable to equity holders of the Bank. Disposals to non-controlling interests result in gains and losses for the Bank that is recorded in the statement of comprehensive income.

c) *Special purpose entities*

Special purpose entities are entities that are created to accomplish a narrow and well-defined objective such as the securitisation of particular assets, or the execution of a specific borrowing or lending transaction. The financial statements of special purpose entities are included in the Bank's consolidated financial statements where the substance of the relationship is that the Bank controls the special purpose entity.

d) *Associates*

Associates are those entities over which the Bank has significant influence, which is the power to participate in the financial and operating policy decisions of the associates but is not control or joint control over those policies. Significant influence generally exists when the Bank holds between 20% and 50% of the voting power, including potential voting rights, if any.

Investments in associates are accounted for using the equity method and are initially recognised at cost. The investments include goodwill identified on acquisition, net of any accumulated impairment losses. The carrying amount of the investments is adjusted for post-acquisition changes in the Bank's share of net assets of the associates and for impairment losses, if any. Therefore, the consolidated financial statements include the Bank's share of the total recognised gains and losses of associates, from the date that significant influence commences until the date that significant influence ceases. When the Bank's share of losses exceeds its interest in the associate, the carrying amount of that associate is reduced to nil and recognition of further losses is discontinued except to the extent that the Bank has incurred legal or constructive obligations or made payments on behalf of the associate. If the associate subsequently reports profits, the Bank resumes recognising its share of profits only after its share of profits equals the share of losses not recognised.

e) *Funds management*

The Bank manages and administers assets held in unit trusts and other investment vehicles on behalf of investors. The financial statements of these entities are not included in these consolidated financial statements except when the Bank controls the entity.

f) *Transactions eliminated on consolidation*

Intragroup balances, and any unrealised gains and losses or income and expenses arising from intrabank transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with associates and jointly controlled entities are eliminated to the extent of the Bank's interest in them. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

■ 3.2 Business combinations

Acquisitions of subsidiaries and businesses are accounted for using the acquisition method. The consideration for each acquisition is measured as the aggregate of the fair values (at the date of exchange) of assets given, liabilities incurred or assumed, and equity instruments issued by the Bank in exchange for control of the acquiree. Acquisition-related costs are recognised in profit or loss as incurred.

Where applicable, the consideration for the acquisition includes any asset or liability resulting from a contingent consideration arrangement, measured at its acquisition-date fair value. Subsequent changes in such fair values are adjusted against the cost of acquisition where they qualify as measurement period adjustments. All other subsequent changes in the fair value of contingent consideration classified as an asset or liability are accounted for in accordance with relevant IFRSs. Changes in the fair value of contingent consideration classified as equity are not recognised.

Where a business combination is achieved in stages, the Bank's previously held interests in the acquired entity are revalued to fair value at the acquisition date (i.e. the date the Bank attains control) and the resulting gain or loss, if any, is recognised in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are reclassified to profit or loss, where such treatment would be appropriate if that interest were disposed of.

The acquiree's identifiable assets, liabilities and contingent liabilities that meet the conditions for recognition under IFRS 3 are recognised at their fair value at the acquisition date, except that:

- Deferred tax assets or liabilities and liabilities or assets related to employee benefit arrangements are recognised and measured in accordance with IAS 12 Income Taxes and IAS 19 Employee Benefits respectively;
- Liabilities or equity instruments related to the replacement by the Bank of an acquiree's share-based payment awards are measured in accordance with IFRS 2 Share-based Payment;

- Assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations are measured in accordance with that standard.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Bank reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period, or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed as of the acquisition date that, if known, would have affected the amounts recognised as of that date.

The measurement period is the period from the date of acquisition to the date the Bank obtains complete information about facts and circumstances that existed as of the acquisition date – and is subject to a maximum of one year.

■ 3.3 Foreign currencies

a) *Foreign currency transactions*

Items included in the financial statements of each of the Bank's entities are measured using the functional currency of the respective entity. Transactions in foreign currencies are translated into functional currencies at the foreign exchange rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated into functional currencies at the foreign exchange rate prevailing at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated into the functional currency at the spot exchange rate at the date that the fair value was determined. Foreign currency differences arising on retranslation are recognised in profit or loss.

b) *Foreign operations*

The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on consolidation, are translated to the presentation currency, Icelandic krona (ISK), at foreign exchange rates prevailing at the balance sheet date. The revenues and expenses of foreign operations are translated to ISK at rates approximating the foreign exchange rates ruling at the dates of the transactions. Foreign exchange differences arising on translation are recognised directly in the translation reserve in equity. When a foreign operation is disposed of, in part or in full, the relevant amount in the translation reserve is transferred from equity and recognised in the statement of comprehensive income as part of the gain or loss on sale.

■ 3.4 Financial assets

For the purpose of measurement, the Bank classifies its financial assets into the following categories: financial assets held for trading, financial assets designated at fair value through profit or loss, loans and receivables, and available-for-sale financial assets. Management determines the classification of financial assets at initial recognition.

a) *Financial assets held for trading*

Financial assets held for trading are financial assets acquired principally for the purpose of selling or repurchasing in the near term, or for holding as part of a portfolio that is managed together for short-term profit or position taking. Financial assets held for trading consist of bonds and debt instruments, shares and equity instruments, and derivatives with positive fair value which are not designated as hedging instruments.

Financial assets held for trading are initially recognised and subsequently measured at fair value in the balance sheet with transaction costs taken directly to profit or loss. Changes in fair value are recognised in the statement of comprehensive income in "Net financial income", except for interest earned, which is recognised as "Interest income" on an accrual basis.

b) *Financial assets designated at fair value through profit or loss*

The Bank classifies certain financial assets upon their initial recognition as financial assets at fair value through profit or loss when doing so results in more relevant information because:

- It eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise from measuring assets or liabilities or recognising the gains and losses on them on different bases; or
- Financial assets and/or financial liabilities are managed and their performance is evaluated on a fair value basis, in accordance with the Bank's risk management or investment strategy, and information about it is provided internally on that basis to the Bank's key management personnel.

Assets classified according to the above-mentioned conditions consist of:

- Fixed interest rate loans originated by the Bank whose fixed interest has been swapped into floating by entering into corresponding interest rate swaps;
- Debt and equity instruments which are acquired by the Bank with a view to profiting from their total return and which are managed and evaluated on a fair value basis.

Financial assets designated at fair value through profit or loss are initially recognised and subsequently measured at fair value in the balance sheet with transaction costs taken directly to profit or loss. Changes in fair value are recognised in the statement of comprehensive income in "Net financial income", except for interest earned, which is recognised as "Interest income" on an accrual basis.

c) *Loans and receivables*

Loans and receivables are non-derivative financial instruments with fixed or determinable payments that are not quoted in an active market and that the Bank does not intend to sell immediately or in the near term, other than those that the Bank designates upon initial recognition as financial assets at fair value through profit or loss. Loans and receivables include loans originated by the Bank to other banks and to its customers, participations in loans from other lenders and purchased loans.

Loans and receivables are recognised when cash is advanced to borrowers. They are measured at fair value on initial recognition, which is the cash given to originate the loan, including any transaction costs, and subsequently are measured at amortised cost using the effective interest method, less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the effective interest rate. Accrued interest is included in the carrying amount of the loans and receivables in the balance sheet. This is disclosed in more detail in note 2.5.

Gains and losses on loans and receivables are recognised in the statement of comprehensive income in "Interest income" and "Interest expense" when the loans and receivables are derecognised and in "Currency exchange difference" when the loans and receivables are re-measured for foreign exchange differences. The losses arising from impairment are recognised in the statement of comprehensive income in "Net interest income after valuation changes on loans and receivables".

d) *Financial assets available-for-sale*

Financial assets available-for-sale are non-derivative investments which the Bank designates as such or are not classified as loans and receivables, financial assets held for trading or financial assets designated at fair value through profit or loss. Financial assets available-for-sale consist of debt instruments held by the Bank for long-term investment purposes.

Financial assets available-for-sale are initially recognised at fair value plus transaction costs, and subsequently are carried at fair value. Changes in fair value are initially recognised directly in equity, net of income taxes. The cumulative changes in fair value recognised in equity are transferred to the statement of comprehensive income in "Net financial income" when the financial

assets are derecognised or impaired. Gains and losses on derecognition are determined using the average cost method.

Interest earned on financial assets classified as available-for-sale is recognised in statement of comprehensive income in "Interest income" using the effective interest method. Foreign exchange gains and losses on monetary financial assets classified as available-for-sale are recognised in statement of comprehensive income in "Net financial income". Dividends on available-for-sale equity instruments are recognised in statement of comprehensive income in "Net financial income" when the Bank's right to receive payment is established. The losses arising from impairment of financial assets classified as available-for-sale are recognised in statement of comprehensive income in "Net impairment losses on financial assets".

Reclassification of Held for Trading and Available for Sale financial assets that meet the definition of loans and receivables may be reclassified to loans and receivables if the Bank has the intention and ability to hold the financial asset for the foreseeable future or until maturity. Additionally, Held for trading financial assets that do not meet the definition of loans and receivables may, in rare circumstances, be transferred to Available for sale financial assets or to Held to Maturity investments.

■ 3.5 Financial liabilities

For the purpose of measurement, the Bank classifies its financial liabilities in the following categories: financial liabilities held for trading, financial liabilities designated at fair value through profit or loss, and financial liabilities measured at amortised cost. Management determines the classification of financial liabilities at initial recognition.

a) *Financial liabilities held for trading*

Financial liabilities held for trading are financial liabilities incurred principally for the purpose of generating profits from short-term price fluctuations or from the dealer's margin. Financial liabilities held for trading consist of short position in equity and bond instruments, and derivatives with negative fair value which are not classified as financial guarantees or are not designated as hedging instruments.

Financial liabilities held for trading are initially recognised and subsequently measured at fair value in the balance sheet with transaction costs taken directly to profit or loss. Changes in fair value are recognised in the statement of comprehensive income in "Net financial income", except for interest incurred, which is recognised as "Interest expense" on an accrual basis.

b) *Financial liabilities designated at fair value through profit or loss*

The Bank classifies certain financial liabilities upon their initial recognition as financial liabilities at fair value through profit or loss when doing so results in more relevant information because:

- It eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise from measuring assets or liabilities or recognising the gains and losses on them on different basis; or
- Financial assets and/or financial liabilities are managed and their performance is evaluated on a fair value basis, in accordance with the Bank's risk management or investment strategy, and information about it is provided internally on that basis to the Bank's key management personnel.

Liabilities classified according to the above-mentioned conditions consist of:

- Fixed rate deposits and fixed interest rate debt issued by the Bank whose fixed interest has been swapped into floating by entering into corresponding interest rate swaps;
- Structured notes which are managed and evaluated on a fair value basis.

Financial liabilities designated at fair value through profit or loss are initially recognised and subsequently measured at fair value in the balance sheet with transaction costs taken directly to profit or loss. Changes in fair value are recognised in the statement of comprehensive income in "Net financial in-

come", except for interest incurred, which is recognised as "Interest expense" on an accrual basis.

c) *Financial liabilities measured at amortised cost*

Financial liabilities measured at amortised cost are non-derivative financial liabilities which are not classified as financial liabilities held for trading or financial liabilities designated at fair value through profit or loss. Financial liabilities measured at amortised cost include deposits, debt issued and other borrowed funds and subordinated loans.

Financial liabilities measured at amortised cost are recognised initially at fair value net of transaction costs incurred, and subsequently are carried at amortised cost using the effective interest method. Amortised cost is calculated by taking into account any discount or premium on the issue and fees and costs that are an integral part of the effective interest rate. Accrued interest is included in the carrying amount of the liabilities in the balance sheet.

■ **3.6 Determination of fair value of financial assets and financial liabilities**

A number of the Bank's accounting policies and disclosures require the determination of fair value for measurement and/or disclosure purposes. Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction at the reporting date.

The determination of fair value of financial assets and financial liabilities that are quoted in an active market is based on quoted prices. If a market for a financial instrument is not active, the Bank establishes fair value using valuation techniques. A market is considered active if quoted prices are readily and regularly available and those prices represent actual and regularly occurring market transactions on an arm's length basis. For all other financial instruments fair value is determined by using valuation techniques.

Valuation techniques include recent arm's length transactions between knowledgeable, willing parties, if available, reference to the current fair value of other instruments that are substantially the same, the discounted cash flow analysis and option pricing models. Valuation techniques incorporate all factors that market participants would consider in setting a price and are consistent with accepted methodologies for pricing financial instruments. Periodically, the Bank calibrates the valuation technique and tests it for validity using prices from any observable current market transactions in the same instrument, without modification or repackaging, or based on any available observable market data.

For more complex financial instruments, the Bank uses proprietary models, which usually are developed from recognised valuation models. Some or all of the inputs into these models may not be market observable, in which case the inputs are derived from market prices or rates or estimated based on assumptions. The value produced by a model or other valuation technique is adjusted to allow for a number of factors as appropriate, because valuation techniques cannot appropriately reflect all factors market participants take into account when entering into a transaction. Valuation adjustments are recorded to allow for model risks, bid-ask spreads, liquidity risks, as well as other factors. Management believes that these valuation adjustments are necessary and appropriate to fairly state financial instruments carried at fair value on the balance sheet.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e. without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets. When such evidence exists, the Bank recognises the difference between the transaction price and fair value in the statement of comprehensive income in "Net financial income" on initial recognition of the financial instrument. In

cases where use is made of data which is not from observable markets, the difference between the transaction price and the value produced by the valuation technique, if any, is recognised in the statement of comprehensive income in "Net financial income", depending upon individual facts and circumstances of each transaction and not later than when the data becomes observable.

■ **3.7 Recognition and derecognition of financial assets and financial liabilities**

The Bank uses trade date accounting to recognise purchases and sales of financial assets, i.e. they are recognised on the date on which the Bank commits to purchase or sell the asset, except for loans, which are recognised on the date when cash is advanced to the borrowers. For a financial asset purchased, the Bank recognises on the trade date a financial asset to be received and a financial liability to pay. For a financial asset sold, the Bank derecognises the asset on the trade date, recognises any gains or losses on disposal and recognises a receivable from the buyer.

The Bank derecognises financial assets when the contractual rights to the cash flows from the financial assets expire or when the Bank transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred. Any interest in transferred financial assets that is created or retained by the Bank is recognised as a separate asset or liability.

The Bank recognises financial liabilities held for trading and financial liabilities designated at fair value through profit or loss on the trade date at which the Bank becomes a party to the contractual provisions of the financial instrument. The Bank recognises financial liabilities measured at amortised cost on the date when they originated. The Bank derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

The Bank enters into transactions whereby it transfers assets recognised on its balance sheet, but retains either all risks and rewards of the transferred assets or a portion of them. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognised from the balance sheet. Transfers of assets with retention of all or substantially all risks and rewards include, for example, repurchase transactions and securities lending.

The Bank does not derecognise from the balance sheet securities which the Bank sells under agreements to repurchase at a specified future date ("repos") at a fixed price or at the sale price plus a lender's return. The Bank recognises the cash received as a liability on its balance sheet. The difference between the sale and repurchase prices is recognised as interest expense over the life of the agreement using the effective interest rate method.

Securities lending and borrowing transactions are usually collateralised by securities or cash. The transfer of securities to counterparties is only reflected on the balance sheet if the risks and rewards of ownership are also transferred. Cash advanced or received as collateral is recorded as an asset or liability.

■ **3.8 Offsetting financial assets and financial liabilities**

Financial assets and liabilities are offset and the net amount reported in the balance sheet when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

■ **3.9 Derivative financial instruments**

The Bank uses derivatives for trading. Derivatives which do not classify as equity instruments of the Bank are classified as financial assets or financial liabilities, measured at fair value and presented in the balance sheet as assets or liabilities, depending on whether their fair value at the balance sheet date is positive (assets) or negative (liabilities).

The method of recognising changes in fair value of derivatives depends on

whether the derivatives are designated as hedging instruments, and if so, the nature of the item being hedged. Derivatives which the Bank does not designate or are not effective hedging instruments are classified as financial assets or financial liabilities held for trading and are accounted for in accordance with note 3.4(a) and 3.5(a).

■ 3.10 Leases

The Bank classifies leases based on the extent of the transfer of risks and rewards incidental to ownership of leased assets. A lease is classified as operating lease if the lessor does not transfer substantially all the risks and rewards incidental to ownership. A lease is classified as a finance lease if the lessor transfers substantially all the risks and rewards incidental to ownership.

a) *Operating leases*

Lease payments under operating leases where the Bank is the lessee are recognised as an expense on a straight-line basis over the lease term.

b) *Finance leases*

Finance leases are initially recognised at an amount equal to the net investment in the lease and subsequent lease payments are applied against the gross investment in the lease to reduce both the principal and the unearned finance income.

The Bank recognises its finance income as interest income based on a pattern reflecting a constant periodic rate of return on the Bank's net investment in the finance lease. The interest rate implicit in the lease is defined in such a way that the initial direct costs are included automatically in the finance lease receivable and therefore the initial direct costs are recognised over the lease term.

Where the Bank is part of an arrangement in the legal form of a lease, which in substance does not involve a lease, lease accounting is not applied and the lease agreement is classified as loans and receivables.

■ 3.11 Investment property

The Bank holds certain properties as investments to earn rental income, for capital appreciation or both. Investment property is measured initially at cost, including transaction costs. Subsequently, investment property is measured at fair value, which reflects market conditions at the balance sheet date. Changes in the fair values are included in the statement of comprehensive income in "Other net operating income".

■ 3.12 Property and equipment

a) *Owned assets*

Items of property and equipment are measured at cost less accumulated depreciation and impairment losses, according to the cost model in IAS 16.

Where parts of an item of property and equipment have different useful lives, those components are accounted for as separate items of property and equipment.

b) *Subsequent costs*

The Bank recognises in the carrying amount of an item of property and equipment the cost of replacing part of such an item when that cost is incurred if it is probable that the future economic benefits embodied with the item will flow to the Bank and the cost of the item can be measured reliably. The decision if subsequent costs are added to the acquisition cost of the property or equipment, is based on whether an identified component, or part of such component, has been replaced or not, or if the nature of the subsequent cost means a contribution of a new component. All other costs are recognised in the statement of comprehensive income as an expense, as incurred.

c) *Depreciation*

The depreciable amount of property and equipment is determined after deducting its residual value. Depreciation is charged to the statement of comprehensive income on a straight-line basis over the estimated useful lives of each part of an item of property and equipment. The estimated useful lives are as follows:

Buildings	50 years
Fixtures	6–12 years
Machinery and equipment	4 years
Vehicles	3 years

The residual value is reassessed annually.

■ 3.13 Intangible assets

a) *Goodwill*

Where goodwill arises it is recognised as an asset in relation to the acquisition of businesses, for example through purchase of shares in subsidiaries or net assets of another entity. Goodwill relating to acquisition of associates is not recognised separately as an asset but is included in the carrying amount of the investments in associates in the balance sheet.

All business combinations are accounted for by applying the purchase method. In this respect, goodwill represents the difference between the cost of the acquisition and the fair value of the net identifiable assets acquired.

Goodwill is measured at cost less any accumulated impairment losses. Goodwill is allocated to cash-generating units and is tested for impairment annually and whenever there is an indication that the unit may be impaired.

Expenditure on internally generated goodwill and brands is recognised in the statement of comprehensive income as an expense, as incurred.

b) *Other intangible assets*

Intangible assets other than goodwill that are acquired by the Bank are measured at cost less accumulated amortisation and impairment losses.

c) *Subsequent expenditure*

Subsequent expenditure on capitalised intangible assets other than goodwill is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

d) *Amortisation*

Amortisation is charged to the statement of comprehensive income on a straight-line basis over the estimated useful lives of intangible assets. The Bank ascertained that the estimated useful life of software is four years. Goodwill is not amortised but it is systematically tested for impairment. Other intangible assets are amortised from the date they are available for use.

■ 3.14 Non-current assets and disposal groups held for sale

Non-current assets (or disposal groups comprising assets and liabilities), including non-current assets (or disposal groups) acquired in a business combination, are classified as held for sale if the Bank expects to recover their carrying amount principally through a sale transaction rather than through continuing use. For this to be the case, the assets (or disposal groups) must be available for immediate sale in their present condition subject only to terms that are usual and customary for sales of such assets (or disposal groups) and their sale must be highly probable. Immediately before classification as held for sale, the measurement of all assets and liabilities in a disposal group is measured in accordance with the Bank's applicable accounting policies, except for non-current assets (or disposal groups) acquired in a business combination that are classified as held for sale, which are recognised at fair value less costs

to sell. Thereafter, generally the assets and disposal groups classified as held for sale are measured at the lower of carrying amount and fair value less costs to sell.

Impairment losses on initial classification as held for sale and subsequent gains or losses on remeasurement are recognised in the statement of comprehensive income. Gains are not recognised in excess of any cumulative impairment losses.

Non-current assets and disposal groups held for sale are mainly foreclosed mortgages and subsidiaries held exclusively with a view to subsequent disposal.

■ 3.15 Financial guarantees

Financial guarantees are contracts that require the Bank to make specified payments to reimburse the holder for a loss incurred because a specified debtor fails to make payments when due, in accordance with the terms of a debt instrument.

Financial guarantees are initially measured at fair value, being the premium received. Subsequently, the Bank's liability under each guarantee is measured at the higher of the amortised premium and the best estimate of the expenditure required to settle any financial obligation arising as a result of the guarantee at the balance sheet date. The estimates are determined based on experience of similar transactions and history of past losses, supplemented by the judgement of management. Financial guarantees are recognised in the financial statements when they are issued and included within "Other liabilities".

Any increase in the liability relating to financial guarantees is recognised in the consolidated statement of comprehensive income under "Other net operating income". The premium received is amortised on a straight line basis over the life of the guarantee and recognised in the consolidated statement of comprehensive income under "Net fees and commission income".

■ 3.16 Provisions

Provisions are recognised when the Bank has a present obligation (legal or constructive) as a result of a past event, there is a possibility that the Bank will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the balance sheet date, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, the receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

a) *Onerous contracts*

Present obligations arising under onerous contracts are recognised and measured as provisions. An onerous contract is considered to exist where the Bank has a contract under which the unavoidable costs of meeting the obligations under the contract exceeds the economic benefits expected to be received under it.

b) *Restructuring*

A restructuring provision is recognised when the Bank has developed a detailed formal plan for the restructuring and has raised a valid expectation in those affected that it will carry out the restructuring by starting to implement the plan or announcing its main features to those affected by it. The measurement of a restructuring provision includes only the direct expenditures arising from the restructuring, which are those amounts that are both necessarily entailed by the restructuring and not associated with the ongoing activities of the entity.

c) *Contingent liabilities acquired in a business combination*

Contingent liabilities acquired in a business combination are initially measured at fair value at the date of acquisition.

At subsequent reporting dates, such contingent liabilities are measured at the higher of the amount that would be recognised in accordance with IAS 37 Provisions, contingent liabilities and contingent assets and the amount initially recognised less cumulative amortisation recognised in accordance with IAS 18 Revenue.

■ 3.17 Subordinated loans

Subordinated loans are financial liabilities of the Bank which consist of liabilities in the form of subordinated loan capital which, in case of the Bank's voluntary or compulsory winding-up, will not be repaid until after the claims of ordinary creditors have been met. In the calculation of the capital ratio, the bonds are included within Tier 1 and Tier 2, as shown in Note 83. Subordinated loans with no maturity date that the Bank may retire only with the permission of the Financial Supervisory Authority (FME) these loans qualify as Tier 1 capital in the calculation of the equity ratio.

■ 3.18 Share capital

a) *Share capital*

The Bank has one class of ordinary shares which carry no right to fixed income.

b) *Dividends on shares*

Dividends are recognised as a deduction to equity in the period in which they are approved by the Bank's shareholders. Dividends declared after the balance sheet date are not recognised as a liability at the balance sheet date.

■ 3.19 Cash and cash equivalents

Cash and cash equivalents consist of highly liquid assets that are readily convertible into cash and which are subject to an insignificant risk of change in value. These are cash in hand, unrestricted balances with Central Bank and demand deposits with credit institutions.

In addition, the Bank uses other assets such as treasury bills, short-term loans to credit institutions and other liquid debt securities, in the management of its short-term commitments.

■ 3.20 Interest income and expense

For all financial assets and financial liabilities measured at amortised cost and for debt instruments classified as financial assets available-for-sale (see notes 3.4 and 3.5), interest income and expense is recognised in the statement of comprehensive income using the effective interest method. For all financial assets and financial liabilities held for trading and for all financial assets and liabilities designated at fair value through profit or loss (see notes 3.4 and 3.5), interest income and expense is recognised in the statement of comprehensive income on an accrual basis (see note 10).

The effective interest method is a method of calculating the amortised cost of a financial asset or a financial liability (or group of financial assets or financial liabilities) and of allocating the interest income or interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, when appropriate, to the net carrying amount of the financial asset or financial liability. When calculating the effective interest rate, the Bank estimates cash flows, considering all contractual terms of the financial instrument, but does not consider future credit losses. The calculation generally includes all fees and amounts paid or received between parties to the contract that are an integral part of the effective interest rate, as well as transaction costs and all other premiums or discounts.

The effective interest rate is established on initial recognition of financial assets and financial liabilities and their carrying amount is subsequently adjusted if the Bank revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original effective interest rate (i.e. the effective interest rate established at initial recognition) and the change in carrying amount is recorded as interest income or expense. For floating rate instruments, interest income or expense is generally recognised based on the current market rate plus or minus amortisation or accretion of the discount or premium based on the original effective interest rate. Interest on impaired financial assets is calculated by applying the original effective interest rate of the financial asset to the carrying amount as reduced by any allowance for impairment.

Interest income and expense include gains and losses on derecognition of loans and receivables and financial liabilities measured at amortised cost.

■ 3.21 Net valuation changes on loans and receivables

Net valuation changes on loans and receivables is the net amount realised in the income statement following a revaluation of the Bank's loan assets held at deep discount. It is made up of income due to revised estimated future cash flows from loans (see note 2.5 b), individually and collectively assessed impairment (see note 35), but excludes impairment or impairment loss reversal of foreign exchange gain from customers with cash flows in ISK (see note 2.5 d).

Provision for latent impairment losses reflects impairment losses that have been incurred but not identified in the reporting period (see note 2.5 c).

■ 3.22 Impairment

The carrying amount of the Bank's assets, other than tax assets and financial assets measured at fair value with changes recognised in the statement of comprehensive income is reviewed at each balance sheet date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. An impairment loss is recognised in the statement of comprehensive income whenever the carrying amount of an asset or of a cash-generating unit exceeds its recoverable amount.

A financial asset or a group of financial assets is impaired and impairment losses are incurred if, and only if, there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a "loss event") and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated. It may not be possible to identify a single, discrete event that caused the impairment. Rather the combined effect of several events may have caused the impairment. Losses expected as a result of future events, no matter how likely, are not recognised.

a) *Impairment on loans and receivables*

If there is objective evidence that an impairment loss has been incurred on loans and receivables, their carrying amount is reduced through the use of an allowance account to the present value of expected future cash flows, discounted at their original effective interest rate. Losses expected as a result of future events, no matter how likely, are not recognised.

The criteria that the Bank uses to determine that there is objective evidence of an impairment loss include:

- Delinquency in contractual payments of principal or interest;
- Cash flow difficulties experienced by the borrower (for example, equity ratio, net income percentage of sales);
- Breach of loan covenants or conditions;
- Initiation of bankruptcy proceedings;
- Deterioration of the borrower's competitive position;

- Deterioration in the value of collateral;
- Downgrading of an asset.

If, in a subsequent period, the amount of an impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed to the extent it is now excessive by reducing the loan impairment allowance account. The amount of any reversal is recognised in the statement of comprehensive income.

The Bank's management first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant. Loans and receivables that are not impaired individually become a part of a portfolio which is assessed for impairment. Collective assessment based on a portfolio assumes that loans and receivables have similar credit risk characteristics. Objective evidence of impairment of a group of loans and receivables exists if objective data indicates a decrease in expected future cash flows from a portfolio of loans and the decrease can be measured reliably but cannot be identified with the individual loans in the portfolio.

The recognition of interest income on impaired loans and receivables is recognised using the rate of interest used to discount the future cash flows for the purpose of measuring impairment losses.

b) *Impairment on goodwill*

The Bank assesses whether there is any indication of impairment of goodwill on an annual basis. Goodwill is tested for impairment. Gains or losses realised on the disposal of subsidiaries include any unamortised balances of goodwill relating to the subsidiary disposed of.

c) *Impairment on financial assets available-for-sale*

The Bank determines that available-for-sale equity investments are impaired when there has been a significant or prolonged decline in the fair value below its cost. This determination of what is significant or prolonged requires judgement. In making this judgement, the Bank evaluates among other factors, the normal volatility in share price. In addition, impairment may be appropriate when there is evidence of deterioration in the financial strength of the investee, industry and sector performance, changes in technology, and operational and financing cash flows. The amount of impairment loss is recognised in the statement of comprehensive income.

d) *Calculation of recoverable amount*

The recoverable amount of the Bank's loans and receivables is calculated as the present value of estimated future cash flows. The discount rate used for fixed rate loans and receivables is the effective interest rate computed at initial recognition. For variable rate loans and receivables the discount rate is the current effective interest rate.

The recoverable amount of other assets is the greater of their net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

Loan write-offs:

When a loan is uncollectible, it is written off against the related provision for loan impairment. Such loans are written off after all the necessary procedures have been completed and the amount of the loss has been determined.

e) *Reversals of impairment*

An impairment loss in respect of financial assets carried at amortised cost is reversed if the subsequent increase in recoverable amount can be related objectively to an event occurring after the impairment loss was recognised.

When a financial asset is acquired at a deep discount, credit losses have already occurred and are reflected in the purchase price. Such incurred credit losses are included in the estimated cash flows when computing the effective interest rate, as described in note 3.20. Any adjustments arising from revisions to estimated cash flows subsequent to initial recognition, e.g. recovery of previously incurred credit losses, are recognised as part of the carrying amount of the financial asset with a corresponding amount recognised in profit or loss.

An impairment loss in respect of an investment in a debt instrument classified as available-for-sale is reversed through the statement of comprehensive income while an impairment loss in respect of an investment in an equity instrument classified as available-for-sale is not reversed through statement of comprehensive income but through equity.

An impairment loss in respect of goodwill is not reversed.

In respect of other assets, an impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

f) *Renegotiated loans*

Where possible, the Bank seeks to restructure loans rather than to take possession of collateral. This may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, the loan is no longer considered past due. Management continuously reviews renegotiated loans to ensure that all criteria are met and that future payments are likely to occur. The loans continue to be subject to an individual or collective impairment assessment.

■ 3.23 Fee and commission income and expense

Fees and commissions are generally recognised on an accrual basis when the service has been provided.

Loan commitment fees for loans that are likely to be drawn down are deferred and recognised as an adjustment to the effective interest rate on the loan. When a loan commitment is not expected to result in the draw-down of a loan, loan commitment fees are recognised on a straight-line basis over the commitment period. Loan syndication fees are recognised as revenue when the syndication has been completed and the Bank has retained no part of the loan package for itself or has retained a part at the same effective interest rate as the other participants.

Commission and fees arising from negotiating, or participating in the negotiation of, a transaction for a third party – such as the arrangement of the acquisition of shares or other securities or the purchase or sale of businesses – are recognised on completion of the underlying transaction. Portfolio and other management advisory and service fees are recognised based on the applicable service contracts, usually on a time-apportionate basis. Asset management fees related to investment funds are recognised rateably over the period in which the service is provided. The same principle is applied for wealth management, financial planning and custody services that are continuously provided over an extended period of time. Performance-linked fees or fee components are recognised when the performance criteria are fulfilled.

■ 3.24 Net financial income

Net financial income consists of net gains on financial instruments held for trading, net gains on financial instruments designated at fair value through profit or loss and fair value adjustments in hedge accounting.

a) *Net gains on financial instruments held for trading*

Net gains on financial instruments held for trading comprise gains and losses

related to financial assets and financial liabilities held for trading, and include all realised and unrealised fair value changes, except for interest (which is included in "Interest income" and "Interest expense") and foreign exchange gains and losses (which are included in "Net foreign exchange gains" as described below). Dividend income from financial assets held for trading is recognised in the statement of comprehensive income when the Bank's right to receive payment is established.

Gains and losses arising from changes in the fair value of derivatives that are classified as held for trading and which are economic hedges of financial assets or financial liabilities designated at fair value through profit or loss are included in "Net gains on financial instruments designated at fair value through profit or loss".

b) *Net gains on financial instruments designated at fair value through profit or loss*

Net gains on financial instruments designated at fair value through profit or loss comprise gains and losses related to financial assets and financial liabilities designated at fair value through profit or loss, and includes all realised and unrealised fair value changes, except for interest (which is included in "Interest income" and "Interest expense") and foreign exchange gains and losses (which are included in "Net foreign exchange gains" as described below). Dividend income from financial assets designated at fair value through profit or loss is recognised in the statement of comprehensive income when the Bank's right to receive payment is established.

Net gains on financial instruments designated at fair value through profit or loss also include gains and losses arising from changes in the fair value of derivatives that are classified as held for trading and which are economic hedges of financial assets or financial liabilities designated at fair value through profit or loss.

c) *Fair value adjustments in hedge accounting*

Fair value adjustments in hedge accounting comprises gains and losses arising from the entire change in fair value of hedging instruments in fair value hedges and gains and losses on hedged items attributable to the risks being hedged.

The Bank did not apply hedge accounting in 2010.

■ 3.25 Net foreign exchange (loss) gain

Net foreign exchange (loss) gain comprises all foreign exchange differences arising on the settlement of foreign currency monetary assets and liabilities and on translating foreign currency monetary assets and liabilities at rates different from those at which they were translated on initial recognition during the period or in previous financial statements, except for differences arising on financial instruments designated as hedging instruments of net investments in foreign operations.

Net foreign exchange (loss) gain also includes foreign exchange differences arising on translating non-monetary assets and liabilities which are measured at fair value in foreign currencies and whose other gains and losses are also recognised in profit or loss.

On the face of the income statement, net foreign exchange (loss) gain is offset by impairment losses due to impairment of foreign exchange gain from loans in foreign currencies to borrowers with ISK revenue and cash flows, as the Bank does not expect to recover the foreign exchange gain on these loans.

■ 3.26 Income tax

Income tax on the profit or loss for the period comprises current and deferred tax. Income tax is recognised in the statement of comprehensive income except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable on the taxable income for the period,

using tax rates enacted or substantially enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

The deferred income tax asset/liability has been calculated and entered in the balance sheet. The calculation is based on the difference between balance sheet items as presented in the tax return on the one hand, and in the consolidated financial statements on the other, taking into consideration a carry forward tax loss. This difference is due to the fact that tax assessments are based on premises that differ from those governing the financial statements, mostly because revenues, especially of financial assets, are recognised earlier in the financial statements than in the tax return. A calculated tax asset is offset against income tax liability only if they are due to tax assessment from the same tax authorities.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

■ 3.27 Bank tax

In December 2010 the government passed a new legislation, 155/2010, implementing a non-deductible tax charge for credit institutions. The stated purpose of this tax is to create revenues for the government to meet the increased costs attributable to the insolvency of the Icelandic banks in October 2008. Furthermore, it is intended as a deterrent to increased risk appetite. The tax is calculated as 0.041% of the credit institution's total liabilities. The bank tax is shown in a separate line on the face of the statement of comprehensive income. The tax became effective for the tax year ended 31 December 2010.

■ 3.28 Administrative expenses

Administrative expenses consist of salaries and related expenses, depreciation of property and equipment, amortisation of intangible assets and other administrative expenses, such as housing costs, advertising expenses and IT-related expenses.

■ 3.29 Segment reporting

A business segment is a group of assets and operations engaged in providing products or services that are subject to risk and return that are different from those of other business segments. The Bank is organised into six main business segments: Retail banking, Corporate banking, Markets, Wealth Management, Treasury and Midengi.

■ 3.30 Initial application of new standards and amendments to standards which had an effect on the consolidated financial statements of the Bank

No initial application of new standards and amendments, which became effective for the Bank on 1 January 2010, had an effect on the consolidated financial statements of the Bank.

■ 3.31 New standards and amendments to standards which had no effect on the consolidated financial statements of the Bank

The following new standards and amendments which became effective on or after 1 January 2010 had no effect on the consolidated financial statements of the Bank:

- a) IFRIC 17 Distributions of Non-cash Assets to Owners, which establishes when and how a liability for certain distributions of non-cash assets to owners, acting in their capacity as owners, must be recognised and measured, and how to account for settlement of that liability. Distributions within the scope of IFRIC 17 must be measured at the fair value of the assets to be distributed. Any gain or loss on settlement of the liability for the dividend payable is recognised

in profit or loss. The scope of IFRS 5 was expanded to include distributions of non-cash assets to owners.

- b) Amendments to IAS 39 Financial Instruments: Recognition and Measurement – Eligible Hedged Items, which clarify the application of existing principles that determine whether specific risks or portions of cash flows are eligible for designation in a hedging relationship.
- c) Amendments to IFRS 2 Share-based Payment – Group Cash-settled Share-based Payment Transactions, which requires an entity receiving goods or services (receiving entity) in either an equity-settled or a cash-settled share-based payment transaction to account for the transaction in its separate or individual financial statements. This principle applies also if another group entity or shareholder settles the transaction (settling entity) and the receiving entity has no obligation to settle the payment.
- d) Improvements to IFRSs (May 2008) – Amendments to IFRS 5 Non-current Assets Held for Sale and Discontinued Operations issued as part of the improvements to IFRSs issued in May 2008, which clarify that an entity must classify all the assets and liabilities of a subsidiary as held for sale when the criteria set out in IFRS 5 are met and the entity is committed to a sale plan involving loss of control of a subsidiary, regardless of whether the entity retains a non-controlling interest in its former subsidiary after the sale. In addition, the entity has to disclose the information required in respect of discontinued operations if the subsidiary is a disposal group that meets the definition of a discontinued operation in accordance with IFRS 5.
- e) Improvements to IFRSs (April 2009), which consist of 15 amendments to 12 various standards related to the presentation, recognition, measurement or disclosures requirements of those standards.
- f) The Bank early adopted the revised IFRS 3 Business Combinations (2008) and the amendments to IAS 27 Consolidated and Separate Financial Statements (2008) in its consolidated financial statements for the year ended December 2008.

■ 3.32 New standards and amendments to standards adopted in advance by the Bank

The Bank did not early adopt any standards or amendments that became effective on or after 1 January 2011.

■ 3.33 New standards and amendments to standards effective for the Bank for annual periods beginning on or after 1 January 2011 which have not been adopted in advance by the Bank

The following new standards and amendments to standards become effective for annual periods beginning on or after 1 January 2011 and have not been early adopted by the Bank:

- a) Improvements to IFRSs (May 2010), which contain the amendments to IFRS 3 Business Combinations, IFRS 7 Financial Instruments: Disclosures, IAS 1 Presentation of Financial Statements, IAS 27 Consolidated and Separate Financial Statements, IAS 34 Interim Financial Reporting and IFRIC 13 Customer Loyalty Programmes and consequential amendments to other IFRSs. If endorsed by the EU, these improvements to IFRSs will become mandatory for the Bank's 2011 consolidated financial statements, with retrospective application generally required. These amendments are not expected to have a material impact on the consolidated financial statements of the Bank, except for the amendments to IFRS 7 which will require the Bank to disclose in the notes a quantification of the extent to which collateral and other credit enhancements mitigate credit risk arising from financial assets.
- b) Amendment to IAS 32 Financial Instruments: Presentation – Classification of Rights Issues. The IASB amended IAS 32 to allow rights, options or warrants to acquire a fixed number of an entity's own equity instruments for a fixed amount of any currency to be classified as equity instruments provided the en-

tity offers the rights, options or warrants pro rata to all of its existing owners of the same class of its own non-derivative equity instruments. The amendment to IAS 32 will become mandatory for the Bank's 2011 consolidated financial statements. The amendment must be applied retrospectively as it does not include any specific transitional provisions. The Bank is currently in the process of evaluating the possible impact of this amendment on its consolidated financial statements.

- c) IFRIC 19 Extinguishing Financial Liabilities with Equity Instruments, which addresses the accounting by an entity when the terms of its financial liabilities are renegotiated and result in the entity issuing equity instruments to its creditors to extinguish all or part of the financial liabilities. IFRIC 19 requires the entity to measure the equity instruments issued to its creditors to extinguish all or part of a financial liability at the fair value of the equity instruments issued, unless that fair value cannot be reliably measured, in which case the equity instruments issued must be measured to reflect the fair value of the financial liability extinguished. IFRIC 19 becomes mandatory for the Bank's 2011 consolidated financial statements, with retrospective application required. IFRIC 19 is not expected to have a material impact on the consolidated financial statements of the Bank.
- d) Amendments to IFRIC 14 IAS 19 – The Limit on a Defined Benefit Assets, Minimum Funding Requirements and their Interaction, which remove unintended consequences arising from the treatment of prepayments where there is a minimum funding requirement. These amendments result in prepayments of contributions in certain circumstances being recognised as an asset rather than an expense. These amendments will become mandatory for the Bank's 2011 consolidated financial statements, with retrospective application required. These amendments are not expected to have a material impact on the consolidated financial statements of the Bank.
- e) IAS 24 Related Party Disclosures (revised 2009), which amends the definition of a related party and provides a partial exemption to government-related entities from the general disclosure requirements in IAS 24. The revised IAS 24 will become mandatory for the Bank's 2011 consolidated financial statements, with retrospective application required. The Bank is currently in the process of evaluating the possible impact of the revised IAS 24 on its consolidated financial statements.
- f) Amendments to IAS 12 Income Taxes – Deferred Tax: Recovery of Underlying Assets introduce an exception to the current measurement principles of deferred tax assets and liabilities arising from investment property measured using the fair value model in accordance with IAS 40 Investment Property. The exception also applies to investment properties acquired in a business combination accounted for in accordance with IFRS 3 Business Combinations provided they are subsequently measured by applying the fair value model. In these specified circumstances the measurement of deferred tax liabilities and deferred tax assets should reflect a rebuttable presumption that the carrying amount of the underlying asset will be recovered entirely by sale. The presumption is rebutted only if the investment property is depreciable and held within a business model whose objective is to consume substantially all of the asset's economic benefits over the life of the asset. If endorsed by the EU, these amendments will become mandatory for the Bank's 2012 consolidated financial statements, with retrospective application required. The Bank is currently in the process of evaluating the possible impact of these amendments on its consolidated financial statements.
- g) Amendments to IFRS 7 Financial Instruments: Disclosures – Transfers of Financial Assets, which require disclosure of information that enables users of financial statements (i) to understand the relationship between transferred financial assets that are not derecognised in their entirety and the associated liabilities; and (ii) to evaluate the nature of, and risks associated with, an entity's continuing involvement in derecognised financial assets. If endorsed by the EU,

these amendments will become mandatory for the Bank's 2012 consolidated financial statements, with earlier application permitted. Disclosures required by these amendments are not required for any periods presented that begin before the date of initial application of the amendments. The Bank is currently in the process of evaluating the possible impact of these amendments on its consolidated financial statements.

- h) IFRS 9 Financial Instruments replaces those parts of IAS 39 Financial Instruments: Recognition and Measurement relating to the classification and measurement of financial assets and financial liabilities. The key features of IFRS 9 are the following:
 - Financial assets are required to be classified into two measurement categories: those to be measured subsequently at fair value, and those to be measured subsequently at amortised cost. The decision is to be made at initial recognition. The classification depends on the entity's business model for managing its financial instruments and the contractual cash flow characteristics of the instrument.
 - An instrument is subsequently measured at amortised cost only if it is a debt instrument and both the objective of the entity's business model is to hold the asset to collect the contractual cash flows, and the asset's contractual cash flows represent only payments of principal and interest. All other debt instruments are to be measured at fair value through profit or loss.
 - All equity instruments are to be measured subsequently at fair value. Equity instruments that are held for trading will be measured at fair value through profit or loss. For all other equity investments, an irrevocable election can be made at initial recognition, to recognise unrealised and realised fair value gains and losses through other comprehensive income rather than profit or loss. There will be no recycling of fair value gains and losses to profit or loss. This election may be made on an instrument-by-instrument basis. Dividends are to be presented in profit or loss, as long as they represent a return on investment.
 - Derivatives embedded in contracts with a host that is a financial asset within the scope of the standard are not to be separated; instead the hybrid financial instrument is to be assessed in its entirety as to whether it should be measured at amortised cost or fair value.
 - IFRS 9 (2010) generally requires that the amount of change in fair value attributable to changes in the credit risk of liabilities designated by an entity as at fair value through profit or loss be presented in other comprehensive income, with only the remaining amount of the total gain or loss included in profit or loss. The amounts presented in other comprehensive income may not be subsequently reclassified to profit or loss but may be transferred within equity. However, if the recognition of gains and losses in other comprehensive income creates or enlarges an accounting mismatch in profit or loss, then the whole fair value change must be presented in profit or loss. Additionally, all fair value gains and losses continue to be included in profit or loss for loan commitments and financial guarantee contracts designated at fair value through profit or loss. Currently, IASB has issued two versions of IFRS 9. The first version was issued in 2009 and the second version was issued in 2010. The 2010 version includes all the requirements of the 2009 version without amendment, but in addition, it also includes the requirements with respect to the classification and measurement of financial liabilities and the derecognition of financial assets and financial liabilities. The 2010 version supersedes the 2009 version. However, for annual periods beginning before 1 January 2013, an entity may elect to apply the 2009 version rather than the 2010 version.

If endorsed by the EU, IFRS 9 will become mandatory for the Bank's 2013 consolidated financial statements, with retrospective application required with certain exceptions. Earlier application of the standard is permitted and prior periods need not be restated if the Bank adopts the standard for reporting pe-

riods beginning before 1 January 2012. The Bank is currently in the process of evaluating the potential effect of this standard and the timing of its adoption by the Bank. Given the nature of the Bank's operations, the standard is expected to have a pervasive impact on the consolidated financial statements of the Bank.

BUSINESS COMBINATIONS

4. Acquisition of group undertakings

At the end of December 2010 the Bank acquired 100% of the share capital of Air Atlanta Property ehf., a property investment company based in England. The Bank ascertains that the subsidiary will be sold within a few months time and it has therefore been recognised as a non-current assets and disposal group held for sale according to IFRS 5 (see note 43).

The company was acquired at GBP 100 and was consolidated to the group on 31 December 2010.

The Bank has performed an in-house fair value measurement of assets, liabilities and equity based on a detailed valuation performed by a UK property surveyor.

The estimated fair value measurement of the business combination takes into account the condition of and uncertainties in relation to the underlying assets and liabilities. No goodwill arose on the acquisition.

Employees of the business combination are not included in the full-time equivalent staff number of the Bank.

BUSINESS SEGMENTS

5. A business segment is a distinguishable component of the Bank that is engaged in providing products or services that are subject to risks and rewards that may be different from those of other business segments. Transactions between the business segments are on normal commercial terms and conditions. No single customer of the Bank generates 10% or more of the combined revenue.

The accounting policies for the reportable segments are in line with the Bank's accounting policies. The segment profit presented is the profit reported to the chief operating decision maker (CEO) and the Board for the purpose of resource allocation and assessment of segment performance.

The Bank is organised into six main business segments:

- a) Retail Banking operates branches and asset-based financing. The branches provide services to individuals and small and medium-sized enterprises. The Bank operates 21 branches in Iceland.
- b) Corporate Banking offers financial services to larger corporations and investors. It operates internationally in two industry sectors: seafood and sustainable energy.
- c) Wealth Management offers a range of wealth and asset management products and services for individuals, corporations and institutional investors. In February 2011, Wealth Management changed its name to VÍB.
- d) Markets incorporates brokerage services in securities, foreign currencies and derivatives, sale of securities issues, money market lending and advisory services.
- e) Midengi is an asset management company which was formed specifically to manage businesses which the Bank has acquired through repossessions following loan defaults, debt restructuring and bankruptcies of its customers. The aim is to divest the businesses at the earliest opportunity.
- f) Treasury incorporates unallocated capital, funding and interbank functions for the Bank.

Indirect cost from cost centres is allocated to the business segments. Cost centres comprise Head Office, Risk Management, Credit Control, Legal Department, Finance, Back Office, Branch Services, Operational Services, Quality Department, Software Solutions, Information Technology and Human Resources. There was no cost allocation in 2009.

Capital is allocated to business segments in 2010 based on the minimum Core Tier 1 ratio requirements set by the Financial Supervisory Authority (FME) of 12% of average risk weighted assets on which the segments receive risk free interest return. The remaining capital balance is reported under the Treasury unit. There was no capital allocation in 2009.

Following is an overview showing the Bank's performance with a breakdown by business segments.

The year 2010

Operations

	Retail Banking	Corporate Banking	Markets	Wealth Management	Midengi	Treasury	Cost centres & eliminations	Total
Net interest income	17,397	8,769	342	1,421	(380)	7,898	(574)	34,874
Risk free interest on allocated equity	1,786	1,532	28	92	0	(3,459)	21	0
Net valuation changes	2,028	12,715	10	(229)	(408)	45	(168)	13,993
Net fee income	3,970	302	1,625	1,404	(55)	(19)	153	7,380
Net foreign exchange loss	(51)	0	0	(3)	(8)	(901)	0	(963)
Net financial (expenses) income	(180)	485	67	(31)	0	(121)	(1,130)	(910)
Other net operating income	43	20	20	36	246	7	813	1,186
Administrative expenses	(6,311)	(797)	(496)	(840)	(219)	(450)	(9,358)	(18,473)
Other income (expenses)	49	0	0	(56)	(266)	0	(10)	(283)
Cost allocation	(4,454)	(1,999)	(728)	(981)	0	(453)	8,615	0
Profit (loss) before tax	14,277	21,027	868	813	(1,090)	2,547	(1,638)	36,804
Net segment revenue from external customers	25,825	23,493	2,080	10,476	(604)	(5,149)	(561)	55,560
Net segment revenue from other segments	(831)	330	12	(7,786)	0	8,599	(324)	0

At 31 December 2010

Total segment assets	297,747	175,907	255	10,231	9,161	181,862	8,059	683,222
-----------------------------	----------------	----------------	------------	---------------	--------------	----------------	--------------	----------------

The year 2009

Operations

	Retail Banking	Corporate Banking	Markets	Wealth Management	Midengi	Treasury	Cost centres & eliminations	Total
Net interest income	13,816	7,800	378	1,350	(1,285)	10,666	(741)	31,984
Net valuation changes	5,366	(4,814)	(3)	3,049	0	(3,910)	634	324
Net fee income	3,657	233	1,730	1,440	(51)	(122)	174	7,061
Net foreign exchange (loss) gain	(115)	1	0	(26)	(467)	3,229	(1)	2,621
Net financial income (expenses)	131	(14)	61	15	0	92	0	285
Other net operating income	19	12	42	61	1,883	0	743	2,760
Administrative expenses	(5,701)	(334)	(404)	(768)	(146)	(1,017)	(7,744)	(16,113)
Other income	0	0	0	0	(294)	0	31	(263)
Profit (loss) before tax	17,174	2,885	1,804	5,121	(359)	8,938	(6,903)	28,660
Net segment revenue from external customers	21,486	(3,807)	2,216	24,918	82	(2,033)	2,498	45,360
Net segment revenue from other segments	6,756	2,210	(10)	(15,980)	0	8,079	(1,055)	0

At 31 December 2009

Total segment assets	299,275	191,092	2,562	14,720	9,846	198,096	1,751	717,342
-----------------------------	----------------	----------------	--------------	---------------	--------------	----------------	--------------	----------------

In 2009, Corporate Finance was reported under Corporate Banking and Interbank was reported under Markets. In 2010, Corporate Finance was moved to Markets and Interbank was moved to Treasury. The 2009 comparable amounts have been adjusted accordingly although, due to the difference in methodology in equity allocation and cost allocation, the years are not comparable.

QUARTERLY AND HALF YEAR STATEMENTS

6 Operations by quarters and half year:

2010	Q4	Q3*	Q2*	Q1*	Total
Net interest income	9,128	8,308	8,289	9,149	34,874
Net valuation changes on loans and receivables	12,267	2,714	702	(1,176)	14,507
Provision for latent impairment losses	(41)	137	(49)	(561)	(514)
Net fee and commission income	2,146	1,902	1,708	1,624	7,380
Net financial (expenses) income	(548)	72	(49)	(385)	(910)
Net foreign exchange gain (loss)	1,391	(2,406)	179	(127)	(963)
Other net operating income	490	217	392	87	1,186
Administrative expenses	(4,525)	(4,653)	(4,941)	(4,354)	(18,473)
Other (expenses) income	(545)	114	15	133	(283)
Profit before tax	19,763	6,405	6,246	4,390	36,804
Income tax	(3,323)	(1,544)	(1,540)	(807)	(7,214)
Bank tax	(221)	0	0	0	(221)
Profit for the period	16,219	4,861	4,706	3,583	29,369

The Q2 results were reviewed by the Bank's auditors. The Bank has since reclassified 2,842m from interest income to net valuation changes on loans and receivables.

* The Q1, Q2 and Q3 results and the split between quarters were not audited.

2009	H2*	H1*	Total
Net interest income	19,753	12,231	31,984
Net valuation changes on loans and receivables	3,465	(2,664)	801
Provision for latent impairment losses	(160)	(317)	(477)
Net fee and commission income	3,450	3,611	7,061
Net financial income	233	52	285
Net foreign exchange (loss) gain	(1,393)	4,014	2,621
Other net operating income	1,901	859	2,760
Administrative expenses	(8,195)	(7,918)	(16,113)
Other income (expenses)	128	(391)	(263)
Profit before tax	19,182	9,477	28,660
Income tax	(3,306)	(1,372)	(4,678)
Profit for the period	15,876	8,105	23,982

* The split between H1 and H2 is unaudited

FINANCIAL ASSETS AND LIABILITIES

7 The following tables show the carrying value of financial assets and financial liabilities according to their IAS39 classification.

At 31 December 2010

	Notes	Held for trading	Designated at fair value through P&L	Loans & receivables	Other amortised cost	Total carrying amount
<i>Loans and receivables</i>						
Cash and balances with Central Bank	26			30,799		30,799
Loans to credit institutions	31–32			30,870		30,870
Loans to customers	33–34			515,161		515,161
Loans and receivables		0	0	576,830	0	576,830
<i>Bonds and debt instruments</i>						
Listed		36,201				36,201
Unlisted			31,823			31,823
Bonds and debt instruments	29	36,201	31,823	0	0	68,024
<i>Shares and equity instruments</i>						
Listed		411	51			462
Unlisted			2,560			2,560
Shares and equity instruments	30	411	2,611	0	0	3,022
Derivatives	28	70				70
Total financial assets		36,682	34,434	576,830	0	647,946
<i>Financial liabilities</i>						
Derivatives	45	9,090				9,090
Deposits from Central Bank	28	429				429
Deposits from credit institutions	46				26	26
Deposits from customers	46				96,212	96,212
Debt issued and other borrowed funds	47–48				327,158	327,158
Subordinated loans	49				55,425	55,425
	50				21,241	21,241
Total financial liabilities		9,519	0	0	500,062	509,581

At 31 December 2009

	Notes	Held for trading	Designated at fair value through P&L	Loans & receivables	Other amortised cost	Total carrying amount
<i>Loans and receivables</i>						
Cash and balances with Central Bank	26			38,743		38,743
Loans to credit institutions	31–32			87,416		87,416
Loans to customers	33–34			489,611		489,611
Loans and receivables		0	0	615,770	0	615,770
<i>Bonds and debt instruments</i>						
Listed		36,271	0			36,271
Unlisted			30,430			30,430
Bonds and debt instruments	29	36,271	30,430	0	0	66,701
<i>Shares and equity instruments</i>						
Listed		477	63			540
Unlisted			1,710			1,710
Shares and equity instruments	30	477	1,773	0	0	2,250
Total financial assets		36,748	32,203	615,770	0	684,721
<i>Financial liabilities</i>						
Deposits from Central Bank	45	7,332				7,332
Deposits from credit institutions	46				28	28
Deposits from customers	46				139,064	139,064
Debt issued and other borrowed funds	47–48				339,659	339,659
Subordinated loans	49				69,190	69,190
	50				24,843	24,843
Total financial liabilities		7,332	0	0	572,784	580,116

FAIR VALUE INFORMATION FOR FINANCIAL INSTRUMENTS

- 8 The fair value of a financial instrument is the transaction price that would have been on the measurement date in an arm's length exchange motivated by normal business considerations. Where a market price is not readily available, the Bank applies valuation techniques based on estimates and assumptions that are consistent with that which market participants would use in setting a price for the financial instrument. In some instances the Bank uses approximation methods. These approximation methods are explained in more detail below.

The fair value of a financial liability with a demand feature, such as a demand deposit, is not less than the amount payable on demand, discounted from the first date that the amount could be required to be paid.

Financial instruments at amortised cost

Loan assets on the Bank's balance sheet that are carried at amortised cost, consist of two components: a) the original portfolio acquired from Glitnir and b) new loans originating in the Bank.

Vast majority of new loans carry floating interest rates. These loans have recently been issued and there has not been any significant change in the credit quality of the clients. Therefore, their fair value is considered to be fully represented by the carrying amount.

Loans in the acquired portfolio were discounted using an effective interest rate determined at the time of acquisition. In light of the still remaining uncertainty in the economic environment and in light of legal and political uncertainty, for example relating to foreign currency loans and the fishing quota system, the Bank believes that at this time it is not appropriate to reconsider the required yield for the acquired portfolio.

Based on the above, it is the Bank's opinion that the fair value of the acquired loan assets equals their carrying amount.

There is no active market with deposits or with debt issued by the Bank. Most deposits carry floating interest rates and the fair value of such deposits equals their carrying amount. For longer term fixed rate deposits, the Bank calculates the fair value with a duration approach, using the difference in each liability's current rate from the estimated rate that a similar product would carry today. Debt issued and other borrowed funds are valued in the same way.

For Cash and balances with Central Bank the carrying value is very well approximated by the carrying amount since they are very short term in nature. The liabilities in Subordinated loans carry floating interest rates and the Bank believes there has been no change in its funding premium from the time of issuance of these loans. Therefore, it is the Bank's opinion that their fair value equals their carrying amount.

The following table shows the fair value for the Bank's assets and liabilities measured at amortised cost.

	Carrying amount 2010	Fair value 2010	Carrying amount 2009	Fair value 2009
Financial assets:				
Cash and balances with Central Bank	30,799	30,799	38,743	38,743
Loans to credit institutions	30,870	30,870	87,416	87,416
Loans to customers	515,161	515,161	489,611	489,611
Total financial assets	576,830	576,830	615,770	615,770
Financial liabilities:				
Deposits from Central Bank	26	26	28	28
Deposits from credit institutions	96,212	96,366	139,064	139,229
Deposits from customers	327,158	327,341	339,659	339,777
Debt issued and other borrowed funds	55,425	57,619	69,190	70,188
Subordinated loans	21,241	21,241	24,843	24,843
Total financial liabilities	500,062	502,593	572,784	574,065

9 Fair value hierarchy

The table below analyses financial instruments carried at fair value, by valuation method. The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

The following table shows the level in the hierarchy into which the fair value of financial assets and liabilities carried at fair value in the consolidated balance sheet are categorised as at 31 December 2010:

Financial assets:	Level 1	Level 2	Level 3	Total
Bonds and debt instruments	35,627	30,591	1,806	68,024
Equities and equity instruments	362	50	2,610	3,022
Derivative instruments	12	0	58	70
Total financial assets	36,001	30,641	4,474	71,116
Financial liabilities:				
Financial liabilities held for trading	9,090	0	0	9,090
Derivative instruments	44	313	72	429
Total financial liabilities	9,134	313	72	9,519

The following table shows the level in the hierarchy into which the fair value of financial assets and liabilities carried at fair value in the consolidated balance sheet are categorised as at 31 December 2009:

Financial assets:	Level 1	Level 2	Level 3	Total
Bonds and debt instruments	36,271	30,430	0	66,701
Equities and equity instruments	540	0	1,710	2,250
Total financial assets	36,811	30,430	1,710	68,951
Financial liabilities:				
Financial liabilities held for trading	7,332	0	0	7,332
Total financial liabilities	7,332	0	0	7,332

NET INTEREST INCOME

10 Net interest income is specified as follows:

Interest income:	2010	2009
Cash and balances with Central Bank	1,189	3,002
Loans and receivables	57,517	75,197
Financial assets held for trading	860	1,830
Financial assets designated at fair value through profit or loss	2,116	159
Financial assets share subscription	0	5,709
Other assets	94	1,016
Total interest income	61,776	86,913
Interest expense:		
Deposits from credit institutions and Central Bank	(5,084)	(11,045)
Deposits from customers	(16,396)	(34,061)
Borrowings	(3,564)	(7,673)
Subordinated loans	(1,060)	0
Financial liabilities held for trading	(425)	(503)
Other interest expense	(373)	(1,647)
Total interest expense	(26,902)	(54,929)
Net interest income	34,874	31,984
Net interest margin (as the ratio of net interest income to the average carrying amount of total assets).	5.0%	4.6%

NET VALUATION CHANGES ON LOANS AND RECEIVABLES

11 Net valuation changes on loans and receivables:

Impairment charged to comprehensive income:	2010	2009
Specific impairment losses on financial assets	(27,798)	(17,618)
Reversal of impairment (impairment) of foreign exchange gain	8,297	(8,231)
Net specific impairment losses on financial assets	(19,501)	(25,849)
Provision for latent impairment losses	(514)	(477)
Total impairment charged to comprehensive income (see note 35)	(20,015)	(26,326)
Net valuation changes:		
Income due to revised estimated future cash flow from loans	42,305	18,419
Net specific impairment losses on financial assets	(19,501)	(25,849)
Foreign exchange (loss) gain (see note 16)	(8,297)	8,231
Net valuation changes on loans and receivables	14,507	801

Reversal of impairment (impairment) of foreign exchange gain from customers with foreign exchange loans and cash flow in ISK is offset against total foreign exchange gain (loss) as per note 16. Impairment of foreign exchange gain is further discussed under note 2.5 d.

NET FEE AND COMMISSION INCOME

12 Net fee and commission income is specified as follows:

	2010	2009
Fee and commission income:		
Asset management	1,265	1,302
Securities brokerage	426	363
Payment processing	3,734	3,327
Loans and guarantees	3,616	2,767
Foreign currency brokerage commission	1,192	1,519
Advisory	555	228
Other fees and commissions income	518	624
Total fees and commission income	11,306	10,130
Commission expenses:		
Interbank charges	(931)	(988)
Brokerage	(16)	(89)
Clearing and settlement	(2,799)	(1,840)
Other commission expenses	(180)	(152)
Total commission expenses	(3,926)	(3,069)
Net fee and commission income	7,380	7,061

NET FINANCIAL (EXPENSES) INCOME

13 Net financial (expenses) income is specified as follows:

	2010	2009
Net (loss) gain on financial instruments held for trading	(12)	142
Net (loss) gain on financial instruments designated at fair value through profit or loss	(898)	143
Net financial (expenses) income	(910)	285

NET (LOSS) GAIN ON FINANCIAL INSTRUMENTS HELD FOR TRADING

14 Net (loss) gain on financial instruments held for trading are specified as follows:

	2010	2009
Shares and related derivatives	91	177
Bonds and related derivatives	(95)	0
Other derivatives	(8)	(35)
Net (loss) gain on financial instruments held for trading	(12)	142

NET (LOSS) GAIN ON FINANCIAL INSTRUMENTS DESIGNATED AT FAIR VALUE THROUGH PROFIT OR LOSS

15 Net (loss) gain on financial instruments designated at fair value through profit or loss are specified as follows:

	2010	2009
Shares	(898)	131
Bonds	0	12
Net (loss) gain on financial instruments designated at fair value through profit or loss	(898)	143

NET FOREIGN EXCHANGE (LOSS) GAIN

16 Net foreign exchange (loss) gain is specified as follows:

	2010	2009
Assets:		
Cash and balances with Central Bank	(115)	44
Financial assets held for trading	(2,360)	1,946
Loans to credit institutions	(4,535)	2,580
Loans to customers	(14,569)	16,289
Other assets	(107)	(52)
Total	(21,686)	20,807
Liabilities:		
Deposits from credit institutions	691	309
Deposits from customers	8,114	(6,312)
Subordinated loan	3,602	0
Debt issued and other borrowed funds	0	(3,479)
Other liabilities	19	(473)
Total	12,426	(9,955)
Unadjusted net foreign exchange (loss) gain	(9,260)	10,852
Foreign exchange reversal on loans to customers with ISK cash flow*	8,297	(8,231)
Net foreign exchange (loss) gain	(963)	2,621

*Further discussed under note 2.5 d

OTHER NET OPERATING INCOME

17 Other net operating income is specified as follows:

	2010	2009
Rental income	122	141
Realised gain on property and equipment	425	1,698
Agency fees and service level agreement fees	393	568
Other net operating income	246	353
Other net operating income	1,186	2,760

ADMINISTRATIVE EXPENSES

18 Administrative expenses are specified as follows:

	2010	2009
Salaries and related expenses	9,207	8,036
Other administrative expenses*	8,643	7,569
Depreciation	585	488
Amortisation	38	20
Administrative expenses	18,473	16,113

* Included in other administrative expenses is ISK 607m (2009: ISK 672m) or 0.15% of the average guaranteed deposit balance in 2010 see note 57.

STAFF AND RELATED EXPENSES

19 Salaries and related expenses are specified as follows:

	2010	2009
Salaries	7,429	6,597
Pension and similar expenses	1,000	890
Social security charges	670	428
Other	108	121
Salaries and related expenses	9,207	8,036

20 The Bank's total number of employees is as follows:

	At 31 December 2010		At 31 December 2009	
	Parent company	Group	Parent company	Group
Average number of employees	933	1,080	899	1,039
Positions at the end of the year	943	1,093	842	981

EMPLOYMENT TERMS FOR THE BOARD OF DIRECTORS, THE CEO AND MANAGEMENT BOARD

21 Employment terms for the Board of Directors, the CEO and management board are specified as follows:

	2010	Salaries and fringe benefits
Birna Einarsdóttir, CEO		31.6
Fríðrik Sophusson, Chairman of the Board		6.3
Vilhjalmur H. Vilhjalmsson, former Chairman of the Board		0.3
Martha Eiríksdóttir, former member of the Board		3.2
Kolbrún Jónsdóttir, member of the Board		1.2
Neil Graeme Brown, member of the Board		4.2
John E. Mack, member of the Board		4.2
Raymond J. Quinlan, member of the Board		3.9
Árni Tómasson, member of the Board		4.3
Marianne Okland, member of the Board		4.2
Alternate board members		1.1
7 Managing Directors		147.1
Total		211.6
	2009	Salaries and fringe benefits
Birna Einarsdóttir, CEO		24.1
Vilhjalmur H. Vilhjalmsson, Chairman of the Board		3.1
Other Board Members		8.2
6 Managing Directors		114.0
Total		149.4

AUDITORS' FEES

22 Auditors' fees are specified as follows:

	2010	2009
Audit of the annual accounts	146	107
Review of interim accounts	28	11
Other services	10	9
Auditors' fees	184	127

Thereof remuneration to others than the auditors of the parent company 27 28

The Bank accrued 50m in audit fees relating to the audit of the annual accounts 2010. Audit fees also include fees relating to the audit of the annual accounts 2009.

NET LOSS ON NON-CURRENT ASSETS AND DISPOSAL GROUPS HELD FOR SALE

23 Net loss on non-current assets and disposal groups held for sale are specified as follows:

	2010	2009
Net loss from sale of foreclosed mortgages	(307)	(263)
Net profit from sale of associates	24	0
Net loss on non-current assets and disposal groups held for sale	(283)	(263)

EFFECTIVE INCOME TAX RATE

24 The corporate income tax rate in Iceland for 2010 was 18.0%. The tax rate will increase to 20.0% with effective date from 1 January 2011. The effect of the increase in tax rate between the periods results in an increased tax charge relating to tax liabilities of ISK 2m and tax assets of ISK 28m which is recognised in the statement of comprehensive income in the current period. The effective income tax rate in the Bank's Income Statement for 2010 is 19,6%. The difference is specified as follows:

	2010		2009	
Profit before tax	36,804		28,660	
18% income tax calculated on the profit of the year	6,625	18.0%	4,299	15.0%
Effect of tax rates in foreign jurisdictions	1	0.0%	0	0.0%
Tax recognised outside profit and loss	23	0.1%	406	1.4%
Correction in accordance with ruling on prior years' taxable income	344	0.9%	(10)	0.0%
Effect of increase in the income tax rate	(18)	0.0%	0	0.0%
Income not subject to tax	(3)	0.0%	0	0.0%
Non-deductable expenses	260	0.7%	0	0.0%
Other differences	(18)	0.0%	(17)	(0.1%)
Income tax according to the statement of comprehensive income	7,214	19.6%	4,678	16.3%

EARNINGS PER SHARE

25 Earnings per share are specified as follows:

	2010	2009
Net profit of the equity holders of the parent, according to the financial statements	29,418	23,901
Average outstanding shares:		
Weighted average number of outstanding shares for the period, million	10,000	10,000
Basic Earnings per share, ISK	2.94	2.39
Average outstanding shares for the calculation of diluted earnings per share	10,000	10,000
Number of total shares at the end of the period, million, diluted	10,000	10,000
Diluted Earnings per share, ISK	2.94	2.39

CASH AND BALANCES WITH CENTRAL BANK

26 Specification of cash and balances with Central Bank:

	31.12.2010	31.12.2009
Cash on hand	1,833	1,842
Balances with Central Bank other than mandatory reserve deposits	16,352	10,708
Certificates of deposit	6,865	19,605
Included in cash and cash equivalents	25,050	32,155
Mandatory reserve deposits with Central Bank	5,749	6,588
Cash and balances with Central Bank	30,799	38,743

Mandatory reserve deposits are not available for use in the Bank's day-to-day operations.

Certificates of deposit (CDs) are short term instruments issued by the Central Bank at predetermined interest rates. CDs are issued solely to banks and other financial institutions and are not transferable except to other comparable institutions.

PLEDGED ASSETS

	31.12.2010	31.12.2009
27 Financial assets that have been pledged as collateral for liabilities	58,469	67,744

Certain pools of loans to customers have been pledged as collateral for an asset backed bond and a currency swap.

DERIVATIVES FINANCIAL INSTRUMENTS

28 Derivatives held for trading:

	Assets	Notional values related to assets 31.12.2010	Liabilities	Notional values related to liabilities 31.12.2010
Cross currency interest rate swaps	0	0	312	48,217
Equity options	58	500	0	0
Foreign exchange forward	12	3,453	44	8,859
Foreign exchange swaps	0	231	0	1,537
Bond options	0	0	73	25,000
Derivatives held for trading	70	4,184	429	83,613

There were no derivatives on the Bank's balance sheet at year end 2009.

BONDS AND DEBT INSTRUMENTS

29 Specification of bonds and debt instruments:

	31.12.2010	31.12.2009
Listed	36,201	36,271
Unlisted	31,823	30,430
Bonds and debt instruments	68,024	66,701

Unlisted bonds and debt instruments consist of a Government bond

SHARES AND EQUITY INSTRUMENTS

30 Specification of shares and equity instruments:

	31.12.2010	31.12.2009
Listed	462	540
Unlisted	2,560	1,710
Shares and equity instruments	3,022	2,250

LOANS

31 Loans to credit institutions:

	31.12.2010	31.12.2009
Money market loans	17,788	16,198
Bank accounts	12,102	21,162
Repo loans	980	0
Other loans	0	50,056
Loans to credit institutions	30,870	87,416

A government secured customer loan included in 'Other loans' in 2009, was reclassified to loans to customers during the year following a change in the entity's operations.

32 Loans to credit institutions at amortised cost:

	31.12.2010			31.12.2009		
	Gross amount	Impairment allowance	Carrying amount	Gross amount	Impairment allowance	Carrying amount
Loans to credit institutions:						
Loans	31,456	(586)	30,870	40,130	(593)	39,537
Government secured customer loan	0	0	0	47,879	0	47,879
Total	31,456	(586)	30,870	88,009	(593)	87,416

33 Loans to customers:

	31.12.2010	31.12.2009
Loans and advances to customers at amortised cost	515,161	489,611
Loans to customers	515,161	489,611

The Bank provided lease agreements for the amount of 21.3bn for car purchases during the year which the bank considers, although in the legal form of a lease, in substance to be loan agreements.

34 Loans to customers at amortised cost:

	31.12.2010			31.12.2009		
	Gross amount	Impairment allowance	Carrying amount	Gross amount	Impairment allowance	Carrying amount
Loans to individuals	181,196	(8,483)	172,713	188,198	(13,237)	174,961
Loans to corporate entities	335,044	(52,526)	282,518	364,645	(57,715)	306,930
Real estate	92,297	(17,773)	74,524	90,542	(12,912)	77,630
Seafood	69,652	(1,718)	67,934	83,513	(11,392)	72,121
Investment companies	55,540	(13,416)	42,124	62,812	(9,401)	53,411
Commerce	37,862	(7,913)	29,949	38,870	(9,759)	29,111
Services	24,183	(3,232)	20,951	23,684	(4,272)	19,412
Industry	18,108	(2,008)	16,100	24,330	(2,813)	21,517
Construction	20,851	(3,763)	17,088	26,034	(6,001)	20,033
Other	16,551	(2,703)	13,848	14,860	(1,165)	13,695
Central government and state-owned enterprises	3,228	(389)	2,839	4,472	(490)	3,982
Loans to municipalities	5,226	(317)	4,909	4,094	(356)	3,738
Government secured customer loan	52,182	0	52,182	0	0	0
Total	576,876	(61,715)	515,161	561,409	(71,798)	489,611

35 Financial assets – impairments:

The following table shows the movement in the provision for impairment losses for loans and receivables.

	Individually assessed	Collectively assessed	Latent	Total 31.12.2010	Total 31.12.2009
At 1 January	49,519	22,395	477	72,391	47,002
Amounts written-off	(25,468)	(372)	0	(25,840)	(1,483)
Recoveries of amounts previously written-off	402	0	0	402	41
Principal credit adjustment	(1,198)	(3,469)	0	(4,667)	505
Charged to the comprehensive Income	22,368	(2,867)	514	20,015	26,326
At 31 December*	45,623	15,687	991	62,301	72,391

* The provision for impairment losses at 31 December 2010 includes ISK 586m relating to loans to credit institutions (2009: ISK 593m).

Impairment losses charged to the comprehensive income:

	31.12.2010	31.12.2009
Loans to customers	18,615	26,272
Loans to credit institutions	1,400	54
Impairment losses charged to the comprehensive Income	20,015	26,326

INVESTMENTS IN ASSOCIATES

36 Changes in investments in associates:

	31.12.2010	31.12.2009
Investments in associates at the beginning of the year	827	651
Purchases of shares in associates	54	74
Sale of shares in associates	(8)	(83)
Transfers	0	185
Revaluation	(519)	0
Investments in associates	354	827

37 The Bank's interests in its principal associates, which are unlisted, are as follows:

	Ownership at year-end	
Eignarhaldsfélagid Fasteign hf.	38.0%	
Capa Invest ehf.	36.9%	
GLB Glacier Renewable Fund	48.3%	
Reiknistofa bankanna	23.5%	
Audkenni hf.	20.0%	
7 other associates		
Summarised financial information in respect of the Bank's associates is set out below:	31.12.2010	31.12.2009
Total assets	77,900	82,982
Total liabilities	(64,327)	(63,539)
Net assets	13,573	19,443
Bank's share of net assets of associates	354	827
	2010	2009
Total revenue	1,815	9,178
Total loss in associates for the year	(2,428)	(4,518)

The Bank's share of losses in some associates exceeds the carrying amount of those associates and the Bank has discontinued to recognise its share of losses. The Bank is not under any obligation on behalf of its associates at year end and carrying amounts of those associates are reduced to nil at year end.

INVESTMENT IN SUBSIDIARIES

38 The parent's interest in its subsidiaries is as follows:

	Location	Ownership
Kreditkort hf.	Iceland	55%
Borgun hf.	Iceland	55%
Íslandssjódir hf.	Iceland	100%
Midengi ehf.	Iceland	100%
Glitnir Asset Management AS	Luxembourg	100%
Glacier Geothermal and Seafood Corporation	USA	100%
14 other wholly owned subsidiaries (SME)	Iceland	100%

On 30 December 2010 the Bank agreed to purchase additional 45% of the shareholding in Kreditkort hf. which would effectively bring the Bank's shareholding in Kreditkort to 100%. As a consideration, the Bank agreed to sell 5.703% of its shares in Borgun hf. which would effectively bring its total shareholding in Borgun hf. to 49.297%. At the reporting date, restrictive conditions in the agreement had not been met and therefore the terms of this agreement will not affect the Bank's consolidated financial statements.

At 31 December 2010 Kreditkort's capital ratio had fallen below the 8% required by law and was operating under an exemption from the FME. Kreditkort's status does not have a material effect on the consolidation.

RELATED PARTY DISCLOSURES

39 Parent and ultimate controlling party

The Bank has determined that ISB Holding is the ultimate controlling party of the Bank with GLB Holding having significant influence. This is reflected in related party transactions.

Entities which are controlled, jointly controlled or significantly influenced by the government (state-controlled entities) are not considered as being a related party if neither entity actually influenced the other and if the state did not actually influence either entity with regards to transactions between them. Transactions with state-controlled entities during the year were based on general business terms of the Bank.

Related party transactions

The Bank has a related party relationship with its subsidiaries, the Board of Directors of the parent company, the executive vice presidents of the Bank, close family members of individuals referred to herein and entities with significant influence as the largest shareholders of the Bank.

All loans to employees are provided on general business terms of the Bank. Included in assets are loans to key management.

Related parties have transacted with the Bank during the period as follows:

	31.12.2010			31.12.2009		
	Assets	Liabilities	Total	Assets	Liabilities	Total
CEO and Managing Directors (including comp. owned by them)	142	(201)	(59)	292	(298)	(6)
Members of the Board (including comp. owned by them)	522	(1,690)	(1,168)	32	(1,522)	(1,490)
Associated companies and other related parties	26,199	(4,701)	21,498	35,089	(4,526)	30,563
Total	26,863	(6,592)	20,271	35,413	(6,346)	29,067

	31.12.2010	31.12.2009
Guarantees	55	135
Loan commitments and overdraft	187	222

Impairment allowances of ISK 31.5m were recognised in the year against balances outstanding with related parties.

No share option programmes were operated during 2010. For related party remuneration see note 21.

INVESTMENT PROPERTY

40 Investment property is specified as follows:

	31.12.2010	31.12.2009
Investment property at 1 January	2,056	1,679
Additions during the year	0	377
Sales of investment property	(377)	0
Transferred	(1,679)	0
Investment property	0	2,056

PROPERTY AND EQUIPMENT

41 Property and equipment are specified as follows:

	Real estate	Fixtures, equipment & vehicles	Total
At 31 December 2010			
Historical cost			
Balance at the beginning of the year	132	2,673	2,805
Additions during the year	74	1,001	1,075
Transferred from Investment property	1,572	0	1,572
Additions from acquired companies	1,650	0	1,650
Disposals during the year (write-offs)	(51)	(46)	(97)
Balance at 31.12.2010	3,377	3,628	7,006
Accumulated depreciation			
Balance at the beginning of the year	(7)	(1,027)	(1,034)
Depreciation during the year	(1)	(584)	(585)
Disposals during the year	0	32	32
Balance at 31.12.2010	(8)	(1,579)	(1,587)
Net book value at 31.12.2010	3,369	2,049	5,419
Depreciation rates	2%	8–33%	
Official real estate value of buildings and leased land			2,080
Insurance value of buildings as at 31.12.2010			3,299
Insurance value of fixtures, equipment and vehicles as at 31.12.2010			1,813
At 31 December 2009			
Historical cost			
Balance at the beginning of the year	180	2,051	2,231
Additions during the year	50	656	706
Disposals during the year (write-offs)	(98)	(34)	(132)
Balance at 31.12.2009	132	2,673	2,805
Accumulated depreciation			
Balance at the beginning of the year	(6)	(549)	(555)
Depreciation during the year	(3)	(485)	(488)
Disposals during the year	2	7	9
Balance at 31.12.2009	(7)	(1,027)	(1,034)
Net book value at 31.12.2009	125	1,646	1,771
Depreciation rates	2%	8–33%	
Official real estate value of buildings and leased land			265
Insurance value of buildings as at 31.12.2009			312
Insurance value of fixtures, equipment and vehicles as at 31.12.2009			1,827

INTANGIBLE ASSETS

42 Intangible assets are specified as follows:

	31.12.2010 Software	31.12.2009 Software
Historical cost		
Balance at the beginning of the year	127	0
Additions	118	127
Balance at 31.12.2010	245	127
Accumulated amortisation		
Balance at the beginning of the year	(20)	0
Amortisation during the year	(38)	(20)
Balance at 31.12.2010	(58)	(20)
Net book value at 31.12.2010	187	107
Amortisation rates	25%	25%

NON-CURRENT ASSETS AND DISPOSAL GROUPS HELD FOR SALE

43 Specification of non-current assets and disposal groups held for sale:

	31.12.2010	31.12.2009
Reposessed collateral	7,435	2,440
Assets of disposal groups classified as held for sale	16,054	16,574
Total	23,489	19,014
Reposessed collateral:		
Residential property	4,880	1,218
Industrial property	75	778
Equipment	160	99
Shares	2,067	0
Inventory	0	345
Other assets	253	0
Total	7,435	2,440

The Bank classified the assets and liabilities of its subsidiaries Eik Fasteignafélag hf., Steypustödin ehf. and Air Atlanta Properties Ltd. as assets and liabilities of disposal groups held for sale.

Assets of disposal groups classified as held for sale:	31.12.2010	31.12.2009
Cash	5	252
Investment properties	15,086	14,781
Equipment	609	733
Receivables	98	334
Inventory	157	10
Other assets	99	464
Total	16,054	16,574

Liabilities associated with assets classified as held for sale:

Payables	59	1,480
Borrowings and other liabilities	16,383	15,425
Total	16,442	16,905

OTHER ASSETS

44 Other assets are specified as follows:

	31.12.2010	31.12.2009
Other receivables	2,219	4,042
Accruals	620	424
Prepaid expenses	303	179
Inventory (real estate)	1,889	3,761
Other assets	513	355
Other assets	5,544	8,761

The inventory comprises real estate valued at the lower of cost and net realisable value.

FINANCIAL LIABILITIES

45 Financial liabilities balances:

	31.12.2010	31.12.2009
Short positions in listed bonds	9,090	7,332
Financial liabilities	9,090	7,332

Short positions are in listed government bonds. As a primary dealer the bank has access to securities lending facilities provided by the Central Bank and the Housing Financing Fund. Majority of the short positions have a maturity of less than a year and can be settled with cash on maturity of the bonds.

DEPOSITS FROM CENTRAL BANK AND CREDIT INSTITUTIONS

46 Deposits from Central Bank and credit institutions are specified as follows:

	31.12.2010	31.12.2009
Repurchase agreements with Central Bank	26	28
Deposits from credit institutions	96,212	139,064
Deposits from Central Bank and credit institutions	96,238	139,092

DEPOSITS FROM CUSTOMERS

47 Deposits from customers are specified by type as follows:

	31.12.2010	31.12.2009
Demand deposits	214,597	205,653
Time deposits	112,561	134,006
Deposits from customers	327,158	339,659

48 Deposits from customers are specified by owners as follows:

	31.12.2010		31.12.2009	
	Amount	% of total	Amount	% of total
Central government and state-owned enterprises	4,065	1%	4,735	1%
Municipalities	4,927	2%	3,423	1%
Other companies	185,886	57%	180,944	53%
Individuals	132,280	40%	150,557	45%
Deposits from customers	327,158	100%	339,659	100%

DEBT ISSUED AND OTHER BORROWED FUNDS

49 Specification of debt issued and other borrowed funds:

	31.12.2010	31.12.2009
Issued bonds	52,717	56,827
Loans from credit institutions	353	1,446
Other debt securities	2,355	10,917
Debt issued and other borrowed funds	55,425	69,190

SUBORDINATED LOANS

50 Specification of subordinated loans:

	Currency	Interest	Maturity date	Book value 31.12.2010
Loans which qualify as Tier 2 capital:				
Subordinated loans – unlisted	EUR	5.0%	31.12.2019	21,241
Total Tier 2				21,241
Total subordinated loans				21,241

	Currency	Interest	Maturity date	Book value 31.12.2009
Loans which qualify as Tier 2 capital:				
Subordinated loans – unlisted	EUR	4.7%	31.12.2019	24,843
Total Tier 2				24,843
Total subordinated loans				24,843

Subordinated loans consists of a Tier 2 government bond of EUR 138m.

TAX ASSETS AND TAX LIABILITIES

51 Tax in the balance sheet:

	31.12.2010		31.12.2009	
	Assets	Liabilities	Assets	Liabilities
Current tax	0	9,024	0	4,807
Deferred tax	283	18	84	354
Tax in the balance sheet	283	9,042	84	5,161

52 Changes in the deferred tax assets and the tax liabilities during the year are as follows:

	Assets	Liabilities
Deferred tax assets and tax liabilities 1.1.2009	5	172
Calculated income tax for 2009	79	4,644
Income tax payable in 2010	0	(4,539)
Effect of the increase in tax rate	0	44
Income tax payable in 2010 correction due to 2008	0	33
Deferred tax assets and tax liabilities 1.1.2010	84	354
Transferred deferred tax liabilities to deferred tax assets 1.1.2010	(277)	(277)
Transferred from the Group	0	(4)
Calculated income tax for 2010	(6,781)	47
Income tax payable in 2011	8,618	(92)
Effect of the increase in tax rate	13	2
Deferred foreign exchange difference, correction due to 2009	(1,374)	(12)
Deferred tax assets and tax liabilities at the end of 2010	283	18

53 The Bank's deferred tax assets and tax liabilities are attributable to the following balance sheet items:

	31.12.2010		31.12.2009	
	Assets	Liabilities	Assets	Liabilities
Shares in other companies	4	0	0	0
Property and equipment	(135)	22	0	69
Assets and liabilities denominated in foreign currencies	(176)	0	0	155
Effect of the increase in tax rate	0	0	0	45
Other intangible assets	(11)	0	0	3
Deferred foreign exchange difference	443	1	0	0
Tax loss of subsidiary carried forward	72	(1)	0	0
Other items	85	(4)	84	82
Deferred tax assets and tax liabilities at the end of 2010	283	18	84	354

OTHER LIABILITIES

54 Specification of other liabilities:

	31.12.2010	31.12.2009
Accruals	1,951	2,063
Liabilities to retailers for credit card provision	12,921	12,189
Guarantees	1,664	2,879
Chargeable gain tax	1,357	1,641
Unsettled securities transactions	1,386	64
Deferred income	345	135
Sundry liabilities	7,070	4,086
Other liabilities	26,694	23,057

EQUITY

55 Share capital

Authorised share capital of the Bank is 10,000m ordinary shares of ISK 1 each. At 31.12.2010 paid up share capital totalled ISK 65,000m which is the total stated share capital of the Bank.

	31.12.2010	31.12.2009
Issued share capital:		
Ordinary fully paid shares of ISK 1 krona each	10,000	10,000
Share capital	10,000	10,000

The Bank has one class of ordinary shares which carry no right to fixed income.

Share premium account

Premium arising on issue of equity shares	55,000	55,000
Share premium account	55,000	55,000

Total share capital

Ordinary share capital	10,000	10,000
Share premium account	55,000	55,000
Total share capital	65,000	65,000

56 Other reserves are specified as follows:

	Other reserves
Other reserves as at 1.1.2009	240
Translation differences	2
Contribution to statutory reserve	1,817
Other reserves as at 31.12.2009	2,059
Translation differences	(8)
Contribution to statutory reserve	447
Other reserves as at 31.12.2010	2,498

OFF BALANCE SHEET ITEMS

57 Obligations:

	31.12.2010	31.12.2009
Guarantees granted to customers	8,404	8,058
Committed undrawn lines of credit	13,453	5,028
Unused overdrafts	17,186	15,779
The Depositors and Investors Guarantee Fund – declaration of guarantee	3,689	3,697

The Depositors and Investors Guarantee Fund

The aim of the Depositors and Investors Guarantee Fund (the Fund) is to partly cover claims from deposit customers in case commercial and savings banks become insolvent.

According to the current rules, total assets of the Fund shall amount to 1% of the average balance of guaranteed deposits held by commercial and savings banks in the preceding year. If the Fund is smaller than the 1%, commercial and savings banks are charged an annual premium of 0.15% of their average guaranteed deposit balance for the preceding year. Total assets of the Securities Department shall amount to a minimum of ISK 100m.

If the total assets of the Fund are below the required 1% of total average guaranteed deposits held, the banks are required to sign a declaration of guarantee for their share of the balance. At 31 December 2010 the Bank's declaration of guarantee amounted to ISK 3,689m.

The maximum payment the Fund is allowed to charge the commercial and savings banks at any one time is 10% of the minimum size of the Fund and the amount is limited by the amount as stated in each declaration. However, this option only becomes exercisable in the event of a bankruptcy of any of the banks that results in the Fund being emptied. For 2010 the maximum annual charge exercisable for each commercial and savings bank amounted to ISK 1.6bn.

In 2010 the Bank recognised ISK 607m, being 0.15% of the average guaranteed deposit balance, in the current accounting period. The guarantee amount is disclosed as an off balance sheet item since it is not based on past events but is intended as a guarantee to cover possible future events.

Claims made on the Fund due to a settlement in relation to the Icesave agreement would completely empty the Fund. Therefore, the rules of the Fund have been under review and a bill has been presented to the Parliament where it is proposed that a separate Securities Department is set up and the premium increased. At the same time, it is likely that e.g. wholesale deposits, deposits from entities which are under majority ownership by the commercial and savings banks and most deposits from pension funds would be excluded from the Fund and thus not covered in case of a bankruptcy.

OPERATING LEASE COMMITMENTS

58 Future non-cancellable minimum operating lease payments, where the Bank is the lessee, are due as follows:

	31.12.2010	31.12.2009
Up to 1 year	422	517
1–5 years	2,110	1,537
Later than 5 years	4,405	5,909
Operating lease commitments	6,937	7,963

BALANCE OF CUSTODY ASSETS

59 Balance of custody assets:

	31.12.2010	31.12.2009
Custody assets	642,502	682,166

Custody assets are under custody, but not managed by the Bank.

CONTINGENCIES

60 Contingent liabilities

Litigation threats

Several former customers of Glitnir private banking services have threatened litigation against the Bank in order to claim compensation for alleged mistakes made by Glitnir's employees. A few of those customers have already filed lawsuits against the Bank with the Reykjavik District Court. The Bank has not accepted any liability and will challenge these lawsuits on the grounds that these claims relate to events that happened prior to the incorporation of the Bank and the assignment of certain liabilities and assets on 15 October 2008 and therefore are not the responsibility of the Bank in any way. The District Court of Reykjavik has now ruled in favour of the Bank in one of these cases stating that the Bank cannot be held responsible for Glitnir employees' mistakes. This ruling may be appealed. The Bank estimates the total amount of compensation liabilities currently claimed by customers of Glitnir to be ISK 5.5bn.

Netting agreement

When certain assets and obligations were transferred from Glitnir to the Bank, the FME ruled that customers would, upon liquidation of Glitnir, maintain their right to claim netting of assets and liabilities held by Glitnir prior to the sale of the assets on 15 October 2008. As a result, the Bank anticipates that it may have to write off those assets netted against liabilities in Glitnir.

The Bank has made an agreement with Glitnir that the latter will compensate the Bank for losses that may result from the netting of assets and liabilities. The claims in question are priority claims on the liquidated assets of Glitnir and the netting exercise is therefore unlikely to affect either the net asset value or the earnings of the Bank.

Allocation of liens, guarantees and comparable rights

When certain assets and obligations were transferred from Glitnir to the Bank, the FME ruled that the Bank would take over all rights used to secure the performance of obligations of the debtors of Glitnir, including all liens, guarantees and other comparable rights connected to the claims of the Bank.

The Bank should, however, be accountable to Glitnir for specific collaterals of its customers, as applicable, due to claims and derivatives which were not transferred to the Bank. The Bank has, in accordance with this decision, transferred to Glitnir certain collateralised obligations of customers. One customer filed a lawsuit against the Bank with the Reykjavik District Court challenging the Bank's decision to transfer the customer's money market deposit to Glitnir, which the Bank, in good faith, identified as collateral for a foreign exchange future contract. The claim was for approximately ISK 450 million. The District Court ruled in favour of the Bank, although that ruling may still be subject to an appeal. Any future allocation of collaterals will be made under an agreement with Glitnir, whereby Glitnir indemnifies the Bank against any future claims arising from the transfer of such rights.

Indexed loans and foreign currency loans

The Bank has received several letters from attorneys representing the Bank's customers, relating to possible or threatened lawsuits against the Bank due to loans which are in foreign currency or CPI linked (CPI – Consumer Price Index). Firstly, claims may be made on the grounds that the liability of certain customers has become void in part or whole due to foreign currency loans provided by the Bank to its customers being deemed to be in breach of articles 13 and 14 of the Interest Law 38/2001 and therefore deemed unlawful. Secondly, in the case of the CPI indexed loans, it is claimed that the rise in inflation has, due to recent events in the Icelandic economy, been far beyond the legitimate expectations of the borrowers and should therefore be declared null and void by the Courts. Moreover, it is claimed that the loan obligations and their implementation is grossly unfair. In this context, the customers cite article 36 of the Contract Law 07/1936 which gives the Courts the authority to change, or declare void, unreasonable or unfair provisions in private contracts.

The Bank has challenged the claims made and maintains that the debt obligations are legal and valid. The Interest Law 38/2001 does not address obligations in foreign currency and as such it does not state any given benchmarks, such as exchange rates of foreign currencies. There is no dispute over the validity of foreign currency loans as such, only the means of which the proceeds of the loans are disbursed and the instalments collected. The overriding principle in Icelandic Law is that contracts shall be upheld according to their terms.

Two contradicting judgements were passed in relation to the above in two districts. Both concerned leasing contracts used by companies operating solely in that sector. Both parties appealed and the Supreme Court ruled that the contracts in question should be considered as ISK loans and the principal could therefore not be linked to foreign currencies. However, the Court did not rule on which interest rate should be applied to the contracts. The Supreme Court has now ruled that for loans whose principal is deemed to have an illegal link to foreign currencies, the lowest offered interest rate for non-indexed loans published by the Central Bank shall be applied instead of the contractual interest rate. While the Bank's leasing contracts clearly fall into the same category, the effect on other types of foreign currency loan contracts remains uncertain. It is however clear, that loan obligations containing illegal foreign currency provisions will not be declared null and void. The amount owed may however be changed by the Courts. In the end, the wording of the individual contract forms could be the deciding factor. The contract forms used to document foreign currency linked and foreign currency denominated loans by the Bank are numerous and, depending on the method of categorising, 20–30 forms have been used besides leasing contracts. The contract forms have been assessed as to their validity as true foreign currency loan contracts. Based in part on this assessment, the Bank has made some assumptions as to the possible financial effect of the lawsuits, adjusting for the fact that the Bank has already offered its customers principal adjustment of their foreign currency loans and taking into account that a ruling on a certain type of interest has been passed. Several court rulings are expected on whether or not certain types of loans are truly foreign currency denominated loans or are deemed to be illegally linked to foreign currency.

The Supreme Court ruling on which interest rates to use for loan contracts that are deemed to be illegally linked to foreign currency has reduced the uncertainty for the Bank with respect to the financial impact of future rulings. It is assumed that the ruling, referring to the lowest Central Bank rate, gives precedence for the outcome of other court cases.

Based on the Supreme Court ruling for car loans, the Bank has offered all customers of Asset Based Financing to settle their loan contracts based on the lowest Central Bank rates. The financial impact of this is already reflected in the accounts.

The District Court of South Iceland ruled on 29 October 2010 that a loan in foreign currency granted by the Bank should indeed be treated as a foreign currency denominated contract. The contract in question was not considered to be in breach of articles 13 and 14 of the Interest Law 38/2001 and was therefore deemed lawful. Furthermore, the loan obligations and their implementation is not unfair according to article 36 of the Contract Law 07/1936 which gives the Courts the authority to change or declare void unreasonable or unfair provisions in private contracts. The case has been appealed to the Supreme Court.

In order to address the uncertainty surrounding which foreign currency loans should be deemed to be illegally linked to foreign currency, the Parliament introduced a new legislation proposing a change to the Interest Law. The legislation was passed as Amendment to Interest Law 151/2010, taking effect on the 28 December 2010. Based on the context of this new legislation, the Bank will treat all foreign currency dominated car loans according to the ruling of the Supreme Court. All customers with foreign currency mortgages are to be presented with an offer of having their mortgage recalculated according to a similar formula, regardless of the validity of the contracts in question. The definition of a mortgage in the new Law is tied to the Tax Law. The recalculation has to be offered if the debtor was eligible for a refund in part of paid interest (interest subsidy) of the loan. The Bank has decided to expand this definition to cover all residential loans to individuals. Debtors are not obliged to accept the offer.

At year end 2010, the book value of the Bank's foreign currency denominated loans reflected the Bank's estimate of the risk inherent in these loans. Provision has been made for repayments to customers that have already paid up their loans. The Bank does not expect to incur losses in excess of what has already been recognised through the impairment process and is fully reflected in the financial statements.

Dispute over the Bank's claim on Straumur's assets

Following the takeover of Straumur-Burdarás Investment Bank hf. (Straumur) by the FME on 4 April 2009, the Bank assumed deposit obligations from Straumur for the value of ISK 45bn. The Bank also provided Straumur with funds to meet obligations towards depositors in its Danish branch. As a payment, Straumur issued a bond guaranteed with a lien over nearly all of Straumur's assets. Deposits created in relation to settlement of prior debts were excluded.

The government committed to fund the Bank's liquidity needs in relation to the said obligations by lending government bonds to the Bank. If the Straumur bond is not fully paid by the end of the term of the bond, the Bank may hold the remaining government bonds without further obligation.

The Straumur Resolution Committee accepted and acknowledged the claim and the lien. However, some creditors of Straumur disputed the Bank's claim on the Straumur estate and the Resolution Committee filed the dispute with the Reykjavík District Court.

The creditors claimed that the Emergency Act passed on 6 October 2008, where deposits were moved up to priority ranking on bankruptcy, was unconstitutional and therefore illegal. The creditors claimed that the bond and lien should never have been issued and was therefore void and should not enjoy priority ranking.

Disputes over the Bank's claim on Straumur have now been settled and creditors have withdrawn their claim on the Bank. The settlement involved the Bank allowing a payment of EUR 20m to be made to creditors before Straumur's obligations to the Bank were paid off and allowed for the creditors to be granted security rights over certain assets after the Bank. In return, creditors withdrew their claims and the Bank was granted parallel security rights with creditors, in a group of assets previously free of pledge.

Íslandssjódir

Ten parties have brought a suit in the Reykjavík District Court against Íslandssjódir hf., a fund management company which is a wholly owned subsidiary of the Bank. The plaintiffs, all of which were holders of shares in the fund "Sjóður 9" (money market fund) when the Icelandic financial system collapsed in October 2008, principally claim that Íslandssjódir is liable for their loss from 29 September 2008 until the winding up of the fund on 30 October 2008 since it allegedly incurred as a result of the operations of the fund being contrary to Icelandic laws and regulations on investment funds. Íslandssjódir disputes the claim and has instructed an attorney to defend against the claims on its behalf.

Formal investigation by the EFTA Surveillance Authority regarding alleged state aid granted by the Icelandic State to investment funds and associated fund management companies connected to the three failed Icelandic banks Glitnir, Kaupthing and Landsbanki

At the height of the financial crisis in Iceland in early October 2008, investment funds suspended redemption of unit certificates in order to protect the equality of unit certificate holders. The funds were subsequently wound-up and the unit certificate holders paid out the value of their unit shares. This was partly achieved by the banks buying the assets (mainly domestic bonds) held by the funds and adding the proceeds from that sale to assets already held in the form of deposits. The price paid for the assets was decided by the boards of the newly restored banks, based on internal valuations and valuations of external consultants (audit firms).

In this case, it is alleged that management companies of the investment funds and depositories of the three major Icelandic banks received unlawful state aid from the Icelandic authorities in October 2008. It is alleged that the State influenced the decisions of the new banks to purchase assets from the funds (managed by their subsidiaries) on favourable terms and, thus, enabling them to wind-up the funds and repay investors when there was no effective market for the assets.

The Icelandic State and the banks claim that the transactions were neither influenced by the State nor funded by state resources. Even if the banks were public undertakings, the acquisition was decided on independently by each bank and based on commercial motives. The assets acquired were valued in a professional manner, albeit in a period of uncertainty.

Formal investigation by the EFTA Surveillance Authority into state aid granted in the restoration of certain operations of Glitnir and the establishment and capitalisation of Íslandsbanki

The EFTA Surveillance Authority (Authority) decided to open formal investigations into the state aid granted in October 2008 and September 2009 to rescue domestic operations of the three main Icelandic banks: Glitnir, Kaupthing and Landsbanki, and to establish and capitalise new successor banks, now called Íslandsbanki, Arion and NBI (Landsbanki) respectively.

The measures to restore certain operations of the collapsed Icelandic banks and to establish and capitalise the new banks should have been notified prior to their implementation. The Icelandic authorities should also have submitted detailed restructuring plans outlining viable futures for the banks without a need for state support.

The Authority has to assess whether the state aid granted to the banks adequately addresses each bank's situation without unduly distorting competition. In order to do so, it is imperative that detailed restructuring plans are submitted. As part of the investigation, the Authority will assess (among other measures) potential aid to the new banks, e.g. in the form of a special liquidity facility available to Íslandsbanki, and the transfer of assets and deposit liabilities from Straumur to Íslandsbanki.

The Icelandic authorities and the Bank claim that the measures are compatible with the functioning of the EEA Agreement Article 61(3)(b), on the basis that they were necessary in order to remedy a serious disturbance in the Icelandic economy. The Icelandic authorities have stressed that the situation in Iceland in October 2008 was extreme and required immediate action in order to restore financial stability and confidence in the Icelandic economy.

The Bank will submit a detailed restructuring plan to the Authority outlining viable futures for the Bank without a need for state support.

Funding of a tax credit for interest payments on mortgages

The Icelandic government, financial institutions and pension funds have agreed to find ways to address the debt problems of Icelandic home owners. To this end a letter of intent was signed between the parties on 3 December 2010 with the aim of funding a new tax credit for interest payments on mortgages. The credit will amount to ISK 6bn per year over a two year period in 2011 and 2012. To date, the scale of the Bank's contribution has not been determined.

NOTES TO THE CONSOLIDATED STATEMENT OF CASH FLOWS**61 Non-cash items included in net profit and other adjustments:**

	2010	2009
Depreciation and amortisation	623	509
Share of loss of associates	519	0
Impairments of financial assets	20,015	26,326
Income due to revised estimated cash flows from loans	(32,664)	(13,687)
Unrealised foreign currency loss (gain)	9,197	(11,201)
Unrealised fair value (gain) through profit and loss	(381)	0
Net loss on non-current assets classified as held for sale	283	263
Income tax	7,214	4,678
Non-cash items included in net profit and other adjustments	4,806	6,888

62 Changes in operating assets and liabilities:

Mandatory reserve with Central Bank	839	(236)
Loans and receivables to credit institutions	(7,224)	6,847
Loans and receivables to customers	17,779	(1,028)
Trading assets	(2,857)	(5,155)
Other operating assets	3,217	5,301
Non-current assets and liabilities held for sale	(3,154)	(1,503)
Deposits with credit institutions and Central Bank	(42,854)	(27,032)
Deposits from customers	(4,387)	(37,835)
Debt issued and other borrowed funds	(13,074)	64,006
Trading financial liabilities	1,758	2,422
Derivatives	359	0
Other operating liabilities	3,670	785
Changes in operating assets and liabilities	(45,928)	6,572

RISK MANAGEMENT

- 63 The Bank is exposed to various risks through its use of financial instruments. Managing these risks is an integral part of the Bank's operations.

Risk governance

The ultimate responsibility for ensuring an adequate risk management framework lies with the Board of Directors. The Board defines and communicates the acceptable level of risk through the Bank's risk management policies.

The implementation of the risk management framework, limit setting and monitoring is delegated to the Risk Committee, the Asset and Liability Committee (ALCO) and the Executive Board. The members of those boards are appointed by the CEO.

The Risk Committee is responsible for supervising and monitoring the Bank's credit and credit concentration risks on a consolidated basis. The Risk Committee governs the Bank's credit policies and procedures. The Risk Committee can delegate authorisation power to its subcommittees.

The ALCO supervises the Bank's other financial risks including market risk, liquidity risk, interest rate risk, and the Bank's capitalisation. The ALCO decides on and sets limits for these risks and the Bank's capital allocation framework.

The Executive Board is responsible for the operational risk framework and for managing other risk factors such as reputational risk and business risk.

The compliance function is responsible for ensuring that the processes and the business conducted within the Bank are in accordance with external laws and regulations and internal directives and instructions.

Group Internal Audit conducts independent evaluations and provides assurance for the internal controls and risk management for its appropriateness, effectiveness and its compliance to the Bank's directives. The Chief Audit Executive (CAE) is appointed by the Board and accordingly has an independent position in the Bank's organisational chart. The CAE is responsible for internal audit within the Bank.

CREDIT RISK

- 64 Credit risk is defined as current or prospective risk to earnings and capital arising from an obligor's potential failure to meet the terms of any contract with the Bank or otherwise fail to perform as agreed.

This risk comprises default risk, recovery risk, country risk, settlement risk and credit concentration risk.

Credit concentration risk is the significantly increased risk that is driven by common underlying factors, e.g. sector, economy, geographical location, type of financial instrument or due to connections or relations among counterparties. This includes large individual exposures to parties under common control and significant exposures to groups of counterparties whose likelihood of default is driven by common underlying factors.

Credit risk arises principally from the Bank's loans and advances to customers and other banks but also from balances with the Central Bank and off-balance sheet items such as guarantees, loan commitments and derivatives.

The Bank has policies and procedures dedicated to accepting, measuring, and managing credit risk. The objective of the Bank's credit risk management is to achieve an appropriate balance between risk and return and to minimise potential adverse effects of credit risk on the Bank's financial performance.

A thorough analysis of the counterparty's financial standing, analysis of past and estimated future cash flows as well as the borrower's general ability to repay its obligations forms the basis for all credit decisions. The Bank structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, groups of borrowers, countries and industry segments. The Bank measures and consolidates its credit risk for each counterparty or group of connected clients in accordance with internal and external criteria of connection between parties.

The Bank employs a range of policies and practices to mitigate credit risk. The most traditional of these is the taking of security in borrower's assets. The principal collateral types for loans are real properties, vehicles, equipment, vessels and securities. When applicable, other credit risk mitigants are employed.

The loan portfolio acquired from Glitnir is the largest part of the credit exposure of the Bank. Due to the extraordinary circumstances in the Icelandic economy and the fact that the loan portfolio was acquired at a deep discount, care must be taken when interpreting conventional measures of credit risk.

CREDIT RISK EXPOSURE

65 The Bank's credit risk exposure is comprised of both on-balance sheet and off-balance sheet items. Maximum exposure to credit risk for on-balance sheet assets is the net carrying amount as reported in the balance sheet. The exposure for off-balance sheet items is the amount that the Bank might have to pay out against financial guarantees and loan commitments.

The credit exposure before taking account of any collateral held or other credit enhancements is as follows:

	Maximum exposure	
	31.12.2010	31.12.2009
Cash and balances with Central Bank	30,799	38,743
Loans to credit institutions:	30,870	87,416
Loans to credit institutions	30,870	39,537
Government secured customer loan	0	47,879
Loans to customers:	515,161	489,611
Loans to individuals:	172,713	174,961
Overdrafts	7,943	8,199
Credit cards	14,307	17,154
Term loans	33,148	36,079
Mortgages	105,637	106,267
Leases	11,678	7,262
Loans to corporate entities:	282,518	306,930
Overdrafts	12,964	12,569
Credit cards	1,156	1,012
Term loans	252,755	276,814
Leases	15,643	16,535
Loans to state owned and public sector entities	2,839	3,982
Loans to municipalities	4,909	3,738
Government secured customer loan	52,182	0
Bonds and debt instruments:	68,024	66,701
Central governments	65,382	66,268
Local governments	0	59
Corporates	2,130	0
Credit Institutions	490	374
Other	22	0
Derivatives	70	0
Other assets	1,085	8,761
Balance sheet total	646,009	691,232
Financial guarantees	8,404	8,058
Loan commitments	13,453	5,028
Off-balance sheet total	21,857	13,086
Total	667,866	704,318

Collateral and other credit mitigants vary between types of exposure. Loans to banks are for example often unsecured. For loans to individuals the principal collateral taken is residential property against mortgages. In the case of corporate entities the Bank takes a charge over fixed and current assets as well as employing covenants in loan agreements. Loans to government entities and to municipalities are usually unsecured. Derivative exposures are generally made under ISDA master agreements with Credit Support Annex or corresponding terms with pledged collateral in the form of cash and government bonds.

Government secured customer loan is of special consideration. This exposure was classified as loans to credit institutions in 2009 but was reclassified in 2010. For clarity the exposure is now carved out as a separate line under loans to customers in the credit risk notes.

- 66 Loans are classified as impaired loans if contractual cash payments are not expected to be fulfilled and if financial restructuring of the obligor is expected to lead to a loss on that particular loan. In most cases, loss is avoided because of the difference between the claim value and the carrying amount resulting from the deep discount of the acquired loan portfolio. Other loans to the same obligor might even be expected to be restructured with a gain from the carrying amount and therefore an impairment does not necessarily indicate that there is a net loss for the Bank.

Loans are also classified as impaired if the Bank has made impairments to offset currency movements, (see note 77). For individuals and smaller companies this is the main reason for loans being classified as impaired. This impairment does not signal a loss from the deep discount.

The full carrying amount of all loans which give rise to a specific impairment or currency impairment is included in impaired loans even if parts are covered by collateral. Therefore the carrying amount of impaired loans does not indicate amounts that are likely to be lost.

	Neither past due nor impaired	Past due but not impaired	Impaired	Total
At 31 December 2010				
Loans to credit institutions	30,842	8	20	30,870
Loans to individuals	123,086	21,194	28,433	172,713
Loans to corporate entities	142,018	18,343	122,157	282,518
Loans to state-owned and public sector entities	1,273	15	1,551	2,839
Loans to municipalities	3,534	5	1,370	4,909
Government secured customer loan	52,182	0	0	52,182
Total	352,935	39,565	153,531	546,031
At 31 December 2009				
Loans to credit institutions	37,178	1,424	935	39,537
Loans to individuals	111,842	24,215	38,904	174,961
Loans to corporate entities	80,070	19,093	207,767	306,930
Loans to state-owned and public sector entities	2,056	9	1,917	3,982
Loans to municipalities	1,787	623	1,328	3,738
Government secured customer loan	47,879	0	0	47,879
Total	280,812	45,364	250,851	577,027

- 67 Past due but not impaired loans are loans where contractual interest or principal payments have passed due date without the obligor making full payment but specific impairment is not appropriate. Amounts reported as past due refer to the total loan exposure and not only the payment or sum of payments that are past due. Past due but not impaired loans are as follows:

	Past due up to 30 days	Past due 30–60 days	Past due 60–90 days	Over 90 days	Total
At 31 December 2010					
Loans to credit institutions	8	0	0	0	8
Loans to individuals	5,189	2,577	685	12,743	21,194
Loans to corporate entities	5,864	1,706	772	10,001	18,343
Loans to state-owned and public sector entities	14	1	0	0	15
Loans to municipalities	5	0	0	0	5
Total	11,080	4,284	1,457	22,744	39,565
At 31 December 2009					
Loans to credit institutions	0	0	45	1,379	1,424
Loans to individuals	5,914	2,173	628	15,500	24,215
Loans to corporate entities	1,784	2,593	1,455	13,261	19,093
Loans to state-owned and public sector entities	6	0	0	3	9
Loans to municipalities	0	0	0	623	623
Total	7,704	4,766	2,128	30,766	45,364

Past due loans that have not been impaired are expected to be restructured without any loss to the Bank. In some cases, loss is avoided because of the difference between the claim value and the carrying amount resulting from the deep discount of the acquired loan portfolio. In some cases there is sufficient collateral, and in some cases the assessment is that contractual payments will be fulfilled.

The majority of past due loans are loans that were acquired from Glitnir at a deep discount and there is a significant difference between claim value and book value of these loans. Loans that are being restructured are in some cases classified as past due.

- 68 The industry breakdown below shows the Bank's credit exposure by industry and customer segment. The breakdown follows an internal industry classification which is based on the Icelandic ISAT2008 that derives from the European NACE Rev. 2. The main differences to ISAT2008 are that Seafood is considered to be a separate sector consisting of both fishing and processing of seafood, Individuals are a single segment, and Investment companies are singled out as a sector rather than being included in Services. The breakdown of loans to credit institutions and loans to customers is as follows:

	31.12.2010	31.12.2009
Individuals	172,713	174,961
Real estate	74,525	77,629
Seafood	67,933	72,120
Investment companies	42,124	53,412
Financial institutions	35,118	39,537
Commerce	29,949	29,911
Services	20,951	20,151
Industry	16,100	21,726
Construction	17,088	20,034
Transportation	4,723	5,134
Other	4,877	6,813
Loans to Sovereign and state guaranteed entities	2,839	3,982
Loans to municipalities	4,909	3,738
Government secured customer loan	52,182	47,879
Total	546,031	577,027

69 Large exposure disclosure

When the Bank's total exposure to a group of connected clients exceeds 10% of the Bank's capital base it is considered a large exposure. The exposure is evaluated net of credit risk mitigating effects eligible according to FME rules 216/2007.

When assessing the exposure both on-balance sheet and off-balance sheet items from all types of financial instruments are included as defined in the FME rules. The Bank has internal criteria that define connections between clients. These criteria reflect the Bank's interpretation of Article 1.a in Act no. 161/2002 on Financial Undertakings where groups of connected clients are defined.

The Bank has one large exposure to a group of connected clients that sum up to less than 16% of the Bank's capital base. No large exposure exceeds the maximum 25% set by law.

LIQUIDITY RISK

- 70 The Bank defines liquidity risk as the risk of not being able to fund its financial obligations or planned growth, or only being able to do so substantially above the prevailing market cost of funds.

Liquidity risk management

The Bank's main source of funding is customer deposits. The Bank's Treasury is responsible for the Bank's funding and long-term liquidity management. The Interbank desk is responsible for day-to-day liquidity management.

The Assets and Liability Management and Capital Management (ALM) unit within Risk management is responsible for measuring, monitoring and reporting on the Bank's liquidity position.

The Bank's liquidity risk management policy assumes that the Bank has at all times sufficient liquidity to meet liabilities maturing over the next twelve months.

The following tables show the contractual maturity profile for the Bank's financial assets and liabilities.

For dated financial liabilities the amounts are grouped into maturity buckets according to contractual maturities of principal and estimated contractual payments of interest. For demand deposits or other non-dated liabilities, the figures are grouped according to the first possible required payment date. Thus, the total figures for each liability class are higher than the respective balance sheet amount. This form of presentation is in line with IFRS requirements but does not reflect the Bank's internal modeling of liquidity risk.

Maturity analysis 31 December 2010

	On demand	Up to 3 months	3–12 months	1–5 years	Over 5 years	No maturity	Total
Financial liabilities							
Short positions	9,090	0	0	0	0	0	9,090
Deposits from Central Bank	26	0	0	0	0	0	26
Deposits from credit institutions	58,439	18,419	11,051	8,705	0	0	96,614
Deposits from customers	243,797	39,600	3,965	36,165	8,716	0	332,243
Debt issued and other borrowed funds	1,899	2,084	6,458	33,754	29,887	0	74,082
Subordinated loans	0	266	822	6,019	29,671	0	36,778
Other financial liabilities	15,712	6,687	9,237	527	507	1,011	33,681
Total financial liabilities	328,963	67,056	31,533	85,170	68,781	1,011	582,514

Off-balance sheet liabilities show the amount of contractual obligations that the Bank has taken towards customers, either by committing to lend out money in the future or as third party guarantees. The amounts shown reflect the maximum amount, not taking into account the Bank's ability to reduce overdraft or credit card limits before the current undrawn amount is fully utilised by the customer. These obligations all fall into the first time bucket since contractually, on a case by case basis, the Bank could be required to fulfil these obligations instantaneously.

	On demand	Up to 3 months	3–12 months	1–5 years	Over 5 years	No maturity	Total
Off balance sheet liabilities							
Financial guarantees	8,404	0	0	0	0	0	8,404
Undrawn loan commitments	13,453	0	0	0	0	0	13,453
Undrawn overdraft	17,186	0	0	0	0	0	17,186
Credit card commitments	25,436	0	0	0	0	0	25,436
Total	64,479	0	0	0	0	0	64,479

Total non-derivative financial liabilities and off-balance sheet liabilities	393,442	67,056	31,533	85,170	68,781	1,011	646,993
--	---------	--------	--------	--------	--------	-------	---------

The table below shows the contractual cash flow of the Bank's derivative liabilities, i.e. derivatives that have a negative carrying amount at the date of reporting. Derivatives with a positive carrying amount are detailed separately. For derivatives settled on a gross basis, the cash flow for both legs of the derivative is shown, since netting cannot be applied upon settlement. Currently, the Bank has no derivatives settled on a net basis.

	On demand	Up to 3 months	3–12 months	1–5 years	Over 5 years	No maturity	Total
Derivative financial liabilities							
Gross settled derivatives							
Inflow	0	(10,811)	(1,267)	(57,837)	(25,000)	0	(94,915)
Outflow	0	10,797	1,403	60,757	25,113	0	98,070
Total	0	(14)	136	2,920	113	0	3,155
Net settled derivatives	0	0	0	0	0	0	0
Total	0	(14)	136	2,920	113	0	3,155

Maturity classification of assets is based on contractual maturity. For loans that were acquired at a deep discount and have not yet been restructured, the contractual amount is scaled to reflect the carrying amount of the claim. For bonds and debt instruments in the banking book the maturity classification is based on contractual amount while for bonds and debt instruments held for trading the maturity classification is based on the estimated liquidation time of the asset.

	On demand	Up to 3 months	3–12 months	1–5 years	Over 5 years	No maturity	Total
Financial assets							
Cash and balances with Central Bank	23,934	6,865	0	0	0	0	30,799
Bonds and debt instruments	4,492	30,378	1	4	31,111	2,038	68,024
Shares and equity instruments	0	0	0	0	0	3,022	3,022
Loans to credit institutions	7,027	23,501	0	0	342	0	30,870
Loans to customers	4,542	57,662	36,782	156,700	259,475	0	515,161
Other financial assets	0	1,235	766	30	513	548	3,092
Total financial assets	39,995	119,641	37,549	156,734	291,441	5,608	650,968

Derivative financial assets	On demand	Up to 3 months	3–12 months	1–5 years	Over 5 years	No maturity	Total
Gross settled derivatives							
Inflow	0	3,685	0	0	0	0	3,685
Outflow	0	(3,672)	0	0	0	0	(3,672)
Total	0	13	0	0	0	0	13
Net settled derivatives	0	0	0	0	0	0	0
Total	0	13	0	0	0	0	13

The tables below show the comparative amounts for financial assets and liabilities in 2009. Comparable figures for undrawn credit card commitments are not available for year-end 2009. The Bank had no derivatives exposures at the end of 2009.

Maturity analysis 31 December 2009

Financial liabilities	On demand	Up to 3 months	3–12 months	1–5 years	Over 5 years	No maturity	Total
Short positions	7,332	0	0	0	0	0	7,332
Deposits from Central Bank	28	0	0	0	0	0	28
Deposits from credit institutions	116,744	12,757	3	9,461	996	0	139,961
Deposits from customers	249,104	52,461	1,046	36,152	7,400	0	346,163
Debt issued and other borrowed funds	463	3,077	6,298	41,750	40,575	0	92,163
Subordinated loans	0	286	651	7,260	37,457	0	45,654
Other financial liabilities	13,649	6,664	4,279	596	141	659	25,988
Total financial liabilities	387,320	75,245	12,277	95,219	86,569	659	657,289

Off balance sheet liabilities	On demand	Up to 3 months	3–12 months	1–5 years	Over 5 years	No maturity	Total
Financial guarantees	8,058	0	0	0	0	0	8,058
Undrawn loan commitments	5,028	0	0	0	0	0	5,028
Undrawn overdraft	15,779	0	0	0	0	0	15,779
Total	28,865	0	0	0	0	0	28,865

Total non-derivative financial liabilities and off-balance sheet liabilities	416,185	75,245	12,277	95,219	86,569	659	686,154
--	---------	--------	--------	--------	--------	-----	---------

There were no derivative liabilities exposures in 2009

Financial assets	On demand	Up to 3 months	3–12 months	1–5 years	Over 5 years	No maturity	Total
Cash and balances with Central Bank	19,138	19,605	0	0	0	0	38,743
Bonds and debt instruments	6,542	29,584	1	4	30,569	1	66,701
Shares and equity instruments	0	0	0	0	0	2,250	2,250
Loans to credit institutions	15,704	23,497	1,941	44,062	2,212	0	87,416
Loans to customers	0	78,986	57,442	103,966	249,217	0	489,611
Other financial assets	0	3,568	209	14	360	156	4,307
Total financial assets	41,384	155,240	59,593	148,046	282,358	2,407	689,028

There were no derivative assets exposures in 2009

As a part of managing liquidity risk, the Bank holds a portfolio of liquidity back-up to meet unexpected outflow of funds or a temporary shortage in access to new funding. These assets are subject to a strict criteria with respect to maximum liquidation time and price volatility. The following table shows the composition and amount of the Bank's liquidity back-up at the end of 2009 and 2010. The liquidity back-up lowered by ISK 6bn in 2010 which is in line with a reduction in the balance sheet and reduced concentration in the Bank's deposit base. Thus, the reduction in the liquidity back-up has not resulted in lower internal liquidity ratios.

Composition and amount of liquidity back-up	31.12.2010	31.12.2009
Cash and balances with Central Bank	30,799	38,743
Domestic bonds eligible as collateral against borrowing at the Central Bank	54,881	50,130
Foreign government bonds	30,378	29,584
Short-term placements with credit institutions	28,332	31,887
Government liquidity facility	25,000	25,000
Composition and amount of liquidity back-up	169,390	175,344

MARKET RISK

- 71 The Bank defines market risk as the current or prospective risk to earnings and capital from adverse movements in the level or volatility of prices of market instruments, including those that arise from factors such as interest rates, equity prices, commodity prices and foreign exchange rates.

Market risk management

The Bank's market risk appetite is determined by the Board of Directors. The Asset and Liability Committee (ALCO) approves on limits for portfolios and products in accordance with the market risk policy approved by the Board. The market risk unit is responsible for monitoring and reporting on market risk. The objective of market risk management is to manage and control market risk exposures within acceptable parameters.

The Bank separates exposures to market risk into trading and non-trading portfolios. The Bank's primary sources of market risk in the trading portfolio are shares, debt instruments and foreign currency positions. All financial assets and liabilities in the trading portfolio are recognised at fair value and all resulting changes are immediately reflected in the income statement. Market risk in the non-trading portfolio is mainly due to mismatches in interest rate terms and denomination currency of assets and liabilities. These mismatches are reported to management and are subject to regulatory and internal limits.

INTEREST RATE RISK

- 72 Interest rate risk is the risk that the Bank will experience deterioration in its financial position as interest rates change over time.

The Bank uses sensitivity measures like Basis Point Value (BPV) to measure and manage risk arising from its fixed income exposures. The BPV measures the effect of a 0.01% upward parallel shift in the yield curve on the fair value of the bonds.

- 73 Interest rate risk in the trading portfolio

The fixed income trading unit invests mainly in government bonds and bonds issued by the Housing Financing Fund (HFF), which are guaranteed by the Icelandic government. These positions can include short position. Government bonds are either indexed to the Icelandic Consumer Price Index (CPI) or non-indexed, with duration up to 9 years. HFF bonds are CPI linked and have duration up to 14 years. All bond trading positions are subject to BPV limits, both intraday and end-of-day. In addition to BPV limits short and long positions in each instrument are subject to separate limits. Market risk monitors these limits and reports all breaches to the Asset and Liability Committee (ALCO).

The maximum total position in the trading portfolio over the year was ISK 43.9bn (2009: ISK 33.5bn). The largest position in indexed securities was ISK 4.7bn (2009: ISK 3.5bn) and the largest position in non-indexed securities was ISK 43.5bn (2009: ISK 31.0bn). The BPV's at the end of the year are representative for the average positions during the year.

Trading bonds and debt instruments, long positions	2010			2009		
	MV	Duration	BPV	MV	Duration	BPV
Indexed	2,124	9.01	(1.91)	2,800	6.51	(1.82)
Non-Indexed	34,078	0.86	(2.92)	33,471	0.83	(2.78)
Total	36,202	1.33	(4.83)	36,271	1.27	(4.61)

Trading bonds and debt instruments, short positions	2010			2009		
	MV	Duration	BPV	MV	Duration	BPV
Indexed	1,129	4.74	0.54	2,707	5.27	1.43
Non-Indexed	7,961	1.32	1.05	4,625	1.12	0.52
Total	9,090	1.75	1.59	7,332	2.65	1.95

Net position of trading bonds and debt instruments	27,112	1.20	(3.24)	28,939	0.92	(2.66)
--	--------	------	--------	--------	------	--------

The Bank holds a significant amount of foreign triple-A credit rated government bills in its liquidity portfolio. The bills are held for cash management purposes and can be liquidated with short notice. The duration of these instruments ranges up to six months and the sensitivity measured in BPV is ISK -0.6m (2009: ISK -0.7m).

Foreign triple-A credit rated government bills	2010		2009	
	Market value	BPV	Market value	BPV
Canada	0	0.00	3,570	(0.03)
France	5,380	(0.06)	0	0
Germany	3,844	(0.04)	0	0
The Netherlands	5,379	(0.10)	0	0
Norway	1,953	(0.06)	6,458	(0.21)
UK	3,473	(0.02)	9,066	(0.19)
USA	10,695	(0.34)	10,489	(0.24)

74 Sensitivity analysis for interest rate risk for trading portfolios

For sensitivity analysis in the trading portfolio the Bank uses a 100 bps shift in ISK, non-indexed and indexed, interest rates. Shifts in rates in other currencies are scaled down in accordance with lower volatility. The following table demonstrates the sensitivity to a reasonable change in interest rates, with all other variables held constant, of the Bank's equity and income statement.

Sensitivity analysis for trading bonds and debt instruments		2010		2009	
Currency (ISK m)	Parallel shift in yield curve (basis points)	Profit or loss			
		Downward shift	Upward shift	Downward shift	Upward shift
ISK, indexed	100	138	(138)	40	(40)
ISK, non-indexed	100	125	(125)	158	(158)
CHF	40	0	0	0	0
EUR	20	4	(4)	0	0
GBP	40	1	(1)	8	(8)
JPY	20	0	0	0	0
USD	40	13	(13)	9	(9)
Other total	40	3	(3)	9	(9)
Total		284	(284)	224	(224)

75 Interest rate risk in the non-trading portfolio

Interest rate risk in the non-trading portfolio arises from the Bank's core banking activities. The main source of this type of interest rate risk is the risk of loss from fluctuations in future cash flows or fair value of financial instruments as market interest rates change over time, reflecting the fact that the Bank's assets and liabilities are of different maturities and are priced relative to different interest rates.

The Bank holds a government bond designated at fair value amounting to ISK 30.3bn (2009: ISK 30.4bn). The bond pays floating rates and carries relatively low interest rate risk.

The Asset and Liability & Capital Management unit is responsible for measuring, monitoring and reporting on the Bank's interest rate risk in the non-trading portfolio. The Treasury unit is responsible for managing the Bank's interest rate risk within limits set by ALCO. The Bank uses traditional measures for assessing the sensitivity of the Bank's financial assets, financial liabilities and earnings to changes in the underlying interest rates. Standard scenarios include an adverse 100 basis point parallel shift in all yield curves.

Non-trading portfolio interest rate adjustment periods 31 December 2010

Assets	0-3 months	3>12 months	1>2 years	2>5 years	5>10 years	Over 10 years	Total
Cash and balances with Central Bank	28,966	0	0	0	0	0	28,966
Bonds and debt instruments	31,142	659	0	0	0	22	31,823
Loans to credit institutions	30,520	350	0	0	0	0	30,870
Loan to costumers	389,088	37,855	9,481	60,550	2,572	15,607	515,161
Total	479,716	38,864	9,481	60,550	2,572	15,629	606,820
Off balance sheet items	47,903	0	0	0	0	0	47,903
Liabilities							
Deposits from Central Bank	26	0	0	0	0	0	26
Deposits from credit institutions	86,856	1,037	8,319	0	0	0	96,212
Deposits from costumers	322,274	2,521	0	1,420	943	0	327,158
Debt issued and other borrowed funds	432	0	0	808	52,639	1,546	55,425
Subordinated loans	21,241	0	0	0	0	0	21,241
Total	430,829	3,558	8,319	2,228	53,582	1,546	500,062
Off balance sheet items	48,216	0	0	0	0	120	48,336
Net interest gap on 31 December 2010	48,575	35,306	1,162	58,322	(51,010)	13,963	106,327

Non-trading portfolio interest rate adjustment periods 31 December 2009

Assets	0-3 months	3>12 months	1>2 years	2>5 years	5>10 years	Over 10 years	Total
Cash and balances with Central Bank	36,901	0	0	0	0	0	36,901
Bonds and debt instruments	30,430	0	0	0	0	0	30,430
Loans to credit institutions	84,493	2,892	0	0	0	31	87,416
Loans to customers	380,548	61,985	17,129	7,973	3,494	18,482	489,611
Total	532,371	64,877	17,129	7,973	3,494	18,513	644,357
Liabilities							
Deposits from Central Bank	28	0	0	0	0	0	28
Deposits from credit institutions	132,091	0	0	6,973	0	0	139,064
Deposits from customers	339,659	0	0	0	0	0	339,659
Debt issued and other borrowed funds	5,210	0	0	649	56,828	0	62,687
Subordinated loans	24,843	0	0	0	0	0	24,843
Total	501,831	0	0	7,622	56,828	0	566,281
Net interest gap on 31 December 2009	30,541	64,877	17,129	351	(53,334)	18,513	78,077

76 Sensitivity analysis for interest rate risk for non-trading portfolios

For sensitivity analysis in the non-trading portfolio a 100 bps shift is applied for non-indexed ISK interest rates. Shifts in other currencies are chosen using the same scaling factors as in the trading portfolio. CPI linked ISK rate shifts are also scaled down to reflect significantly stronger mean reversion than for non-indexed rates. The table shows how applied shifts would affect the Bank's equity and income statement.

Non trading bonds and debt instruments		2010	2009			
Currency (ISK m)	Parallel shift in yield curve (basis points)	Profit or loss				
		Downward shift	Upward shift	Downward shift	Upward shift	
ISK, indexed	40	684	(684)	519	(519)	
ISK, non-indexed	100	(62)	62	(173)	173	
CHF	40	5	(5)	3	(3)	
EUR	20	(3)	3	(3)	3	
GBP	40	0	0	(1)	1	
JPY	20	2	(2)	2	(2)	
USD	40	(1)	1	1	(1)	
Other	40	(1)	1	1	(1)	
Total		624	(624)	349	(349)	

CURRENCY RISK

77 Currency risk arises when financial instruments are not denominated in reporting currency which gives rise to the impact of changes in exchange rates on the income statement and balance sheet.

Late in 2010, the Bank entered into a currency swap which significantly narrowed the currency imbalance. The currency swap along with spot transactions have brought the Bank's adjusted currency imbalance close to zero. At year-end 2010 the adjusted imbalance amounted to ISK 0.8bn (2009: ISK 38.9bn).

The currency imbalance presented below is based on the contractual currency of the underlying balance sheet and off-balance sheet items. The off-balance sheet amounts represent the notional amounts of derivatives and unsettled spot agreements. Most of the net non-adjusted currency imbalance is due to loans with a non-ISK contractual currency to customers with ISK income (FX-ISK loans). As a part of the transfer of assets from Glitnir, the Bank determined that these loans have a recovery value that is limited in ISK terms. To reflect the ISK based recovery value of these loans the Bank has impaired fully the foreign exchange gains on these assets since the date of transfer. Should there be an appreciation of the ISK there will be a corresponding reversal of the impairment charge. This is in accordance with IFRS accounting standards.

The Bank's regulators allow for an adjustment of the contractual currency imbalance to reflect the recovery of foreign currency denominated loans to customers with ISK income. The tables below summarise the Bank's exposure to currency risk at year end 2010 and 2009, based on contractual currencies, off-balance sheet items along with the currency adjustment.

Currency analysis 31 December 2010	EUR	USD	GBP	CHF	JPY	Other	Total
Assets							
Cash and balances with Central Bank	405	191	114	38	15	349	1,112
Bonds and debt instruments	15,018	10,695	3,473	0	0	1,953	31,139
Shares and equity instruments	12	51	0	0	0	0	63
Loans to credit institutions	16,620	6,403	1,173	30	200	2,589	27,015
Loans to customers	67,094	26,092	5,333	41,579	36,613	3,501	180,212
Investments in associates	218	0	0	0	0	0	218
Other assets	195	373	42	0	0	3	613
Total assets	99,562	43,805	10,135	41,647	36,828	8,395	240,371
Liabilities							
Deposits from credit institutions	7,701	6,920	5,412	0	11	590	20,634
Deposits from customers	15,791	13,165	2,732	465	1,202	4,935	38,290
Debt issued and other borrowed funds	134	0	0	0	0	32	166
Subordinated loans	21,241	0	0	0	0	0	21,241
Other liabilities	647	696	302	0	0	45	1,690
Total liabilities	45,514	20,781	8,446	465	1,213	5,602	82,021

	EUR	USD	GBP	CHF	JPY	Other	Total
Non-adjusted foreign exchange on balance sheet imbalance	54,048	23,024	1,689	41,182	35,615	2,793	158,350
Adjustment of currency imbalance for FX/ISK loans	37,057	12,362	1,551	26,412	24,194	1,620	103,196
Adjusted imbalance	16,991	10,662	138	14,770	11,421	1,173	55,155
Off balance sheet items							
Off balance sheet assets	3,877	5,995	1,151	1,258	2,578	156	15,015
Off balance sheet liabilities	24,945	22,015	1,280	6,967	13,514	688	69,409
Net off balance sheet items	(21,069)	(16,020)	(129)	(5,709)	(10,936)	(532)	(54,394)
Net currency imbalance on 31 December 2010	(4,078)	(5,358)	9	9,061	485	641	759
Currency analysis 31 December 2009	EUR	USD	GBP	CHF	JPY	Other	Total
Assets							
Cash and balances with Central Bank	462	606	148	45	17	788	2,066
Bonds and debt instruments	0	11,105	8,954	0	0	9,900	29,959
Shares and equity instruments	0	0	0	0	0	0	0
Loans to credit institutions	13,113	10,481	2,048	1,722	114	4,898	32,376
Loans to customers	96,916	30,478	5,269	56,334	49,343	10,599	248,939
Other assets	0	0	0	0	0	144	144
Total assets	110,491	52,670	16,419	58,101	49,474	26,329	313,484
Liabilities							
Deposits from credit institutions	7,194	15,070	8,986	0	11	15,038	46,299
Deposits from customers	20,240	14,127	4,704	223	1,033	4,955	45,282
Debt issued and other borrowed funds	0	0	0	0	0	137	137
Subordinated loans	24,843	0	0	0	0	0	24,843
Other liabilities	0	0	0	0	0	3	3
Total liabilities	52,277	29,197	13,690	223	1,044	20,133	116,564
Non-adjusted foreign exchange currency imbalance	58,214	23,473	2,729	57,878	48,430	6,197	196,921
Adjustment of currency imbalance for FX/ISK loans	55,224	21,530	1,707	39,923	35,647	3,968	157,998
No off balance sheet items in foreign currency in 2009							
Net currency imbalance on 31 December 2009	2,990	1,943	1,022	17,955	12,783	2,229	38,923

78 Sensitivity analysis towards currency risk

The table below shows how the adjusted imbalance is affected by either depreciation or appreciation of each currency assuming other risk factors are held constant. The shift number is the 99% percentile of a 10-day return distribution for each currency for the previous 365 days. The adverse movement of each currency is applied for the impact of the shift and demonstrates how equity and income statement would be affected by the shifts.

Sensitivity towards currency risk 31 December 2010

Currency (shift)	Shift effect
EUR (4%)	(163)
USD (4%)	(214)
CHF (4%)	(362)
GBP (4%)	0
JPY (4%)	(19)
Other (5%)	(32)
Total	(790)

Sensitivity towards currency risk 31 December 2009

Currency (shift)	Shift effect
EUR (11%)	(329)
USD (10%)	(194)
CHF (12%)	(2,155)
GBP (12%)	(123)
JPY (12%)	(1,533)
Other (9%)	(223)
Total	(4,557)

For loans in foreign currency the Bank accounts for the effects of foreign exchange rate changes to ISK as differences in loan value. The portion of a foreign exchange rate fluctuation which results in a change to loan value depends on how the borrower's ability to repay the loan changes as the currency in question fluctuates. Thus, a depreciation in the ISK does not result in gain in foreign currency loan value for ISK income customers as it does for loans to customers having foreign currency income.

SHARES AND EQUITY INSTRUMENTS

79 The Bank's equity exposure in the trading book arises from proprietary trading and market making, mainly in shares denominated in ISK. Limits on both aggregated market value and maximum exposure in single securities are aimed at reducing the equity risk and concentration risk in the Bank's portfolio. Shares and equity instruments in the non-trading portfolio are designated at fair value through profit or loss or are classified as held for sale.

80 Sensitivity analysis for shares and equity instruments

The following table demonstrates how reasonable shifts in the prices of trading and non-trading portfolio would affect the equity and net financial income. Shifts applied for the trading and non-trading portfolio are 20% and 40% respectively.

Sensitivity analysis for equities		2010		2009	
Portfolio (ISK m)	Change in equity prices	Profit or loss			
		Downward shift	Upward shift	Downward shift	Upward shift
Trading	20%	(85)	85	(95)	95
Non-trading	40%	(1,045)	1,045	(710)	710
Total		(1,130)	1,130	(805)	805

DERIVATIVES

81 The Bank uses derivatives to hedge currency exposure. The Bank carries relatively low indirect exposure due to margin trading with clients where the Bank holds collaterals for possible losses. Other derivatives in the Bank held for trading or for other purposes are insignificant.

INFLATION RISK

82 The Bank is exposed to inflation risk since the book value of CPI-indexed assets exceed CPI-indexed liabilities. The book value of these assets and liabilities changes according to changes in the CPI at any given time and all changes in the CPI-index affect profit and loss. The mismatch between the CPI-indexed assets and liabilities is reported to ALCO and is subject to limits decided by the committee. On 31 December 2010 the CPI gap amounted to ISK 25.1bn (2009: ISK 26.8bn). Thus a 1% increase in the index would have a positive impact on the profit and loss account to the amount of ISK 25m profit and a 1% decrease would result in a similar loss, other things held constant.

CAPITAL MANAGEMENT

83 Risk exposure and capital base

Icelandic capital adequacy rules are based on the EU capital requirements directives (CRD). The capital adequacy rules require an absolute minimum capital level of 8% of risk weighted assets.

As part of the conditions for granting the Bank an operating license as a financial undertaking, the Icelandic Financial Supervisory Authority (FME) requires the Bank to maintain a minimum Core Tier 1 ratio of 12% of risk weighted assets and a total capital ratio, allowing for subordinated Tier 2 debt, of 16%.

The Bank's regulatory capital calculations for credit risk and market risk are based on the standardised approach and the capital calculations for operational risk are based on the basic indicator approach. Market risk exposure for currency risk is based on the adjusted currency imbalance described in note 77.

The following table shows the capital base, risk weighted assets and capital ratios of the Bank on 31 December 2010 and 2009.

Tier 1 capital	2010	2009
Ordinary share capital	10,000	10,000
Share premium	55,000	55,000
Other reserves	2,498	2,059
Retained earnings	53,174	24,204
Minority interest	791	840
Tax assets	(283)	0
Intangible assets	(187)	(107)
Total Tier 1 capital	120,993	91,996
Tier 2 capital		
Qualifying subordinated liabilities	21,241	24,843
Total regulatory capital	142,234	116,839
Risk weighted assets		
– due to credit risk	440,586	454,773
– due to market risk:	14,766	42,117
Market risk, trading book	4,583	3,195
Currency risk foreign exchange	10,183	38,922
– due to operational risk	79,079	92,929
Total risk weighted assets	534,431	589,819
Capital ratios		
Tier 1 ratio	22.6%	15.6%
Total capital ratio	26.6%	19.8%

In 2010, the Bank did an assessment of its internal capital adequacy (ICAAP). Such an assessment is an integral part of the Bank's capital and risk management. Current capitalisation levels are well above the requirements of the ICAAP.

OPERATIONAL RISK

- 84 Operational Risk is defined as the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events. This definition includes legal risk, but excludes strategic and reputational risk.

The Bank has implemented a framework to manage the operational risk. Under this framework, operational risk management is carried out in a consistent manner across all business units in the Bank with the primary responsibility for the assessment and managing of operational risk residing within each business unit.

The Bank uses the Basic Indicator Approach of the capital requirements directive (CRD) to calculate the capital requirements for operational risks.

